



**DELIVERING OUR
STRATEGY.
DRIVING SUSTAINABLE
GROWTH.**



Integrated Report 2022

TABLE OF CONTENTS

1. OVERVIEW

About TAQA	6
Our Story	8
2022 Highlights	10
Year in Review	12
At a Glance	14
UAE Operations	16
International Assets	18
Investment Case	20

2. BUSINESS REVIEW

Chairman's Statement	24
Group CEO and Managing Director's Statement	26
Creating Value to Meet Ambitions	30
Our Strategy	32
Operational Review	34
Generation	34
Transmission & Distribution	42
Oil & Gas	48
Health, Safety & Environment	52
Our People	56
Sustainability	62

3. FINANCIAL REVIEW

Operating Environment	70
Financial Review	72
Financial Performance	73

4. CORPORATE REVIEW

Board of Directors	76
Executive Management Team	78
Corporate Governance	80
Enterprise Risk Management	82

5. FINANCIAL STATEMENTS

Directors' Report	90
Independent Auditor's Report	91
Consolidated Statement of Profit or Loss	97
Consolidated Statement of Comprehensive Income	98
Consolidated Statement of Financial Position	99
Consolidated Statement of Changes in Equity	101
Consolidated Statement of Cash Flows	102
Notes to the Consolidated Financial Statements	104

6. APPENDICES

Appendix 1 – ADX ESG Disclosure	184
---------------------------------	-----

OUR PURPOSE

Powering a thriving future by efficiently providing sustainable and reliable energy and water to unleash the unlimited potential of people and places

OUR VISION

To provide the clean power and water that governments, businesses and consumers need for a sustainable and successful life

OUR MISSION

Be a low carbon power and water champion

OUR VALUES

Safe: We put safety above all else

Sustainable: We do what is right for our environment, community and people

Collaborative: We are stronger together

Innovative: We seek creative ways to deliver results

Excellence: We strive for exceptional performance





01

OVERVIEW

About TAQA	6
Our Story	8
2022 Highlights	10
Year in Review	12
At a Glance	14
UAE Operations	16
International Assets	18
Investment Case	20

ABOUT TAQA

POWERING A THRIVING FUTURE

TAQA is on a journey to become a recognised low carbon power and water champion that will transform the sector in Abu Dhabi and beyond.

A fully integrated and diversified utilities and energy group, TAQA creates value through power and water generation, transmission and distribution and upstream and midstream oil and gas operations.

Headquartered in Abu Dhabi, TAQA owns and manages assets in Canada, Ghana, India, Iraq, Morocco, Netherlands, Oman, Saudi Arabia, the United Kingdom, the United States and at home in the United Arab Emirates.

A UNIQUE INVESTMENT PROPOSITION IN THE UTILITY SECTOR

Listed on the Abu Dhabi Securities Exchange (ADX: TAQA), TAQA is a strong and stable company providing nearly all the critical power and water infrastructure for the Emirate of Abu Dhabi. TAQA also provides stable and predictable cash generation from long-term off-take contracts and regulated network assets with a high potential for future growth through exclusivity rights in Abu Dhabi as well as valued partnerships.

TAQA is committed to protecting its financial strength as we aim to maintain our investment grade ratings on a standalone basis and ability to pay dividends to shareholders. As one of the largest publicly listed companies in the UAE and an issuer of listed securities, TAQA is committed to international best-practice in regulatory disclosure through a well-developed investor relations function that facilitates information flow and engagement with the global financial community.

OUR STORY

TAQA was founded in 2005 following the privatisation of Abu Dhabi's power and water sector to operate the strategic assets that ensure safe and consistent access to water and energy for communities across the UAE. Building on this strong foundation and a transformative transaction with ADPower in 2020, TAQA has grown to become a top 10 integrated utilities champion in the EMEA region.

Our world-class power, water and oil and gas operations fuel the lives of millions of people and businesses each day across the 11 countries and four continents where we operate. As our local and international footprint has continued to expand, so has our ambition to power a thriving future.

This year, we completed our landmark transaction with ADNOC and Mubadala to become shareholders in Masdar, Abu Dhabi's flagship clean energy company, and combined our efforts with ADNOC and Mubadala to rapidly grow Masdar on a global scale under an expanded mandate.

This growth and diversification is in line with our role in supporting Abu Dhabi's drive to Net Zero by 2050, while making significant strides at home and abroad to expand our operations, secure our future and create value for all our stakeholders.

Launch of 2030 Strategy to drive sustainable and profitable growth to become the recognised low carbon power and water champion of Abu Dhabi.

Partnership with Marubeni Corporation to develop a greenfield cogeneration power and water desalination project in Saudi Arabia with the world's largest integrated oil and gas company, Saudi Aramco.

Announces partnership with ADNOC on a USD 3.6 billion strategic project to significantly decarbonise ADNOC's offshore production operations.

Our record of achievement and growth

Founded as a public joint stock company by Abu Dhabi Water and Electricity Authority, with strategic power and water assets in the UAE and listed on the Abu Dhabi Stock Exchange (ADX).

Expansion of power portfolio to include operations in Ghana, India, Morocco and Saudi Arabia.

Acquisition of Abu Dhabi Water and Electricity Authority's interest in Sohar Aluminium Company LLC in Oman.

Acquisition of BP's Harding and Brae interests in the northern North Sea.

Begins commercial operations at Noor Abu Dhabi, the world's largest single-site solar PV plant at 1.2 GW, capable of powering the equivalent of 90,000 homes.

2005

2007

2010

2013

2019

2021

2006-08

Transformation begins from a UAE-based power and water company into an international energy company, with the launch of operations in the UK and the Netherlands.

2009

Launch of operations of the Brent System oil pipelines in the UK, expansion into North America.

2012

Acquisition of Atrush Exploration Block in the Kurdistan Region of Iraq.

2020

Merger with ADPower creating one of the largest integrated utilities in Europe, Middle East and Africa. Moody's TAQA standalone/final credit ratings were upgraded (to baa1/Aa3 with stable outlook).

Fitch's TAQA standalone/final credit ratings were upgraded (to bbb+/AA- with stable outlook).

Announces financial closing of the 1.58 GW Al Dhafra Solar PV plant, which will be the world's largest single-site solar PV plant upon completion.

TAQA announced new progressive dividend policy, the first time the company paid dividends in many years and the first company in the UAE to pay dividends quarterly.

2022

Prices the first green bond linked to a solar PV plant for an aggregate principal amount of AED 2.6 billion.

TAQA, ADNOC and Mubadala complete a landmark transaction to become shareholders in Masdar, Abu Dhabi's flagship clean energy company, to rapidly grow Masdar on a global scale.

Announces its 2030 ESG Strategy with interim GHG emissions reductions targets.

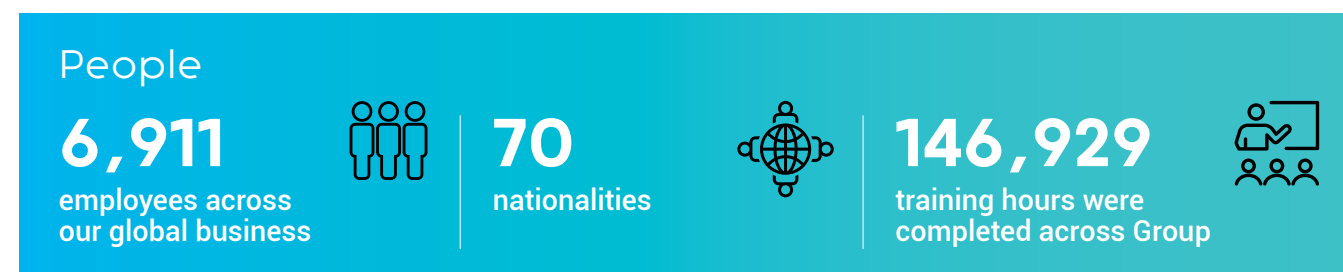
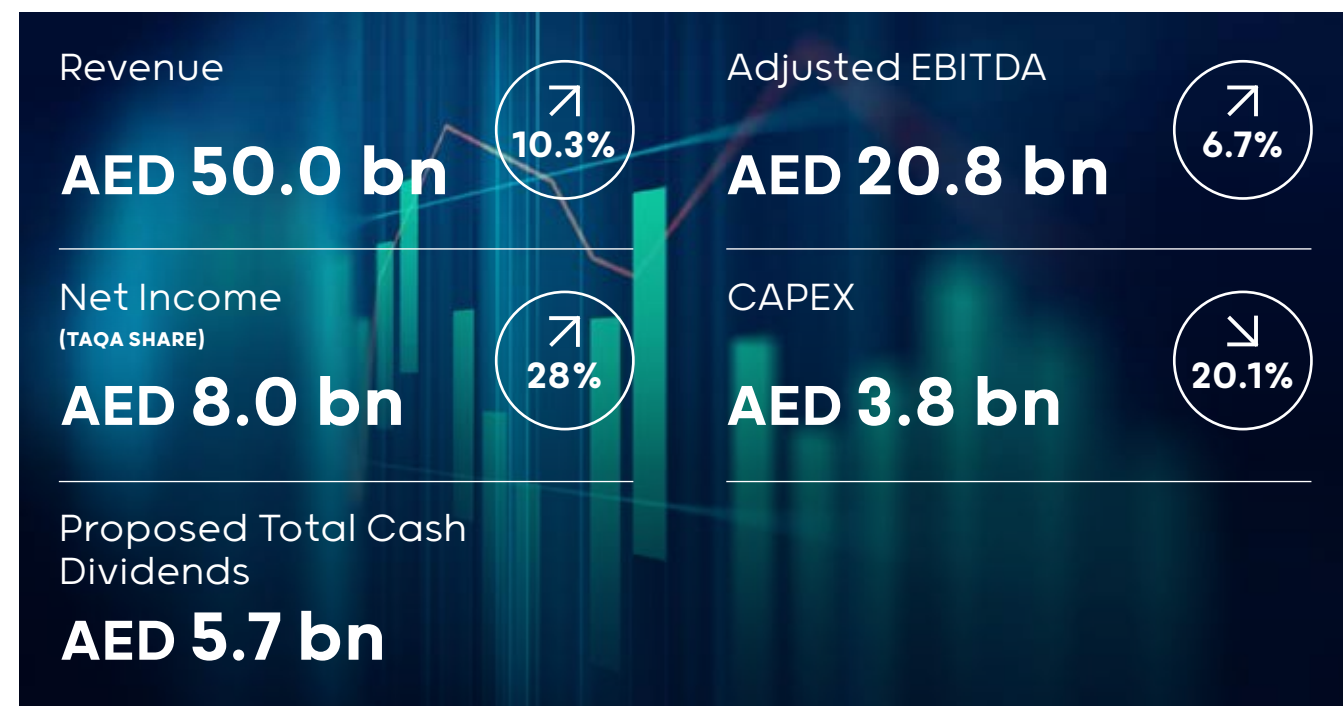
Announces it has signed agreements to invest in the privatisation of power generation plants in Uzbekistan.

Announces its intention to acquire 50% stake in EGA's 5.4 GW power generation assets.

TAQA and ADNOC announce financial close for a strategic project to connect ADNOC's offshore oil facilities to Abu Dhabi's onshore grid.

TAQA hosts the World Utilities Congress, bringing together the global power and water industry in Abu Dhabi to discuss trends and explore technologies and innovations influencing future power and water demand.

2022 HIGHLIGHTS



Credit Ratings

MOODY'S **Aa3 / STABLE**

FitchRatings **AA- / STABLE**

ESG Rating Agencies



*No score publicly available for 2020 from CSR Hub

Disclaimer Statement: The use by TAQA of any MSCI ESG Research LLC or its affiliates ("MSCI") data, and the use of MSCI Logos, Trademarks, Service Marks or Index names herein, do not constitute a sponsorship, endorsement, recommendation, or promotion of TAQA by MSCI. MSCI services and data are the property of MSCI or its information providers, and are provided 'as-is' and without warranty. MSCI names and logos are Trademarks or Service Marks of MSCI.

GENERATION

Supply of Abu Dhabi's power and water	90%+
Gross operating power generation capacity	TAQA 24.15 GW including 5.0 GW under construction
	Masdar 7.33 GW clean power capacity from Masdar
Desalination capacity in the UAE	1,060 MIGD
	including 200 MIGD under construction
Global commercial availability	98.1%

TRANSMISSION & DISTRIBUTION

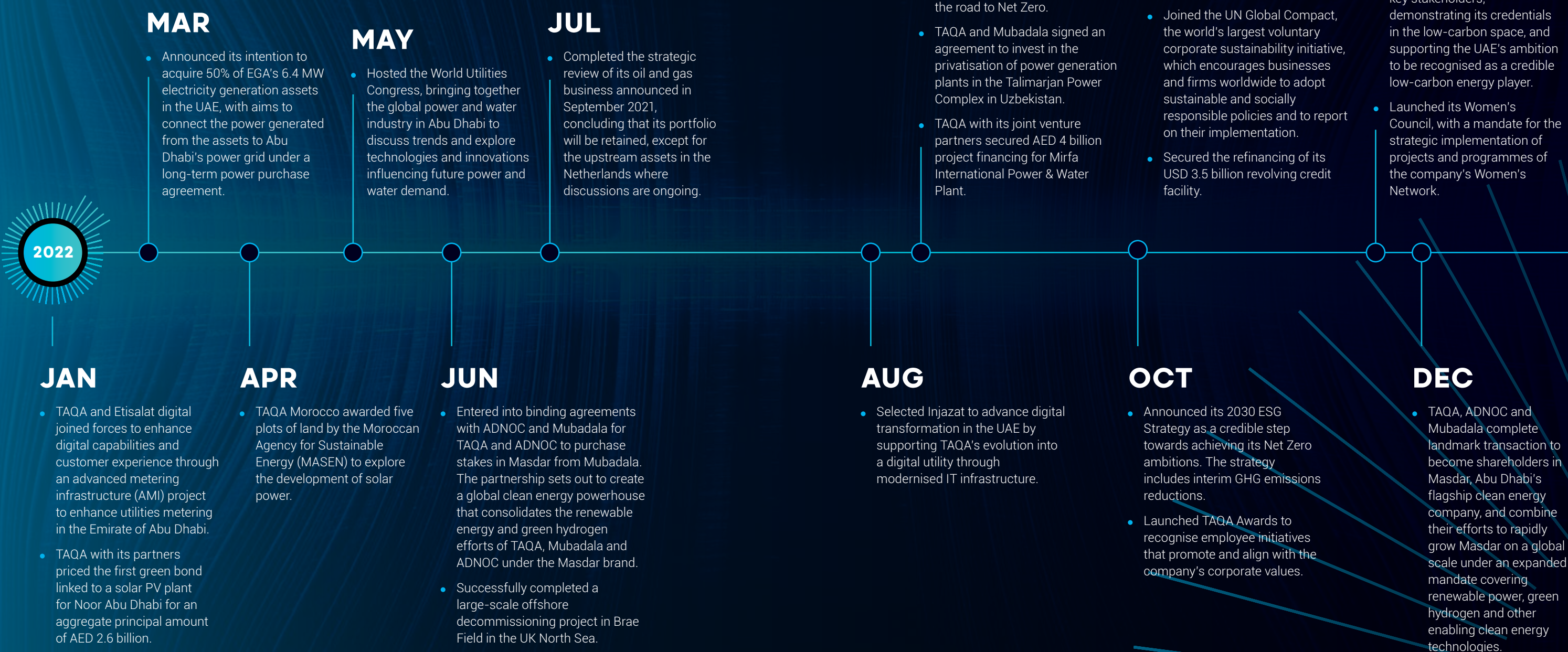
Power networks	90,000 KM
Water pipelines	21,000 KM
Individual end-user connections	1 MILLION+
Transmission power asset availability	99.30%
Transmission water asset availability	97.78%

OIL & GAS

Global production	123.8 mboe/d
-------------------	---------------------

YEAR IN REVIEW

Throughout a notable and eventful year, TAQA delivered significant progress across its business and operational footprint. The company achieved a wide range of strategic, financial and operational milestones, forging new partnerships and progressing its ESG journey, whilst also continuing to support its people and create value for all its stakeholders.



AT A GLANCE

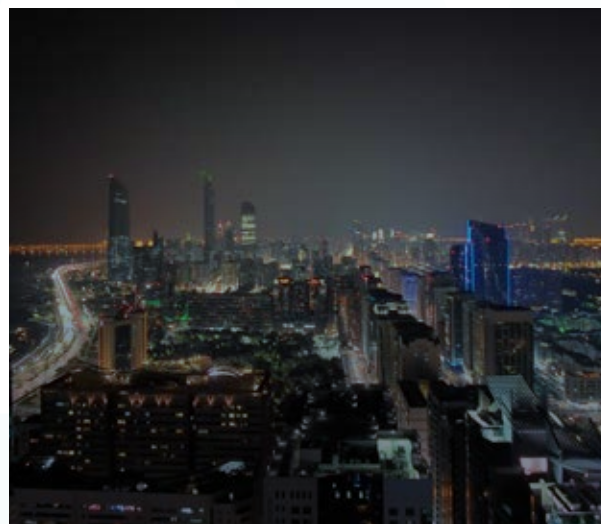
UAE Operations



1 \ TRANSMISSION

Abu Dhabi Transmission & Despatch Company (TRANSCO)

TRANSCO is responsible for the planning, construction and operation of the transmission network used to transmit water and electricity from power and water generators to the distribution networks operated by ADDC and AADC and, where required, to other emirates in the UAE.



2 \ DISTRIBUTION

Abu Dhabi Distribution Company (ADDC)

As the sole distributor of water and electricity in the city of Abu Dhabi and the surrounding areas, ADDC plans, operates, maintains and owns network distribution assets and directly interfaces with power and water customers in Abu Dhabi's central and Al Dhafra regions.

Al Ain Distribution Company (AADC)

AADC is the sole distributor and supplier of water and electricity to the Al Ain region east of Abu Dhabi. Energised by a focus on world-class infrastructure performance and superior customer service, AADC connects more than 250,000 service points in Al Ain City and surrounding areas.



3 \ ENERGY SERVICES

Abu Dhabi Energy Services (ADES)

ADES is a Super ESCO (energy services company) that simplifies and accelerates the development of water and electricity efficiency projects in government and private sector buildings across the Emirate of Abu Dhabi.



4 \ GENERATION

We have 11 operational power generation and water desalination plants across the UAE.

Abu Dhabi Future Energy Company (Masdar)

Masdar is a leading global clean energy company promoting renewable energy and green hydrogen to address sustainability challenges. Established in 2006, jointly owned by ADNOC, Mubadala and TAQA, and active in over 13 countries, Masdar helps them to achieve clean energy objectives and sustainable development with over 7 GW of gross power capacity, including more than 2.8 GW under construction.

AT A GLANCE

UAE Operations – Generation



GENERATION ASSETS

1

SHUWEIHAT S1

- Combined-cycle gas fired power plant and water desalination
- 1.6 GW of electricity
- 101 MIGD of desalinated water
- TAQA (60%), ENGIE (20%) and Sumitomo (20%)

SHUWEIHAT S2

- Combined-cycle gas-fired power plant and water desalination
- 1.6 GW of electricity
- 101 MIGD of desalinated water
- TAQA (60%), ENGIE (20%), Maruben (10%) and Osaka Gas (10%)

SHUWEIHAT S3

- Combined-cycle gas fired power plant
- 1.6 GW of electricity
- TAQA (60%), Sumitomo (20.4%) and KEPCO (19.6%)

2

MIRFA INTERNATIONAL POWER AND WATER PLANT

- Combined-cycle gas fired power plant and water desalination
- 1.7 GW of electricity
- 53 MIGD of desalinated water
- TAQA (60%), ADFG (20%) and ENGIE (20%)

3

UMM AL NAR

- Combined-cycle gas fired power plant and water desalination
- 1.6 GW of electricity
- 96 MIGD of desalinated water
- TAQA (60%), ENGIE (20%) and Jera (20%)

4

Taweelah A1

- Combined-cycle power plant and thermal-based water desalination facility
- Gross power capacity of 1.7 GW
- Gross water desalination capacity of 84 MIGD
- TAQA (60%), ENGIE (20%) and Total (20%)

Taweelah B

- Three distinct power generation and desalination facilities, including simple, open and combined-cycle gas turbines and multi-stage flash distillation
- Gross power capacity of 2.2 GW
- Gross water desalination capacity of 162 MIGD
- TAQA (70%), Marubeni (14%), Powertek (10%) and Kyuden (6%)

5

FUJAIRAH F1

- Combined-cycle power plant and hybrid multi-stage flash and reverse osmosis desalination plant
- Gross power capacity of 882 MW
- Gross water desalination capacity of 131 MIGD
- TAQA (60%) and Sembcorp (40%) FUJAIRAH F2

FUJAIRAH F2

- Combined-cycle power plant and reverse osmosis desalination plant
- Gross power capacity of 2.1 GW
- Gross water desalination capacity of 132 MIGD
- TAQA (60%) ENGIE (20%) and Marubeni (20%)

6

NOOR AD

- Currently the world's largest single site solar photovoltaic (PV) plant
- Gross power capacity of 940 MW (AC)
- TAQA (60%), Marubeni (20%) and Jinko Power (20%)

ASSETS UNDER DEVELOPMENT

FUJAIRAH F3

- Most efficient and largest independent gas fired power plant in the UAE
- 2.4 GW of electricity
- TAQA (40%), Mubadala (20%) and Marubeni (40%)

Taweelah Reverse Osmosis

- The world's largest reverse osmosis desalination plant upon completion
- 200 MIGD of desalinated water
- 69.8 MW of on-site solar generation
- TAQA (20%), Mubadala (40%) and ACWA Power (40%)

AL DHAFRA SOLAR PV

- The world's largest single site solar PV plant upon completion
- Gross power capacity of 1.5GW (AC)
- Set world record for lowest tariff for solar power (1.32 US cents/kWh) at time of financial close
- TAQA (40%), Masdar (20%), EDF Renewables (20%) and Jinko Power (20%)

AT A GLANCE

International Assets

We are present across four continents in 11 countries: Canada, Ghana, India, Iraq, Morocco, the Netherlands, Oman, Saudi Arabia, the United Arab Emirates, the United Kingdom and the United States.



POWER GENERATION

1. UNITED STATES

LAKEFIELD WIND FARM (MINNESOTA)

- Power capacity: 205.5 MW
- 50% TAQA ownership

2. MOROCCO

JORF LASFAR COAL-FIRED POWER PLANT

- Power capacity: 2,056 MW
- 86% TAQA ownership (Units 1-4)
- 91% TAQA ownership (Units 5-6)

3. GHANA

TAKORADI TRI-FUEL POWER PLANT

- Power capacity: 330 MW
- 90% TAQA ownership

4. SAUDI ARABIA

JUBAIL GAS-FIRED POWER PLANT

- Power capacity: 250 MW
- 25% TAQA ownership

TANAJIB COGENERATION & WATER DESALINATION PROJECT (under development)

- Power capacity: 940 MW
- Steam: 1,084 tons per hour
- Water desalination capacity: 5.25 MIGD
- 60% TAQA/Marubeni ownership

5. OMAN

SOHAR ALUMINIUM SMELTER

- Power capacity: 1,000 MW
- Aluminum production: 375,000 TPA
- 40% TAQA ownership (smelter)

6. INDIA

NEYVELI LIGNITE POWER PLANT

- Power capacity: 250 MW
- 100% TAQA ownership



OIL AND GAS

7. CANADA

- TAQA-operated and non-operated onshore oil and gas assets
- Net production: 72.5 mboe/day

8. UNITED KINGDOM

- TAQA-operated and non-operated offshore oil and gas assets
- Net production: 39.9 mboe/day

9. NETHERLANDS

- TAQA-operated offshore and onshore oil and gas assets and two gas storage facilities
- Net production: 3.2 mboe/day

10. IRAQ

- Atrush oil field
- Gross production: 35.9 mboe/day



operations in

11
countries

INVESTMENT CASE

As one of the largest integrated utilities in the GCC, TAQA is uniquely positioned to attain a leadership position in the dramatic energy transition underway.

AN EXPANSIVE PRESENCE



- **29.9 GW** of gross power generation capacity*
- Over **1,000 MIGD** of gross water desalination capacity
- **Over 110,000 km** of water and electricity networks
- **~1 million** end-user connections in the UAE
- **~125 mboe/d** production capacity
- Global footprint spanning **40+ countries**

* Based on operational and under construction capacity. Includes capacity from Masdar

DRIVEN BY A WELL-DEFINED STRATEGY



- **Exclusivity rights** for participating in all future Transmission & Distribution and power generation projects in Abu Dhabi
- **AED 40 billion** investment in Transmission & Distribution by 2030 maintain and grow Regulated Asset Base in the UAE
- **50 GW** gross power capacity by 2030
- Building **O&M capabilities** to enhance TAQA's role in future generation projects
- Sustaining **O&G production capacity** across Canada and Iraq, while decommissioning assets in the North Sea in a cost efficient and environmentally friendly manner
- Financially **disciplined growth** by ensuring standalone investment grade rating

STRONG FINANCIAL POSITION PROVIDES ROOM TO FUND GROWTH



- One of the **highest rated** utilities in the world: Aa3 by Moody's and AA- by FitchRatings**
- **Long-term fixed price** power and water off-take contracts with strong, credit worthy offtakers translating into solid visibility on resilient cash flow generation
- Net debt-to-LTM EBITDA ratio of 2.5x provides substantial borrowing capacity to **fund future growth**, while maintaining standalone investment grade rating

** Final investment grade rating by both Moody's and FitchRatings

VYING TO BECOME A GLOBAL ESG CHAMPION



- ESG forms a vital component of TAQA's **Group strategy**
- ESG-centric strategy announced in 2022, setting milestones enroute to the target of **Net Zero scope 1 & 2 emissions** by 2050
- **25%** reduction in scope 1 & 2 greenhouse gas emissions across the portfolio by 2030, compared to 2019 baseline
- **25%** reduction in water distribution losses by 2030, compared to 2021 baseline
- Females to constitute **30%** of management positions by 2030



02

BUSINESS REVIEW

Chairman's Statement	24
Group CEO and Managing Director's Statement	26
Creative Value to Meet Ambitions	30
Our Strategy	32
Operational Review	34
Generation	34
Transmission & Distribution	42
Oil & Gas	48
Health, Safety & Environment	52
Our People	56
Sustainability	62

CHAIRMAN'S STATEMENT

Delivering on our strategy. Driving sustainable growth.

With energy security and volatile commodity prices impacting global markets, 2022 was a challenging year for the global utilities sector. In parallel, it has become more urgent than ever for companies to accelerate plans to be part of the climate change solution.

Despite these complexities, TAQA Group maintained momentum in delivering on its strategy while harnessing the opportunities presented by the energy transition and driving sustainable growth. In doing so, we were able to continue to realise greater value for our shareholders and contribute to the UAE's decarbonisation and economic transformation goals.

Our national leadership have set out a clear vision for the coming decades for the UAE by being the first in the MENA region to announce a Net Zero emissions target by 2050. In line with the national objectives, TAQA has committed to be a Net Zero company by 2050.

In addition to this, TAQA announced its new ESG strategy with the full support of the Board along with interim targets for 2030. This strategy sets out several initiatives across ESG pillars and prioritises robust corporate governance and risk management across the Group to safeguard our business. To this end, we established the Board Sustainability Committee to ensure that ESG oversight and responsibility is integrated into decision-making at the supervisory level.

In 2022, TAQA also completed the transaction for a stake in Masdar, which sees three national champions come together to back Abu Dhabi's flagship clean energy company Masdar. In partnership with ADNOC and Mubadala, TAQA will continue to support Masdar's ambitious growth objectives in renewable power and green hydrogen in the UAE and across the globe.

Alongside TAQA's various other milestones, the Masdar transaction shows our focus and disciplined approach to growth which has enabled strong financials and quarterly dividends. Our robust performance is also reflected in very strong credit ratings and significantly improving ESG ratings from global agencies, which in turn allows us to continue making strategic investments that broaden our impact and accelerate our growth.

Marked as the 'Year of Sustainability' by His Highness Sheikh Mohamed bin Zayed Al Nahyan, President of the United Arab Emirates, the year ahead is an exceptionally important time for the UAE. As the country gears up to host the UNFCCC's 28th Conference of the Parties (COP), we will make it a priority to showcase our market-leading expertise and our contributions to accelerating decarbonisation, alongside reliably meeting current needs for energy and water.

On behalf of the TAQA Board of Directors, I would like to thank everyone who has supported the company on its incredible journey to date. The past few years have shown that our vision for the future of TAQA powers exemplary progress. With the continued trust of our shareholders, I believe we are truly well positioned to deliver on our goals for 2030 and beyond.

Mohamed Hassan Alsuwaidi
Chairman of the Board of Directors



TAQA Group maintained momentum in delivering on its strategy while harnessing the opportunities presented by the energy transition and driving sustainable growth.



GROUP CEO AND MANAGING DIRECTOR'S STATEMENT

Strategic progress. Outstanding performance.

As a responsible and sustainable utilities company, TAQA has demonstrated that it is focused on delivering on what it promises. The company has maintained its strategic focus in 2022, executing its growth and ESG ambitions and demonstrating tangible progress on the targets it has set. This focus was reflected in the strength of our financial and operational performance throughout the year.

Group revenues increased to AED 50.0 billion, primarily due to higher commodity prices within the Oil and Gas segment. This double-digit revenue growth combined with some cost improvement, resulted in year-on-year growth of 35% in net income to reach AED 8 billion. These strong financial results will allow us to continue to invest in delivering against our ambitions without compromising on strong returns for our shareholders.

In March 2021, we announced our 2030 Strategy for Sustainable Growth and Returns, promising to become a company that puts ESG at the heart of what we do. In 2022, we announced a 2030 ESG Strategy to the market, including substantial GHG emission reduction targets that are backed by a clear roadmap for delivery. These emission reductions of 25% of scope 1 and 2 emissions by 2030 across the Group, including a 33% reduction of UAE portfolio, have set us on a path to achieve Net Zero by 2050 and to be a substantial contributor to the UAE's national emissions reduction targets. Alongside emission reductions are several other material initiatives addressing all the dimensions of ESG.

Another highlight of 2022 was hosting the inaugural World Utilities Congress in Abu Dhabi. As part of our growth and ESG strategies, we set out to become a sustainable business partner and the Congress provided a platform to bring together industry players from across the globe to discuss the key challenges and opportunities linked with delivering the practical changes required to enable the energy transition. The importance of such an event, in May, was amplified by geopolitical issues that brought energy security sharply back into the minds of leaders in many parts of the world.

Throughout the year we saw significant progress across the business in terms of growth and operational achievement, while also working hard on our core value of being 'Safe' by ensuring the health and safety of our employees, contractors, assets and the environment.

In our Generation business, we saw completion of our landmark transaction making us the largest shareholder in Masdar's renewables business, alongside ADNOC and Mubadala as well as a shareholder in Masdar's new green hydrogen business. With the backing of TAQA and the other shareholders, Masdar aims to become one of the largest clean energy companies in the world. The acquisition of our stake in Masdar immediately accelerated TAQA's own renewables journey, meaning, we will achieve the target set in our ESG strategy of having 30% of our gross generation capacity coming from renewables, ahead of 2030.

In line with our target of increasing domestic capacity to 30 GW by 2030, we announced that we will acquire a 50% stake in the power generation assets of EGA and connect EGA to the Abu Dhabi grid through TRANSCO. This will allow EGA to tap into low carbon power sources so they can produce green aluminium.

On the international front, we furthered our growth and expansion into operations and maintenance by signing agreements to invest in the privatisation of gas-fired power generation plants in the Talimarjan power complex in Uzbekistan. This is a new market for TAQA and, alongside Mubadala, we expect to acquire a 40% stake in the plants and assume the operations and maintenance activities in the plants.



Strong financial results will allow us to continue to invest in delivering against our ambitions without compromising on strong returns for our shareholders.



Operationally, the business also passed several milestones, including the first energisation of the Al Dhafra Power Plant, set to be one of the world's largest and most cost effective single-site solar PV plants. The project, which will be 1.5 GW of capacity upon completion, is set to complete in 2023 reinforcing Abu Dhabi's globally recognised strength in solar PV. Taweelah RO also hit many capacity milestones and will reach full commercial operations in 2023, producing lower-carbon desalinated water. At 200 MIGD once completed, it will be the world's largest plant of its kind.

At Noor Abu Dhabi, currently our largest operational solar PV plant, we brought operations and maintenance in-house; another credible step towards growing our capabilities and strengthening our position as an integrated low-carbon power and water champion. We, together with our partners, also announced the successful pricing of green secured bonds for the aggregate principal amount of AED 2.6 billion by Noor Abu Dhabi. The bonds were one of our first forays into green financing and the proceeds from the bonds issued were used to refinance the existing debt facilities of the project company.

We, together with our partners, also secured AED 4.0 billion in project financing for the Mirfa International Power & Water plant. The long-term financing will mature in 2042 and was used to refinance the company's existing debt facilities.

Our Transmission and Distribution business line also continued to make strong progress on its growth and optimisation plans throughout the year. Most notably, we, along with ADNOC, reached financial close for a USD 3.8 billion strategic first-of-its-kind in the region high-voltage direct current (HVDC) sub-sea transmission network to decarbonise ADNOC's offshore production operations. Once complete, this project will connect ADNOC's offshore facilities to the Abu Dhabi onshore power network, operated by TRANSCO and replace existing offshore gas turbine generators with low carbon power sources. This project, as well as the EGA grid connection, are good examples of the role TAQA has in supporting the de-carbonisation of hard to abate industries and underscores why we joined the IRENA Decarbonisation Alliance during 2022.

Maintaining momentum across other critical transformation areas remained a primary focus for Transmission and Distribution throughout the year. This included joining forces with Etisalat to enhance digital capabilities and customer experience through an advanced metering infrastructure (AMI) project. The project will see connectivity of the AMI in Abu Dhabi grow from 30% to 100% across the Emirate.

We also collaborated with Injazat to advance digital transformation in the UAE, by supporting TAQA's evolution into a digital utility through modernised IT infrastructure.

On the Oil and Gas front, we finalised the strategic review of our portfolio and concluded that we will retain the portfolio apart from upstream assets in the Netherlands. Whilst we concluded that the best option was for us to retain the majority of the assets, our overall strategy remains focused on becoming a low carbon power and water champion with growth coming through expanding our utility businesses. That means we will continue to operate our existing oil and gas portfolio to the highest standards possible.

In the UK North Sea, we successfully and safely decommissioned Brae Alpha Rig and Brae Bravo Jacket, meeting our timelines and budget underlining our strong project delivery capability. We will continue to build industry leading decommissioning capabilities to support our future requirements.

Another highlight of the year was helping to secure Europe's energy needs over the winter period by ensuring capacity was filled at our strategically important Gas Storage Bergermeer asset in the Netherlands.

Finally, reflecting on 2022, it would not have been possible to achieve all we have without the unwavering dedication of our employees, partners and stakeholders who continue to place their trust in TAQA and work alongside us in 11 countries. I would like to thank them all.

Looking ahead to 2023 and beyond, TAQA remains steadfast in its commitment to its growth and sustainability journey, whilst delivering value for its shareholders and stakeholders alike. Pragmatism remains at the heart of our approach, balancing the ongoing needs of energy security today with the need to accelerate the development of clean energy and support decarbonisation in other industries - all of which requires good financial performance and a strong balance sheet.

TAQA has made strong progress and achieved a lot in 2022, but there is still a lot to do. We will continue to look for opportunities to collaborate and grow and to bring value to our shareholders as well as support the economic and sustainable vision of the UAE's Leaders.

Jasim Husain Thabet

Group Chief Executive Officer and Managing Director



CREATING VALUE TO MEET AMBITIONS



Mission	To be a low carbon power and water champion				
Vision	To provide the clean power and water that governments, businesses and consumers need for a sustainable and successful life				
Purpose	Powering a thriving future by efficiently providing sustainable and reliable energy and water to unleash the unlimited potential of people and place				
Values	Safe We put safety above all else 	Sustainable We do what is right for our environment, community and people 	Collaborative We are stronger together 	Innovative We seek creative ways to deliver results 	Excellence We strive for exceptional performance 

	Optimisation		Growth		
Strategic pillars & key themes	Create an integrated and efficient utility company 	Partner with the government to establish optimal regulatory system 	Enhance security of supply to maintain demand growth in UAE and internationally 	Expand product portfolio to shift towards customer centric solutions 	Become a sustainable leader and decarbonisation partner in the UAE 

Enablers	Capability building Develop people capabilities for sustainable growth 	Financial discipline Ensure financial stewardship and consider monetisation options 	ESG Become the UAE's ESG champion sustainably delivering on our corporate strategy and objectives 	Innovation & digitisation Enable optimisation of existing business and ability to innovate for growth in new business models 
-----------------	---	--	--	---

As TAQA continues its journey to become the low carbon power and water champion, our refreshed 2030 Strategy focuses on optimisation and growth with four key enablers:

CAPABILITY BUILDING

1

Develop people capabilities for sustainable growth

FINANCIAL DISCIPLINE

2

Ensure financial stewardship and consider monetisation options

ESG

3

Become the UAE's ESG champion, sustainably delivering on our corporate strategy and objectives

INNOVATION & DIGITISATION

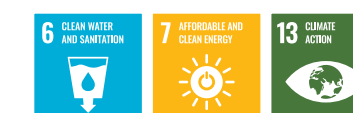
4

Enable optimisation of existing business and ability to innovate for growth in new business models

Alignment with United Nations Sustainable Development Goals (UNSDGs)

The UNSDGs represent a set of 17 overarching and interconnected social, economic and environmental sustainability goals that are intended to be achieved by 2030. These global goals are designed to create a better and more sustainable future for all through, among other issues, tackling climate change, ensuring access to clean water and affordable energy and ending poverty. The energy sector plays an important role in the pursuit of the UNSDGs and lies at the heart of climate action. TAQA remains supportive of the UNSDGs and aligns its programmes and initiatives with the UNSDG goals most relevant to the energy sector in which its operations fall. The UNSDGs were also leveraged in the development of the ESG Strategy, enabling further alignment.

Energy sector focus



ESG Strategy focus



Supportive of all other SDGs



For more information on our sustainability efforts, refer to our latest Sustainability Report.

OUR STRATEGY

Our Strategic Pillars

Pillars

OPTIMISATION

Theme

Create an integrated and efficient utility company

Targets/Plan of action

- Achieve top quartile performance through operational improvements (domestic and international portfolio) in Generation
- Achieve top quartile operational performance and networks availability in T&D
- Achieve top quartile performance through operational improvement and value optimisation and deliver efficiently on decommissioning program in O&G

Theme

Partner with the government to establish optimal regulatory system

Targets/Plan of action

- Reach an optimal RC2 settlement with DoE with a forward-looking framework which is a better fit for TAQA

GROWTH

Theme

Enhance security of supply to maintain demand growth in UAE and internationally

Targets/Plan of action

- Lead UAE power and water capacity growth – Addition of 12 GW capacity in UAE
- Grow international generation portfolio including renewables – Up to 15 GW capacity addition internationally and 30% renewables
- Ensure 2/3rd of sea water desalination capacity in Reverse Osmosis technology
- US 11 bn RAV additions through substantial UAE-based infrastructure and networks growth projects

Theme

Expand product portfolio to shift towards customer centric solutions

Targets/Plan of action

- Develop industrial alliances and prepare for future expansion in hydrogen

Theme

Become a sustainable leader and decarbonisation partner

Targets/Plan of action

- Decarbonisation of customer power supply
- Electrification of industrial processes
- Energy efficiency and Demand Side Management (DSM)
- Decarbonisation of transportation

Enablers

CAPABILITY BUILDING

Theme

Develop people capabilities for sustainable growth

Plan of action

- Improve Emiratisation capabilities by attracting and developing local talent
- Become an integrated player – owner, developer and operator in Generation
- Focus on customer centric solutions and improve customer's experience in T&D
- Build decommissioning capabilities for O&G

FINANCIAL DISCIPLINE

Theme

Ensure financial stewardship and consider monetisation options

Plan of action

- Maintain dividend policy and standalone investment grade credit rating to maximise value
- Formulate prudent investment strategies to ensure targeted return levels and risks are consistent with corporate strategic objectives and risk assessment
- Implement strong capital ranking process to maximise returns to shareholders, while maintaining portfolio resilience
- Develop optimal funding strategies that maximises value and minimises cost of capital

ESG

Theme

Become the UAE's ESG champion and partner to the journeys of other players in the country, sustainably delivering on our corporate strategy and objectives on the way to achieving Net Zero

Plan of action

- Achieve Net Zero Scope 1 and 2 by 2050
- Reduce scope 1 and 2 emissions across the Group by 25% and in UAE by 33% by 2030 compared to the 2019 baseline (interim)
- Reduce energy consumption for desalination
- Reduce losses in water distribution by 25% in 2030 (Internal target to be set at 30% by 2030)
- Increase transparency of reporting
- Reinforce diversity across 4 groups: gender, age, nationality and PoD (People of Determination)
- Have 30% women in management positions by 2030
- Focus group CSR efforts on 2 themes: Education equality and Environment covering 8 SDGs
- Increase CSR spend above current levels both nationally and globally
- Adopt governance best practices beyond local regulations and requirements

INNOVATION AND DIGITALISATION

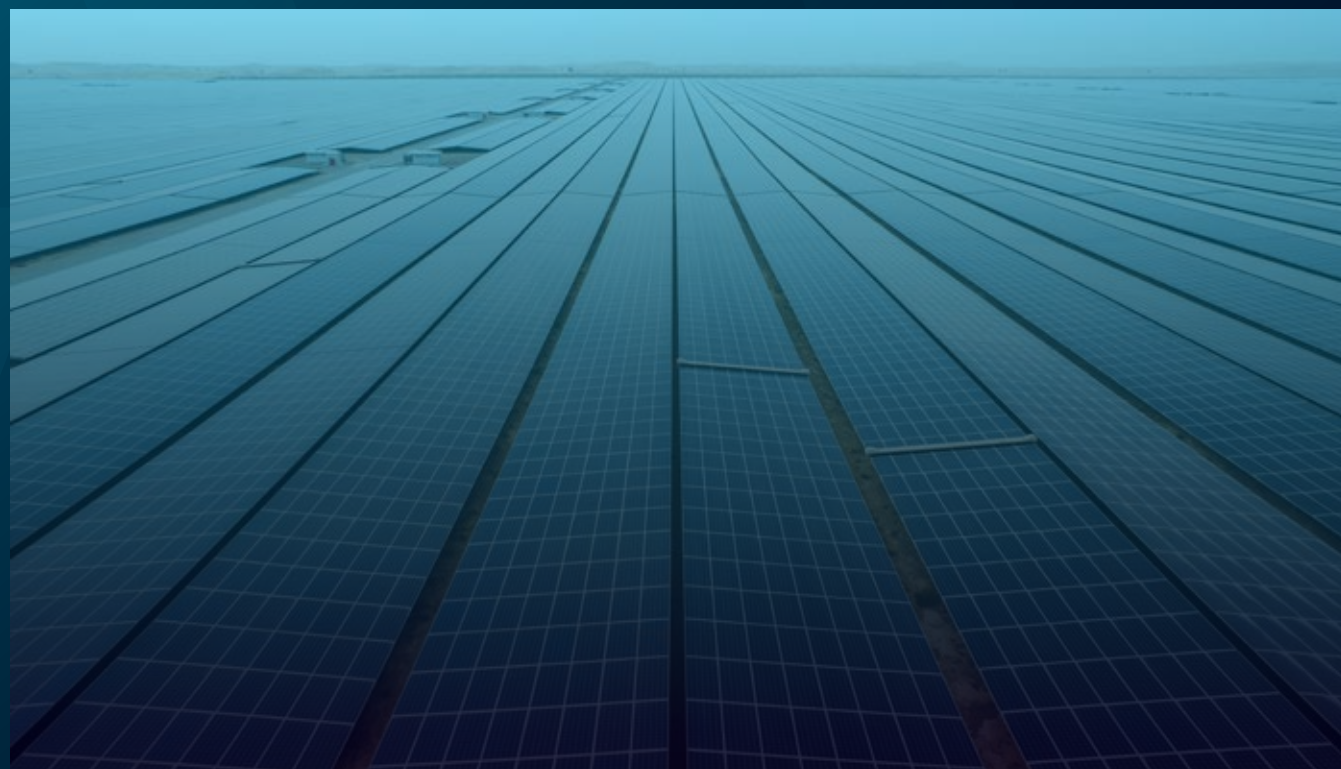
Theme

Enable optimisation of existing business and ability to innovate for growth in new business models

OPERATIONAL REVIEW

Generation

TAQA's Generation business spans seven countries, namely, the United Arab Emirates, Ghana, India, Morocco, Oman, Saudi Arabia and the United States.



Generation Strategic Priorities



Increase gross power capacity to 30 GW in the UAE and add up to 15 GW internationally



Expand highly efficient reverse osmosis technologies to make up two-thirds of desalination capacity with 205 MIGD already under construction



Focus on clean energy – including solar photovoltaic (PV) – to comprise more than 30% of the power generation portfolio by 2030



Expand operations and maintenance capabilities



Retire less efficient, older plants

In the UAE, TAQA's Generation portfolio caters to over 90% of Abu Dhabi's power and water demand by operating 11 power generation and water desalination plants. These assets supply a total of 16 GW of gross operating power generation capacity, including 940 MW (AC) of renewable energy, and significant additional renewable energy from early generation capacity from the Al Dhafra project late in the year. There are two power projects under construction in the UAE. The first is Fujairah 3 at 2.4 GW of capacity which will be the most efficient and the largest IPP in the UAE using the latest gas turbine technology in the market. The second is Al Dhafra Solar PV Project of 1.5 GW (AC) capacity, set to be one of the world's largest single-site solar PV plants. Both facilities are on track for commissioning during 2023.

TAQA's UAE operational water desalination portfolio has a capacity of 860 MIGD with a further 200 MIGD under development at the Taweelah RO (Reverse Osmosis) facility. The plant successfully tested its maximum capacity in 2022 and has started exporting a significant quantity to the grid, but is expected to be completed in early 2023, making it one of the world's largest RO desalination plants.

Internationally, our Generation portfolio has 4.1 GW of operational power generation capacity. TAQA, with its joint venture partners, is constructing a power, water, and steam co-generation plant in the Kingdom of Saudi Arabia (KSA) with a capacity of 940 MW power and 2,390 Kilo Pounds Per Hour (KPPH) of steam, which is set to start commercial operations in 2025.

During 2022, TAQA substantially increased the contribution of renewables in its global power generation mix by adding Abu Dhabi Future Energy Company (known as Masdar) to its Generation portfolio. This was achieved after the successful completion of the strategic acquisition of an ownership interest of 43% in Masdar's renewables business. As part of the same transaction, TAQA has also positioned itself in the emerging green hydrogen space with a 24% stake in Masdar's new green hydrogen joint venture.

The Generation business is on track to deliver its strategic priorities. TAQA announced in March 2022 that it is looking to take on more than 5.4 GW of power generation capacity through an acquisition of Emirates Global Aluminium's (EGA) gas fired power assets in Jebel Ali and Al Taweelah, in partnership with Dubal Holding.

Through its stake in Masdar, which has 7.3 GW of gross power capacity operational and under construction in the UAE and abroad, TAQA has almost reached its goal to have 30% of its portfolio come from clean energy by 2030. TAQA has continued to focus on efficient RO technology, progressing construction on Taweelah RO as an integral part of the company's ESG strategy to reduce GHG emissions by 2030. It has grown its operations and maintenance (O&M) capabilities bringing O&M in-house at Noor Abu Dhabi, one of the world's largest single-site solar projects. It has begun decommissioning Taweelah A2, one of the first build-operate-transfer projects in the UAE, to make way for a pipeline of more efficient power plants.



TAQA's Generation business forged strategic partnerships and closed landmark transactions that redefined the boundaries of our company and our sector. Throughout 2022 we accelerated our Group's strategic progress through the Masdar acquisition, entering into new markets, overcoming global challenges to deliver new projects and expanding our operations and maintenance capabilities. We are firmly on track to achieve our 2030 growth targets.



Farid Al Awlaqi
Executive Director of Generation

OPERATIONAL REVIEW

Generation continued

Fleet wide average commercial technical availability

POWER



WATER



UAE POWER



INTL. POWER



UAE WATER



TAQA has the right to participate, through a minimum 40% interest, in all future Abu Dhabi power generation and water desalination projects announced by the Emirates Water and Electricity Company (EWEC) up to 2030. Following the Masdar acquisition, TAQA will offer its ownership interests in future Abu Dhabi renewable power projects to Masdar.

Fleet Operations

TAQA's Generation portfolio continued to demonstrate strong operational performance during the year. The power generation facilities achieved technical and commercial availability of 93.0% and 96.7%, respectively, which is an improvement over 2021 of 0.7% and 1.2%, respectively. The water generation facilities sustained their strong performance achieving technical and commercial availability of 95.0% and 99.4%, respectively, almost on par with last year with the latter improving slightly during the year by 0.2%.

The improvement was mainly driven by the recovery of two of our plants from major outages, at Shuweihat 3 (1.6 GW CCGT in UAE) and Takoradi (330 MW CCGT in Ghana). Some of our older plants faced some technical difficulties that are expected in late life assets and are being addressed, including Umm Al Nar, Taweelah B and Shuweihat 1.

An extensive operations and management transformation was carried out at the Takoradi Ghana power plant, resulting in availability of more than 80% for the first time since its upgrade in 2014.

Power production from the UAE fleet fell by ~10% (or 7 GWh) during the year, primarily due to the increase in power from Barakah Nuclear Plant. The fall in production did not negatively affect our revenues as these are related to availability which remained strong during the year.

Overall production of our international fleet was slightly higher than last year, mainly due to higher production volumes in India.

The quantity of desalinated water produced by the existing operational fleet reduced, as water from Taweelah RO, which is under construction, started producing early generation desalinated water and dispatching it to the network.

Total Generation Revenue:

AED 13.8 bn
27.7%
of Group revenue

International Generation Revenue:

AED 6.0 bn
12.1%
of Group revenue

Generation highlights (AED million)

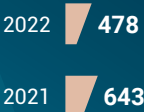
REVENUE



EBITDA



NET INCOME (TAQA'S SHARE)



With the majority of our power and water generation fleet operating under long-term take or pay agreements, the key driver of financial performance, therefore, is availability which remained strong during the year.

Our Generation revenues increased by 12%, which was mainly driven by the increase in fuel prices, in particular for coal, for our international assets. Under existing tariff structures, fuel prices are a pass-through, resulting in an increase in both revenues and costs, but with no material impact on profitability.

EBITDA declined slightly from AED 7,663 million to AED 7,608 million, while net income declined more aggressively by 31.6% to AED 455 million (2021: AED 665 million). Both profitability measures were negatively impacted by a c. AED 400 million provision related to expected credit loss and regulatory exposure on certain international projects. Additionally, the retirement of certain assets in mid-2021 led to a less favorable year over year comparison.

UAE

Taweelah A2 was retired in October 2022 upon maturity of its off-take agreement with EWEC. The plant was slated for decommissioning and dismantling during 2022, in line with our strategy to retire older, less efficient assets. Other gains/ (losses) increased mainly due to gain recognised on decommissioning of Taweelah A2 plant during the last quarter of current year.

Similarly, our Generation company Al Mirfa Power Company (AMPC) partially decommissioned and initiated disposal of retired assets in Al Ain, Madinat Al Zayed and a few other decommissioned remote area Generation units, which translated into a net gain for our Generation business.

OPERATIONAL REVIEW

Generation continued

We took significant strides in developing our UAE operations during 2022, in line with our strategic focus to become a sustainable leader and decarbonisation partner in the UAE. In January, the successful **pricing of TAQA's green senior secured bonds** for an aggregate principal amount of USD 700.8 million (AED 2.6 billion) by Noor Abu Dhabi was the first green bond linked to a large solar plant and a significant achievement for TAQA and its joint venture partners, as the first green finance transaction and one of the region's largest green bond issuances.

The bond proceeds refinanced the then existing debt of Sweihan PV Power Company (SPPC), which built, owns and operates Noor Abu Dhabi, one of the world's largest single-site solar PV plants. This transaction generated significant value for the shareholders of SPPC and for EVEC, as procurer, through an extension to the debt maturity by five years on the back of a five-year Power Purchase Agreement (PPA) extension to 2049. This was secured with the support of the Abu Dhabi Government.

In addition, TAQA and SPPC brought all operations and maintenance (O&M) management of Noor Abu Dhabi in-house to enable more hands-on management of critical plant functions. This move marks the first time a UAE-based company fully manages the O&M of a single-site solar PV plant of this record-breaking scale. It is set to create opportunities to maximise asset performance, deliver yield cost savings and create opportunities for increased in-country value.

We also secured USD 1.09 billion (AED 4 billion) **refinancing for Mirfa International Power & Water Plant (MIPCO)**, the project company that owns and operates the Mirfa Power & Water Plant (Mirfa IWPP). The competitive finance rate achieved during a shift in market conditions, is testament to the faith in the solid track record of our UAE business which maximised returns for our shareholders and business partners. Nine international and regional lenders participated in this refinancing. The refinancing is fully aligned with our strategic direction and desire to drive growth by funding major utility projects in Abu Dhabi.

Furthermore, our Taweelah Reverse Osmosis facility successfully tested its maximum capacity, reaching 200 MIGD and is expected to be completed by early 2023. Taweelah has a supply capacity of 909,200 cubic meters per day and the desalination facility is sufficient to meet the water demand for over 350,000 households, making it one of the largest RO water desalination plants in the world. The plant continues to set new benchmarks for efficiency and cost of water produced, with the adoption of RO technology replacing thermal desalination.

TAQA reached another milestone in 2022 with the connection to the grid of 1.1 GW of capacity from the Al Dhafra PV2 Solar project. The plant will reach its full power capacity of 1.5 GW (AC) in 2023, supplying sufficient electricity for an estimated 160,000 homes across the UAE.

As already mentioned, we are looking at acquiring a 50% stake in EGA's 5.4 GW power generation assets and connecting EGA to the Abu Dhabi grid, which will enable EGA to have access to clean energy sources. The acquisition is designed to deliver power asset and generation optimisation to the sector and accelerate the decarbonisation of EGA's aluminium production in the UAE.

The UAE's first commercial scale decommissioning project of the Taweelah A2 plant has been initiated, establishing a framework for future decommissioning of retired assets in the country.

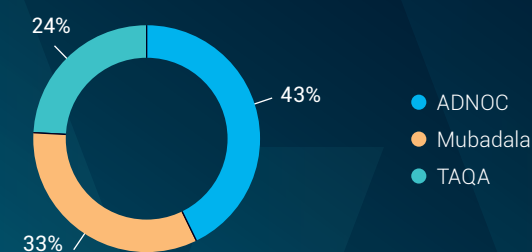
Across our UAE operations, these milestones demonstrate how the Generation business continues to focus on achieving the highest standards of sustainability, while making significant contributions to delivering TAQA's strategy during the year.

Completing a landmark transaction for a clean energy powerhouse

During 2022, TAQA completed a landmark transaction alongside Mubadala and ADNOC, where all three of these entities now hold equity interest in Masdar.

The transaction was first announced in December 2021 by His Highness Sheikh Mohamed bin Zayed Al Nahyan, President of the United Arab Emirates. This ground-breaking transaction was completed just 12 months later and will see three Abu Dhabi champions combine their efforts to rapidly grow Masdar on a global scale under an expanded mandate. The speed of this transaction showcases the company's rapid execution of its growth strategy.

The transaction valued the new Masdar joint ventures at approximately AED 7 billion (USD 1.9 billion) on a 100% equity basis. In line with the strategic value and expertise contributed by TAQA to the new venture, the binding agreements saw TAQA acquire a 43% controlling stake in Masdar's renewables business with Mubadala retaining a 33% interest, and ADNOC owning the remaining 24% interest. Meanwhile, ADNOC holds a 43% controlling stake in Masdar's new green hydrogen joint venture, while Mubadala retains a 33% interest and TAQA holds a 24% stake.



TAQA has almost reached its renewables target of 30% of gross installed capacity ahead of 2030.

With an expanded mandate, Masdar targets to grow to at least 100 GW of renewable energy capacity globally by 2030, with a focus on wind and solar technologies. On the green hydrogen front, the company is targeting an annual production capacity of 1 million tonnes by 2030.

As part of the deal, TAQA will offer its ownership interests in future Abu Dhabi renewable power projects to Masdar.

International Assets

Our Ghana project was able to achieve high levels of availability and provided the network with safe, efficient, and reliable power after making several operational and technical improvements. However, we remain cautious due to the challenging economic environment and the challenges the Government is facing. We will continue to maintain the technical and operational reliability of this facility, while closely monitoring the economic situation. During the year we did not witness any delay in payments from the offtaker. In Ghana, the focus in 2022 was on delivering transformation initiatives, bolstering the operating model, and achieving a range of performance improvements.

Our subsidiary, TAQA Morocco experienced a significant increase in coal prices during 2022. Pass-through of the cost of fuel is permitted under the contract, however, higher coal prices have resulted in rising inventory costs, which have impacted working capital balances. This additional funding requirement has been met through short-term borrowing from local banks.

In the Morocco power plant, improvements continue to be made across a range of areas to drive the energy transition, enhance sustainability and corporate culture, and drive digital transformation to remain ahead of the competition. Our ongoing commitment to operational excellence saw one of the largest power plants in MENA continue to deliver a top quartile performance, while we also developed a broad spectrum growth and decarbonisation strategy. TAQA Morocco was also awarded sites to develop a 96 MW solar plant in the Masen PV II tender process.

Our investment in a tolling agreement at the Red Oak project in the USA ended in September 2022 and TAQA has begun the process of unwinding the partnership through which this investment was held.

OPERATIONAL REVIEW

Generation continued

In Oman, Sohar Aluminium benefitted from improvements in London Metal Exchange (LME) prices resulting in a rise in profitability.

TAQA also continued to execute its strategy and drive growth across its international operations, with significant progress across geographies.

In September 2022, TAQA and Mubadala signed agreements to invest in the privatisation of operational gas-fired power generation with the potential opportunity to invest in further plants under construction and in the development of the Talimarjan power complex in Uzbekistan.

Investing alongside Mubadala in these power plants means TAQA will become a major generator in Uzbekistan. The existing owners, Talimarjan Issiqlik Elektr Stansiyasi JSC (TIES) will retain a 20% stake.

The transaction remains subject to the satisfaction of certain conditions precedent, including obtaining any applicable regulatory or other approvals. Completion of this transaction is expected to occur during 2023.

This transaction represents another credible milestone towards our commitment to deliver 15 GW of new international capacity by 2030 and also significantly expands our operation and maintenance activity, another key part of our strategy.

In Saudi Arabia, as the sponsor and co-developer of the Tanajib Cogeneration Plant in the Eastern Province of Saudi Arabia, TAQA is closely involved in monitoring developments to ensure delivery of the plant on schedule and within budget. The Tanajib project consists of a greenfield industrial steam, water and electric cogeneration plant and seawater desalination plant, which will supply electricity, steam, and desalinated water to the new oil and gas facilities in the area owned by Aramco.

Securing the Health and Safety of Our People

Safety is a core value for TAQA and in 2022 we focused on elevating our HSE performance. We achieved a 0.00 Recordable Injury Rate (RIR) in the Generation business, with no fatalities or serious injuries, surpassing our KPI targets for the year. This standout achievement was supported by increased focus on monitoring and addressing a range of leading HSE indicators across our Generation operating companies.

We took steps to continue to strengthen our HSE culture and capabilities. Reporting of HSE observations and near miss events improved significantly in 2022, with an increase of 85%.

HSE improvement plans were developed across all international operated assets, with agreed action items identified for completion in 2022. We successfully completed 98% of the action items.

During 2022, an HSE transformation programme was carried out for the UAE IWPP non-operated assets. Safety culture maturity surveys and independent HSE baseline site assessments were completed across all UAE IWPP assets. The outcome and recommendations from the IWPP site assessments will form the basis of HSE improvement plans for completion in 2023.

Generation in 2023

In the year ahead, the Generation business will focus on a range of strategic initiatives, building on the momentum created in 2022.

We will look to complete the Talimarjan transaction, finalise the acquisition of the EGA power business and prepare an associated strategy and operating model, and ensure progress of the Tanajib Cogeneration Plant within agreed milestones. We will continue to seek and develop further low carbon and large-scale generation investment opportunities.

In addition, we will seek to increase our O&M business footprint, while also conducting a full assessment of decarbonisation initiatives across the fleet and continuing various transformation initiatives of our international assets to drive sustainable improvement.

We will focus on the integration of Masdar and supporting it on its growth journey to reach 100 GW target for renewables capacity by 2030.

OPERATIONAL REVIEW

Transmission & Distribution

TAQA's Transmission & Distribution business, which is the sole provider of power and water for the Emirate of Abu Dhabi, demonstrated strength and operational excellence in 2022 in contributing to the Group's sustainable growth.

Across its operations and footprint, Transmission & Distribution drove positive change and strategic progress, which resulted in sustainable value creation for TAQA and all our stakeholders. During 2022, TAQA's Transmission & Distribution business continued to drive the energy transition in the UAE with major milestones reached, including the financial close for Project Lightning and the successful interconnection of Unit 3 of the Barakah Nuclear Power Plant into our network.



Transmission & Distribution 2030 strategic targets



Invest an additional AED 40 billion by 2030 to maintain and grow our UAE Regulated Asset Base



Focus on operational excellence, customer service excellence, and digitalisation across the entire value chain



Strengthen the position of energy services to further demand-side management, enabling public and private entities to realise energy savings targets

Breakdown of revenue for Transmission & Distribution*

ADDC

AED 18.62 bn

AADC

AED 6.50 bn

TRANSCO

AED 5.29 bn

*Before inter company revenue elimination

Transmission & Distribution delivered strong operational performance during 2022, with high availability of the power and water networks, exceeding our achievements in 2021.

Our transmission power asset availability improved to 99.30% compared to 99.03% in 2021, and the transmission water asset availability improved to 97.78% compared to 97.76% in the previous year. Our service availability, which measures our ability to meet customer demand, remains as high as last year at 99.99%.

In distribution, the duration of service interruptions continued to decrease to an average of 76.00¹ minutes, a 6.4% improvement compared to 2021. In addition, the combined average number of interruptions experienced by customers declined by 9.4%.

1. Net of exceptional events



TAQA's Transmission & Distribution business accelerated our transformation across a range of strategic fronts, while achieving new mandates and driving positive change in our markets, to solidify our position as an industry leading utility known for performance excellence and sustainable value creation for all our stakeholders.

Omar Al Hashmi

Executive Director of Transmission & Distribution

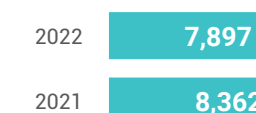
Solid availability and rising revenues

Financial Highlights (AED million)

Revenues



EBITDA



Net Income



CAPEX



OPERATIONAL REVIEW

Transmission & Distribution continued

Our Transmission & Distribution business contributed net income of AED 4.2 billion for the year, a decrease of circa AED 250 million compared to the previous year, mainly due to recognition of one-off revenues during 2021.

Revenues increased by AED 163 million, primarily as a result of a higher pass-through bulk supply tariff (BST) cost of AED 0.7 billion, which was partially offset by one-off revenues recorded in the previous year.

Strategic progress in Transmission & Distribution

During a year of significant progress and robust performance, the Transmission & Distribution business continued to establish itself as a strategic and future-focused utility, in line with high industry standards and global best practices.

Our regulated business, which is the core of our activity and the majority of TAQA's revenue, continued its transformation programme in 2022. With a strong focus on operational excellence, in both our network operations and our customer facing operations, this transformation will position our business as a top performing utility.

In parallel, on the network operations side, a number of strategic initiatives were ongoing during the year to ensure safe, reliable and efficient performance, while building the capabilities needed for future growth and success.

Transformation for efficiency

Our primary focus operationally was maintaining momentum across critical transformation areas. For example, our supply chain transformation excelled through the introduction of strategic procurement to drive value and increase process agility. As a result, savings of 5.3% were delivered, despite unfavourable market conditions, and there was a 9% improvement in procurement cycle times. We also launched our In-Country Value (ICV) programme to support local economic development.

Our maintenance transformation saw the continued implementation of advanced analytics and digital solutions to increase network reliability and enhance staff productivity.

Our capital excellence programme included assessing all our portfolio, programme and project management practices to define a roadmap for enhancement of capital delivery capabilities.

In addition, in early 2022 we announced the launch of the Advanced Metering Infrastructure (AMI) programme. The AMI

programme sees the Distribution Companies take further steps to lay the groundwork for TAQA to become a digital utility through modernised IT infrastructure. The programme's workstreams will deliver new capabilities, address risks and upskill staff on new technologies.

Driving customer service excellence

Our customer excellence programme continued to deliver value through a holistic approach that combines human capital needs, leading practices in customer engagement, technology and innovation. The programme combined customer satisfaction improvement initiatives previously launched in 2021 with business process reengineering to shape the customer operating model to support our digitalisation and low-carbon agenda.

As a result of these initiatives, customer KPIs improved for both distribution companies compared to 2021 with a strong performance on their respective commitments on service levels and an improvement in customer satisfaction scores. This was supported by customer service excellence initiatives and continuous improvements in contact centre operational performance, including reduced customer waiting time, enhanced contact centre service levels, and on-time billing performance.

Enhanced HSE reporting

We continued to deliver HSE transformation and strengthen our HSE focus and capabilities during 2022, supporting sustainable growth across our business.

Our HSE transformation project saw the completion of its first phase, with active engagement of TAQA's leadership through regular site visits, safety awareness discussions and performance reviews. Building on the success of the first phase, phase 2 was initiated, to enhance HSE management systems with focus on ownership at the line organisation level.

As a result of these measures, we achieved a headline injury measure of Recordable Injury Rate of 0.20 and we succeeded in significantly improving proactive reporting. This was achieved by encouraging all employees and contractors to report any unsafe acts, unsafe conditions and behavioural observations.

We drove improvements in our environmental strategy through tailored OpCo Environment Management Systems enhancements. We also simplified reporting of greenhouse gas emissions across the business line.

Operational Highlights

Transmission business

TRANSCO continued to prioritise the transmission of power and water according to the highest international benchmarks of reliability and safety. In 2022, TRANSCO delivered power and water through its electricity network of 10,971 km and 3,422 km of water pipelines.

TRANSCO recorded a 16,393 MW peak demand for power, and a 791 MIGD peak demand for water, continuing a similar performance to that of 2021.

Infrastructure developments

Transco completed a number of key infrastructure projects during the year. These included:

Taweelah RO: TRANSCO enabled the interface integration to deliver over 200 MIGD into the network from the Al Taweelah RO plant.

Al Dhafra PV: TRANSCO successfully back energised Al-Dhafra PV-2.

Fujairah F3: TRANSCO completed the overhead lines for Fujairah F3 and declared readiness ahead of the PPA (Power Purchase Agreement) date and involved in ESF (Electrical Special Facility) work.

The company also completed 19 EPC projects worth AED 1.5 billion and five projects for energised equipment valued at over AED 459 million.

Barakah Nuclear Power Plant

Following the successful 2021 commercial launch of Unit 1 of the Barakah Nuclear Power Plant, the UAE's first nuclear power station, the Emirates Nuclear Energy Corporation (ENEC) announced the commercial operation of Unit 2 in March 2022, adding a further 1.4 GW of power to the grid. ENEC also announced the successful synchronisation of Barakah Unit 3 with the UAE national grid (TRANSCO) in September of 2022, which added another 1,400 MW of zero-carbon emission electricity capacity to the national grid.

TRANSCO has been part of these momentous achievements through the interconnection of the Barakah Nuclear Power Plant into its network through the successful completion of multiple switching stations, overhead lines and integration projects.

Decarbonising ADNOC's Offshore Facilities

In 2022, TRANSCO has been involved in contributing to a world-class project for ADNOC which will see a first-of-its-kind subsea transmission network in the MENA region that will support the UAE's Net Zero by 2050 strategic initiative. Following the USD 3.8 billion project financing in September, this project (which is currently under construction) will supply 1,200 MW (through DAS cluster) and 2,000 MW (through ZAKUM cluster) from the TRANSCO Grid to ADNOC Offshore facilities.

TAQA and ADNOC Close Landmark Clean Energy and Decarbonisation Transaction

In September 2022, TAQA and ADNOC announced the successful financial closing of a USD 3.8-billion-dollar strategic project to power and significantly decarbonise ADNOC's offshore production operations. The first-of-its-kind high-voltage direct current (HVDC) sub-sea transmission network in the MENA region will allow ADNOC to reduce its carbon footprint from its offshore operations by more than 30% by replacing existing offshore gas turbine generators with more sustainable power sources available on the Abu Dhabi onshore power network, operated by TRANSCO.

OPERATIONAL REVIEW

Transmission & Distribution continued

Distribution business

During 2022, ADDC and AADC maintained their focus on optimising distribution and ensuring the highest levels of reliability for consumers.

Power network reliability indicators showed a combined 6.0% improvement in average outage duration for each customer served (SAIDI) and a combined 9.4% improvement on average number of interruptions a customer may experience (SAIFI).

Expanding water distribution footprint

AADC led the construction of the first Automated Tanker Filling Station in the region with a daily capacity of 1,400 tankers, a state-of-the-art traffic management system and automated pressure and flow controls translating to a complete hands-free operation of the station.

Meanwhile, ADDC launched its first tanker management centre (TMC). The TMC will enable ADDC to monitor and control water tanker movement, establish a competitive and fair water tariff, and optimise tanker water services.

Quality and compliance

Both the distribution companies achieved optimal compliance levels across their networks, maintenance and service levels, customer service compliance and water quality.

Advanced Metering Infrastructure (AMI)

In early 2022, ADDC and AADC entered into an agreement with Etisalat for the upgrade and management of the company's AMI, including provision of seamless connectivity in order to enhance and ensure the efficient operation of more than one million smart metres. The multi-year project continued to progress during 2022.

AC rebate programme for residents

A pilot was launched to give rebates to local residents for the purchase of high efficiency split AC systems. The AC rebate programme was assessed and redesigned to improve uptake and a new retail partner was brought into the scheme, which has been submitted to DoE for approval.

Enhanced collections

The Distribution Companies achieved the highest collections in the last 20 years, by focusing on key and institutional accounts and enhanced governance. This has enabled better cash flow management within the companies.

Energy efficiency

The Distribution companies drove ISO 50001-compliant energy management systems into Abu Dhabi's largest industrial sites over a period of three years. This included increasing energy savings targets in large Abu Dhabi industrial sites and delivering energy management training sessions and workshops at Abu Dhabi industrial sites in 2022.

In addition, a significant amount of water savings was achieved by both distribution companies through retrofitting projects across religious facilities in Abu Dhabi and Al Ain.

Energy services business

Following a series of successful engagements with prominent government entities in Abu Dhabi throughout 2022, Abu Dhabi Energy Services (ADES) commenced the implementation phase of retrofitting 18 buildings and facilities for the United Arab Emirates University and the Department of Culture and Tourism.

ADES, in its capacity as the Super ESCO of the Emirate of Abu Dhabi, and in line with the Abu Dhabi Demand Side Management and Energy Rationalisation Strategy (DSM) 2030, plays an instrumental role in funding, developing and executing energy efficiency projects aiming to reduce operational costs and improve the carbon footprint in government-owned assets, and beyond.

2023 outlook

In 2023 our Transmission & Distribution business will focus on delivering the multi-year customer excellence programme, as well as growing the pipeline of non-regulated business, while supporting TAQA's sustainability ambitions.

We will also continue a range of ongoing strategic, operational and transformation journeys, including:

- **Supply chain transformation:** Maintain focus on value delivery and agility improvement, with emphasis on enhancing capital delivery capabilities as a key enabler of the CAPEX plan. Enhance supplier management to build stronger relationships with key suppliers, improve supplier performance and develop new supplier options with focus on local UAE suppliers
- **Maintenance transformation:** Continue implementation of our digital operations strategy to support operational excellence and our reliability-centred predictive maintenance strategy
- **Capital excellence:** Enhance our project planning, monitoring and control capabilities to ensure strong delivery of our capital programme
- **HSE planning and capability building:** recruit additional HSE talent, implement further HSE leading indicators, enhance our HSE reporting competencies, processes and tools, and complete Phase 2 of our HSE transformation project and carry out the HSE setup for Phase 3
- **Customer service excellence:** Continue implementation of initiatives that enhance our customer experience to continually increase satisfaction scores using digital platforms while driving demand side management

OPERATIONAL REVIEW

Oil & Gas

TAQA's Oil & Gas footprint spans across three continents with operations in Canada, the United Kingdom, the Netherlands and Iraq. In 2022, Oil & Gas made a major contribution towards the Group's strong financial and operational results.

The high commodity price environment coupled with efficient execution of the capital programme, delivering increasing production year-on-year, were key factors to helping achieve this.



Oil & Gas strategic priorities



Focus on delivering safe and reliable operations



Support and deliver on TAQA's ESG Strategy



Efficient and effective execution of capital and abandonment programmes to deliver value



Ensure high asset availability to meet the energy needs of our customers

Robust performance and supportive market conditions

2022 was a successful year for TAQA's Oil & Gas business with improvements delivered across key financial, operational and safety metrics compared to the previous year. Our results benefitted from the higher commodity price environment and we captured this value through delivering stable production volumes. This more than offset the cost pressures and introduction of certain windfall taxes which were imposed during the year.

In 2022, the Oil & Gas business generated a net income of AED 4.7 billion, representing close to 60% of the Group's net income for the year. The results also represent an improvement of AED 2.5 billion, or 113%, compared to the previous year. As mentioned previously, this was largely due to the improved commodity price environment, which in turn drove revenues to AED 10.1 billion for the year, an increase of AED 3.1 billion versus 2021.

With respect to the commodity price environment, the average realised oil price rose significantly to USD 87.79/bbl in 2022 compared to USD 64.23/bbl in 2021. Similarly, average realised gas prices increased to USD 8.21/mmbtu, from USD 4.78/mmbtu in 2021.

Average daily production for 2022 was 123.8 mboe/d, showing small improvements versus 2021, while operating costs increased by AED 0.7 billion, driven by inflationary pressures on our cost base.



Excellent performances in HSE, asset availability and efficient delivery of all the 2022 approved programmes throughout the portfolio were the foundations for solid operational and financial results. A favourable commodity price environment enhanced the Oil & Gas positive contribution to the Group.

Franco Polo
Executive Director of Oil & Gas

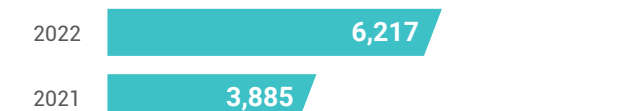


Financial Highlights (AED million)

Revenues



Adjusted EBITDA



Net Income



CAPEX



OPERATIONAL REVIEW

Oil & Gas continued

Robust production supporting energy security

During 2022, the Oil & Gas business delivered a robust operational performance achieving a small increased in production volumes year-on-year and 100% fill capacity at our key gas storage facility, both of which played a key role in delivering the strong financial results already discussed.

Improvements in production were achieved through efficient delivery of the development programme across Canada, as well as higher reliability across the portfolio which helped to offset the natural decline and impact of the Plug & Abandonment campaigns being delivered in the UK.

One of the main highlights for the year was helping to secure Europe's energy needs over the winter period, by ensuring that capacity at our Gas Storage Bergermeer asset in the Netherlands was full, thereby delivering on the requirement set out by the EU.

Production (mboe/d)		
	2021	2022
Canada	72.3	72.5
Europe*	41.3	43.1
Iraq	8.8	8.2
O&G	122.4	123.8

*Includes volumes from the UK and the Netherlands

Maintaining focus on HSE and ESG

Health and Safety is our highest priority and is critical to the success of our business. In 2022, we reported improvements in our Recordable Injury Rate (RIR) as well as the number and volumes of our uncontained spills. Our RIR improved compared to 2021 ending the year at 1.79 compared to 1.90 for the previous year, and we recorded 27 uncontained spills with a volume of 16,698 litres compared to 35 spills with a volume of 136,524 litres in 2021.

The Oil & Gas business made positive progress during 2022 in driving TAQA's ESG priorities on GHG emissions. GHG emissions from all our assets are tracked and reported, and we undertook a range of projects which are either in execution or have delivered to help drive reductions in emissions, including:

- Crossfield Acid Gas Injection Project in Canada completed in late 2021

- Gas Solution projects in Iraq, critical emission reduction equipment procured in 2022 with emission reductions expected in late 2023
- Off-Gas Compressor project at Gas Storage Bergermeer ongoing with completion expected in H2 2023

We also contributed to the ESG goals, for example, by ensuring in the UK that over 95% of the dismantled materials from the Brae Bravo Jacket and Brae Alpha Rig Removal projects are recycled.

Strategic progress in Oil & Gas

During the year, TAQA completed a full strategic review of the Oil & Gas portfolio which concluded with the decision to retain all our assets other than the upstream assets in the Netherlands. The transaction remains subject to obtaining applicable regulatory and other third-party approvals.

With that said, Oil & Gas remained focused on maximising value from its existing portfolio.

In Canada, the team efficiently executed its development programme to achieve volume targets for 2022, as well as an impressive reserves replacement ratio for the second year in a row. We also made considerable progress on the Upper Mannville Gas Treatment Plant Expansion 2 project, which will increase compression and capacity and drive cost efficiencies in the future.

In the UK, the decommissioning strategy was progressed. Key contracts for the removal and disposal of multiple Norther North Sea facilities were awarded, whilst from an execution point of view the team successfully and safely completed the Brae Bravo Jacket and Brae Alpha Rig Removal projects, and continued to progress the execution of various Plug & Abandonment campaigns.

In the Netherlands, projects continued to progress at Gas Storage Bergermeer to deliver improved asset reliability.

Furthermore, in Iraq, we successfully drilled a water disposal well and debottlenecked surface facilities to improve produced water handling capabilities.

Oil & Gas in 2023

In the year ahead, TAQA will continue to prioritise delivering safe and reliable operations of its Oil and Gas portfolio, whilst contributing to achieving progress towards TAQA's Corporate and ESG Strategies, and minimising our environmental footprint whilst targeting and delivering sustainable value for the Group.

We expect and aim to deliver value through efficient and effective execution of capital and abandonment programmes across the portfolio and by ensuring high asset availability to meet the energy needs of our customers.

HEALTH, SAFETY & ENVIRONMENT

During 2022, we continued to build on our track record of HSE excellence, through a wide range of ongoing and new programs and initiatives to raise awareness, develop capabilities and align all our stakeholders.

Safety is a core value for our company and continuously improving our safety culture across our operations is a top priority as we work together to ensure we are keeping our people, communities, assets and the environment safe from harm.

To help reinforce this mindset, we held our first Global Health, Safety, Security and Environment Week in December. The week started with a global virtual kick-off session hosted from our HQ in Abu Dhabi, which was followed by a programme of in person and virtual events and leadership site visits across the TAQA footprint over the course of the week. The combined global attendance over the week exceeded 3,150 participants and received over 90% positive feedback overall.

TAQA has set out a comprehensive ESG strategy based on the six areas where our business has the most material impact, including health and safety. To support delivery of the strategy, we are developing a suite of additional Group standards that further define how to deliver safety and environmental performance at our sites, capturing existing industry good practices and input from subject matter experts across our Operating Companies.

We also launched a new project to improve and simplify our Greenhouse Gas reporting methodologies. This project will involve the introduction of a verifiable online tool to allow our OpCos to report and record GHG data.

HSE performance in 2022

Enhanced reporting of Behavioral and Hazard Observations and Near Misses continued as a focus for the Group this year, as related learnings help prevent future incidents. We placed a strong emphasis on ensuring that our people seek further opportunities to report these observations, which resulted in a 165% increase in observations being reported compared to last year, and regular key learning from our incidents being cascaded across the Group. We also launched an Executive site visit programme in the second half of 2022, to increase leadership visibility, and promote and reinforce good HSE behaviors across the organisation.

A HSSE & Wellbeing Steering Group was also established and convened regularly throughout the year to promote awareness and review HSE incidents and trends with representatives across our headquarters.

A transformation programme was agreed with our UAE IWPPs (non-operated assets) in 2022, where we are working more closely with our external partners to drive improvement in risk management and HSE performance in line with existing governance arrangements. Safety culture maturity surveys and independent third party HSE baseline assessments were completed across all IWPP assets, with the outcome and recommendations from the assessments forming the basis of HSE improvement plans and agreed actions to be addressed and completed during 2023.

For 2022, our headline injury measure of Recordable Injury Rate was 0.53, a slight drop compared to 0.55 in 2021. There were a total of 27 recordable injuries for the year, which was identical to the previous year, therefore the drop reflects an approximately 5% increase in man-hours worked. Of the 27

recordable injuries, 0 fatalities occurred and 15 were Lost Time Injuries (LTIs), which represents a 35% increase in the most severe category of non-fatal injuries from 11 the previous year. Through improved investigations, learning from incidents and addressing emerging trends and insights, we strive for continuous improvement in safety within our operations in line with TAQA's HSE management system. We continue to focus our efforts on eliminating injuries and fatalities in our activities and seeking to increase our influence on our partners where TAQA is not the operator, through shared workshops and HSE reviews.

Meanwhile, the number of uncontained spills significantly decreased from 2021, dropping from 37 to 28 this year, while the volume spills also decreased dramatically by around 85% year-on-year.

HSE Overview (year ended December 31, 2022)

	T&D		Gen*		O&G**		Group Totals**	
	2021	2022	2021	2022	2021	2022	2021	2022
Fatalities Number	1	0	-	-	-	-	1	-
RIR (incident/1 million hrs)	0.12	0.20	0.41	0.00	1.90	1.79	0.55	0.53
LTI (Number)	2	4	2	-	7	11	11	15
Recordable spills (number)	-	-	2	1	35	27	37	28

* Refers to TAQA operated assets only

** 2021 includes three LTIs and five reportable spills associated with assets that transferred operatorship to TAQA during the year

Looking at each of our business lines, our Oil & Gas business recorded 11 LTIs and 27 spills for the year; our Generation business was LTI-free and recorded a single spill in 2022; and our Transmission & Distribution business recorded 4 LTIs and 0 spills for the year.



Our deep commitment to HSE forms the foundation of our values as a company and is integrated into everything we do, both maintaining safe and reliable operations and unlocking value for our employees and stakeholders as we pursue continuous improvement and learning across our industry and markets.



Stephen Wackerle
Chief Risk and Internal Audit Officer

HEALTH, SAFETY & ENVIRONMENT

Strengthening HSE across our Group

Building on the independent HSE review and assessment of our T&D business that was previously completed, we developed a plan this year to execute key learnings in T&D and carry out the same type of assessments across the other business lines to identify areas for HSE improvement and transformation across the Group.

Implementation of the key recommendations of the T&D HSE review were carried out across the three T&D OpCos. Driven by TAQA's top leadership, we delivered a paradigm for HSE, resulted in a more focused approach to celebrating HSE successes, enhanced HSE performance reviews, more focused leadership engagement, and more safety awareness discussions with employees of all levels across the Group. A total of 40 out of 41 planned project actions were completed as of year-end, and compliance metrics were established and delivered at 99% overall.

Our Generation business completed an HSE review that began in 2021, which resulted in an associated implementation programme this year that saw 51 out of the 52 agreed implementation actions for 2022 completed as of year-end.

Meanwhile, the independent HSE review and assessment project for our Oil & Gas business was awarded at the end of 2022 and will be conducted in early 2023.

Raising safety standards

A long-standing strength of the Oil & Gas business, Process Safety has been a focus for our Group this year. We implemented a new programme to effectively transfer key lessons from our Oil & Gas business to manage and improve process safety in our Generation and our Transmission & Distribution business lines.

O&G launched a five-point HSE Action Plan to ensure industry-leading HSE standards are maintained.



1 CONTRACTOR MANAGEMENT

- Implement the newly created TAQA contractor management standard
- Agree standard guidance on the application of contract incentives
- Agree a standard APPROACH and Key Performance Indicator (KPIs) for worksite supervision of contractors and short service workers



2 LEADERSHIP ENGAGEMENT

- Agree a standard approach and KPI's for Leadership Site Engagement Visits
- HSE Intervention training for crews and supervisors
- Evaluate the use of field based HSE coaches to coach crews in interventions, Control of Work, Hazard Assessment



3 SHORT SERVICE WORKERS

- Agree on a standard approach for the management of 'Short Service Workers at field locations' in line with 'Green Hats' policy



4 HSE CULTURE ASSESSMENT

- Understand the HSE management system (CoE) maturity level and safety culture across the O&G Operating Companies
- Implement a standard approach to 'Just Culture' reviews



5 CONTROL OF WORK

- Implement the newly created TAQA Control of Work standard (2023)
- Implement CoW actions identified in the HSE management system Assessment

Identifying, Sharing & Implementing OPCO best practice

Brae Bravo decommissioning

TAQA UK safely executed one of the largest infrastructure removal projects ever carried out in the UK North Sea. The focus of the project was the iconic 36,000-tonne Brea Bravo oil & gas platform, which was decommissioned successfully and on budget without any safety incidents as a result of several years of careful planning, preparation and execution.

The challenging and complex program was described as 'class leading' by UK safety regulators. The team demonstrated excellence in project execution, providing an innovative template for TAQA UK to apply in the future.

This successful project once again demonstrated the strength of our talent and safety processes, positioning our business at the forefront of safety in our industry.



We also conducted Process Safety workshops across our Generation and T&D business lines to systematically document and analyse major accident hazards with our site teams. The output from this will be a Major Operational Risk Register, which will be a live document that will enable active management of our major identified process safety risks through a focus on barrier KPI's.

In line with our commitment to living our TAQA Values, we launched an annual award for our 'Safe' value in 2022. Team members from OpCos around the world submitted projects for consideration and winners were invited to Abu Dhabi to receive their awards as part of the annual TAQA Awards ceremony.

Recognising an increase in road traffic incidents, we developed and launched an online driving safety awareness course, targeted at over 4,500 personnel in the UAE.

We also kicked-off a project to enhance our incident reporting and investigation through improved training and more focused review of incidents, as part of a dedicated review panel.

OUR PEOPLE

Our Human Resources department continued to play a critical role in the execution of the company's strategy and rapid growth during 2022. Attraction and retention of talent remains a top priority for the organisation, as we look to deploy the best-in-class offerings for our workforce, with engagement strategies built on employee and stakeholder feedback.

Exploring new opportunities to innovate, engage and celebrate the achievements of TAQA's global workforce, the department's recent efforts have also aligned to support the Group's ESG strategy and 2030 interim targets.

We hosted 'TAQA Day', the first face-to-face, Group-wide event since before the pandemic. Featuring a host of onsite festivities and the inaugural TAQA Awards, a new platform dedicated to recognising the success stories of our employees, the event saw over 800 members of the global TAQA family in attendance in Abu Dhabi.

Attracting and developing talent

In 2022, we dedicated our efforts to ensuring we had the right skills, knowledge, and capabilities across our operations that would enable us to drive TAQA's strategic vision for growth.

Part of these efforts included the development of existing talent within the Group. We introduced multiple development programs targeted at identified talent groups such as senior leaders, future leaders and fresh graduates to ensure our talent is developed in line with our current challenges and future ambitions.

Training hours

By the end of the year more than 146,929 training hours were completed across TAQA Group.

Engaging and recognising our people

Across TAQA, we make it a priority to support each other and create a culture that celebrates successes, encourages collaboration and drives performance.

Our 2022 Employee Engagement Survey highlighted opportunities for improvement in areas related to employee work/life balance, well-being and recognition. The response rate for the survey was 94%, an increase of 8% compared to 2021. Overall employee engagement dropped by 3 points to 64% compared to last year, however, it remains 2 points higher than the Global Energy average.

Establishing a benchmark for improvement and influencing future policies, the results from the 2021 survey have led to the introduction of several programs and initiatives. This includes the recently launched Employee Assistance Program for HQ employees and their families, which is focused on delivering high quality support for a range of personal or work-related problems through in-person and online counselling services, amongst others.



TAQA's ongoing success story and our transformation into a low carbon energy and water champion continues to be propelled forward by the remarkable talent present across our global organisation. Encouraged by a progressive work culture, which embraces collaboration, drives professional development, and recognises personal achievements, we continue to attract and retain people with the capabilities and passion to contribute to achieving a Net Zero future.



Nabil Almessabi

Chief Human Resources Officer

OUR PEOPLE

TAQA Awards:

Bringing Our Values to Life

In response to the results of our Employee Engagement Survey, which highlighted recognition as fundamental to our continued success in retaining talent, we launched the TAQA Awards in 2022.

Sustainable Award



ADDC's DSM Irrigation Optimisation Initiative – A pilot project was kicked off by ADDC to explore water utilisation for irrigation purposes with certain large users in Abu Dhabi. The project's focus was to rehabilitate and automate irrigation systems to achieve maximum possible savings.

Safe Award



AADC Safety Accelerators Roadshow – AADC's Safety Accelerator's project is a proactive, novel initiative to elevate safety awareness amongst staff at an accelerated rate and promote an HSE culture. Comprising of five quick – win exercises for rapid safety involvement, the initiative has not only enhanced safety culture across the organisation but also boasts a 100% completion rate and complete achievement of all set targets.

People's Choice Award



TAQA UK Brae Bravo Decommissioning and Removal Project – TAQA UK executed one of the largest infrastructure removal projects in the North Sea to date, the topside removal of the 36,000-ton Brae Bravo platform. After years of careful planning and preparation, the execution of this challenging and complex program was described as 'class leading' by safety regulators.

Achieving our purpose of powering a Net Zero future is only possible through bringing our values to life via proactive, out-of-the-box thinking. The TAQA Awards support this ambition through a vibrant culture of employee recognition.

The first group-wide recognition program, the TAQA Awards celebrate the achievements of our employees across the Group as they relate to our core values: Safe, Sustainable, Collaborative, Innovative and Striving for Excellence.

The inaugural TAQA Awards ceremony was held in Abu Dhabi, with awards granted to exceptional individuals and teams for the following project and achievements:

Excellence Award



TAQA Netherlands Gas Storage Bergermeer (GSB) – Following various issues with the compressors at GSB, a cross discipline team undertook an ambitious and unprecedented modification to increase reliability of the compressors. The technically challenging project was completed in only ten months.

Innovative Award



TRANSCO Automated Power Flow –TRANSCO developed the Power Flow Analyser tool, a unique solution that automates Power System Simulator for Engineering (PSSE) analysis using python coding and Excel Visual Basic Analysis (VBA) applications. This time saving tool allows TRANSCO's planning team to make more effective decisions regarding the system reinforcement requirements in line with the energy transition and integration of renewable energy to the grid.

Collaborative Award



TAQA Atrush Shutdown – Faced with the challenges of COVID-19, the team safely and successfully planned and executed an 11-day full plant shutdown which required successful and effective collaboration across all disciplines.



Diverse workforce comprising of 70 nationalities



51% UAE nationals across TAQA's headquarters and UAE-based operating companies



6,911 employees across our global business



Commitment to 30% female representation in management positions by 2030

Our diverse international workforce

TAQA unveiled its new ESG strategy that clearly defines a set of diversity and inclusion targets, which have been incorporated as part of our HR Strategy.

Under the new ESG targets, we aim to enhance diversity and equal opportunity across gender, age, nationality and People of Determination, with a commitment to 30% female representation in management positions by 2030.

As part of our efforts to embrace a culture of diversity and inclusion, a TAQA Women's Council was established this year to support women in the power and water sector. Empowering women and enabling the proactive participation of female leaders within the organisation, the council provides its members with a platform to discuss opportunities for professional development and personal growth.

We established a Youth Council in 2022 to empower the next generation of future leaders with the skills and knowledge they would need to succeed. The Youth Council had a very strong and active presence at COP 27 in Egypt and will be heavily involved in the upcoming COP 28 taking place in the UAE.

We also continued to focus on expanding Emiratisation for our HQ and Transmission and Distribution assets, all the while supporting People of Determination across our business with awareness campaigns that highlighted the experiences of these individuals and encouraged people to celebrate our differences.

TAQA Group proudly has a diverse workforce that comprises of 70 nationalities. We also support Emiratisation at TAQA's headquarters and UAE-based operating companies with a total of 51% of the employees represented by UAE nationals.

On December 31, 2022 our workforce comprised of 6,911 full-time employees across our global business. These numbers do not account for employees at non-TAQA operated assets.

OUR PEOPLE

	Country	Number of FTEs	Personnel Departures	Female Participation	Total Females in Senior Positions*
TAQA HQ	UAE	299	21	88/299 (29%)	26/179 (14.52%)
AADC	UAE	1,558	54	391/1558 (25%)	24/102 (23.53%)
ADDC	UAE	1,877	73	370/1,877 (19.7%)	34/164 (20.73%)
TRANSCO	UAE	1,005	68	150/1,005 (15%)	21/142 (14.79%)
ADES	UAE	8	0%	1/8 (12.5%)	0/6 (0.00%)
AMPC	UAE	61	9	3/61 (4.92%)	1/2 (50.00%)
Jorf Lasfar	Morocco	475	7	26/475 (5.47%)	6/28 (27.27%)
TAQA Neyveli	India	132	4	8/132 (6.0%)	1/50 (2.00%)
Takoradi	Ghana	93	3	8/93 (8.6%)	1/9 (11.11%)
TAQA Atrush	Iraq	165	14	22/165 (13.33%)	1/14 (7.14%)
TAQA Atrush	UAE	7	0	2/7 (28.5%)	0/3 (0.00%)
TAQA Bratani	UK	810	11	162/810 (20.0%)	14/118 (11.86%)
TAQA Energy	The Netherlands	123	11	21/123 (17%)	1/17 (5.88%)
TAQA North	Canada	298	60	115/298 (39%)	11/39 (28.20%)

*Senior Positions = Males and Females in "Manager" and above, typically linked to Grade 5 and above in HQ and international OpCos, and Grade 15 and above in T&D OpCos.

Our People in 2023

Building upon our successes of 2022 and learning invaluable insights from our employee base, TAQA will continue to dedicate its efforts towards capability programmes to support the career evolution and growth of our employees.

Covering a wide range of areas including diversity and inclusion, personnel management, workforce planning, and strategic HR transformation, TAQA aims to cultivate an industry-leading work culture, which will not only attract and retain dynamic talent ideally suited for future leadership, but which also encourages imaginative and dynamic thinking that will become vital in the years to come as we progress towards Net Zero by 2050.



SUSTAINABILITY

Committed to the future

In line with our 2030 corporate strategy, TAQA has put environmental, social and governance pillars at the heart of its operations, with a focus on the decarbonisation of power and water supply, investing in lower carbon alternatives, as well as operating with the highest integrity while improving the lives of our employees and communities where we operate.

With our established ESG strategy, we are able to play a key role in the UAE's target to achieve Net Zero by 2050. We believe that it is essential to not only succeed in our business, but also to embrace the increasing number of opportunities where we can have a positive environmental and social impact.

Our broader ESG strategy is built around the six focus topics of climate change, water and effluents, occupational health and safety, diversity and equal opportunity, local community engagement and corporate governance. TAQA plans to communicate effectively and transparently on its performance across these core fields and material ESG disclosures, in line with global reporting standards, expectations set by leading ESG rating agencies, and industry best practices.



Environment

Climate Change

- Achieve Net Zero scope 1 and 2 GHG emissions by 2050
- Reduce scope 1 and 2 greenhouse gas (GHG) emissions across the Group by 25% and in the UAE by 33% by 2030, compared to the 2019 baseline
- Enhance climate resilience through reducing risks and increasing adaptive capacity

Water and effluents

- Reduce energy consumption for desalination by expanding highly efficient reverse osmosis technologies to make up two-thirds of desalination by 2030
- Reduce losses in water distribution by 25% in 2030 compared to 2021 baseline



Social

Occupational health and safety

- Increase the transparency of reporting related to occupational health and safety performance
- TAQA has made being 'safe' one of its company values as it works to cultivate a culture of safety and has several ongoing health and safety initiatives across the business

Diversity and equal opportunity

- Deploy initiatives and investments to improve diversity and equal opportunity across gender, age, nationality and people of determination
- Increase female representation to constitute 30% of all senior positions by 2030

Local community engagement

- Focus Corporate Social Responsibility (CSR) efforts into core themes: education equality and environment
- Increase CSR spend in an economically responsible way to increase positive impact



Governance

Corporate governance

- Adopt best-practices when it comes to governance and go beyond local regulations and requirements



As a responsible organisation with sustainability integrated at every level, TAQA is wholly committed to sustainability with ESG at the heart of our corporate strategy. In 2022, TAQA took the credible step in communicating our interim GHG reduction targets and broader ESG strategy demonstrating our commitment towards long-term sustainability in the UAE and more broadly. We take our position very seriously as a true low-carbon power and water champion and we will continue to execute on our ESG strategy to 2030 and beyond, as we support the UAE's own Net Zero aspirations.



Noel Aoun

Executive Director of Strategy and Sustainability

SUSTAINABILITY

Robust sustainability governance and management

TAQA has incorporated ESG management, systems and processes into the overall corporate governance across the Group. This involves formation of a dedicated Sustainability Committee by the Board of Directors of TAQA and a Sustainability Management Committee, an executive level committee, being the highest governance bodies in the Group.

Chaired by a Non-Executive member of the Board, the Sustainability Committee, which meets at least once every quarter, comprises highly qualified Board members who have the experience and expertise to advise on the ESG strategy and its implementation. The Committee oversees the allocation of resources for ESG-related activities, and reviews assessments of climate-related risks and opportunities. This Committee reports to the Board of Directors on ESG-related activities.

The Sustainability Management Committee, made up of all members of the Executive Management Team (EMT), including the GCEO, is primarily tasked with setting the direction of ESG strategy, prioritising targets and budgets and monitoring progress.

Sustainability responsibilities have been embedded within the different layers of the organisation, and strategic initiatives have been developed in alignment with the ESG strategy, enabling successful delivery on ESG priorities, as shown below.

With a clear ESG strategy, appropriate governance practices and defined initiatives across our businesses, we are empowered to create tangible impact on the environment and our communities. Our business sustainability hinges on ecological sustainability and each year we aim to build our contribution to both.

Corporate Social Responsibility

TAQA's commitment to corporate social responsibility has had a tangible impact on communities in which it operates. With operating companies based in Canada, the Netherlands, the United Kingdom, India, Ghana, Morocco and the United Arab Emirates, our businesses have a positive influence on people across our markets.

Underlining social, economic, and environmental pillars, our engagement is heavily focussed on equality in education, environment, health and infrastructure, while also supporting charitable causes that support the most vulnerable communities.

UAE

In the UAE, TAQA has established core councils for the empowerment of women and youth in the organisation, these councils are actively involved in the community, and have a mandate to empower women and youth in TAQA and across the energy sector. TAQA has established partnership with the Emirates Red Crescent, promoting their charitable campaigns, while also supporting them in establishing permanent donation facilities in Abu Dhabi and AlAin. To celebrate Emirati Women's Day, TAQA supported Al Ghadeer, the most comprehensive organisation in the UAE to empower underprivileged women through sustainable crafts. TAQA also raised awareness for the Al-Jalila Foundation for breast cancer patients.

TAQA's operating company, Al Ain Distribution Company (AADC), has collaborated with a number of charities and participated in fundraising events, including Emirati Children's Day – Gifts for Paediatric Cancer Patients, clothing donations to the Emirates Red Crescent and blood donation campaigns, supporting the UAE spirit of giving back.

Abu Dhabi Distribution Company (ADDC) has conducted educational sessions to promote electricity and water conservation tips by visiting 8 schools across Abu Dhabi and Al Ain. The Company also sponsored the Dalma festival where it conducted awareness sessions for the children on conserving water and electricity. During the month of Ramadan, it collaborated with the Emirates Red Crescent, and employees volunteered to distribute food to low-income workers.

To celebrate Eid Holidays, TAQA, ADDC, and AADC made a financial donation to the Emirates Red Crescent to purchase gifts for children in refugee camps and orphanages in Erbil. As part of this donation to Red Crescent, TAQA organised distribution of gifts at various sites in Erbil, Kurdistan Region of Iraq. The team in TAQA Atrush BV's Erbil employees supported in the distribution of the gifts at the various sites.

Canada

TAQA North has always made significant and lasting contributions to the communities in which it operates. A charity hockey tournament to raise funds for the Canadian Mental Health Association and a significant financial contribution to the Emerging Adults Mental Health Project at the Alberta Children's Hospital has helped in both practical terms and in creating an awareness of the many forms mental health can take. Ultimately, this will include the creation of a new purpose-driven centre – a blend of virtual and physical space – that will provide nation-leading research-intensive care, tailored for emerging adults and their families.

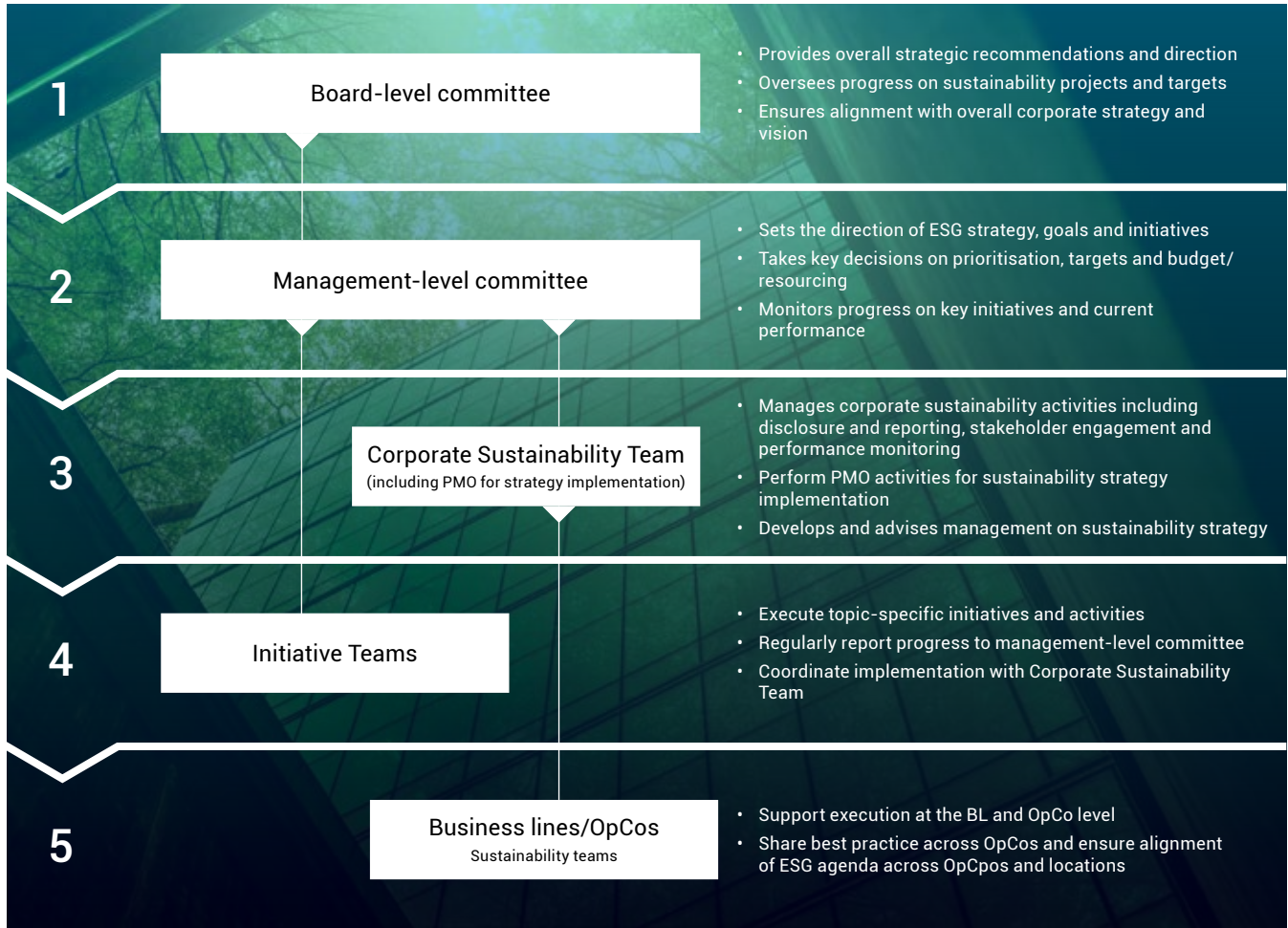
In another TAQA CARES initiative, a charity race was held to support the Canadian Cancer Society, the country's largest national cancer charity and national charitable funder of cancer research.

In the 12 Days of Giving campaign, every holiday season, staff from across the company collect food, toys, care items and donations that support the most vulnerable within our communities. TAQA North made financial contributions towards various charities and events, including sporting associations, schools and 4-H Clubs, one of Canada's most highly respected youth organisations with 23,000 members and 8,700 volunteers.

On National Day for Truth and Reconciliation, TAQA North hosted a guest speaker and member of the Métis Nation, Annie Korver.

TAQA North has relationships with 18 indigenous communities across its areas of operation. They have a policy on Indigenous Community Engagement and a First Nation Sustainability Strategy, both of which provide the framework for engagement with Indigenous communities and support, and are in alignment with, TAQA North's Community and Social Responsibility (CSR) strategy.

Best practice sustainability governance and organisational structure



SUSTAINABILITY

Corporate Social Responsibility continued

Ghana

Takoradi Investment Company ("TICO") undertook a range of CSR projects and initiatives during 2022 that elevated education, health and development in its communities. As in prior years, a great deal of focus and resources went towards providing educational support this year. In collaboration with the District and Regional Education Service, funds were donated to support the organisation of secondary school mock exams for final-year students, both at the district and regional levels. Along with associated support, this helped students to prepare for university exams and contributed to a number of scholarships being awarded.

In addition, TICO contributed towards the purchase of milling and grinding machines for a school to improve the school's kitchen so that it could provide students with healthy foods; supported over 200 needy children in the Shama district with tuition payments through the Kramar Scholarship programme and other scholarship programs for talented youth.

To support the provision of healthcare in the communities where it operates, TICO donated funds to complete the refurbishment of the Axim Regional Hospital Theatre, which will help save countless lives going forward. It also supplied office furniture and other hospital items to Komfiekum Health Centre and Effia Nkwanta Regional Hospital, as well as supporting the eradication of Polio and other health initiatives in the communities.

India

TAQA Neyveli Power Company Private Limited ("TNPCPL") continued to be an agent of positive change through a range of community health, water, infrastructure and education projects during 2022. The company provided PPE /garment for local fire unit, and supported the construction of roads, infrastructure improvements to local public schools, overhead water tank for supply of water to local villagers. It also supported the renovation of a health centre and funded a new well and water pipeline to supply water in the community.

Education focused initiatives during the year included supporting renovations of a public school. TNPCPL also supported road construction and police station renovations, to enhance mobility and quality of life for members of the community.

Morocco

TAQA Morocco ("TAQA Morocco") has once again taken the lead in supporting the Sheikh Zayed Ibn Sultan Foundation's health initiatives, supplying essential medical caravans to provide quality healthcare to rural communities.

TAQA Morocco also worked with Ain Atiq Medical Center to support healthcare for orphan children and abandoned elderly people, and partnered with AMSAT to support trisomic young people by providing medical care and social skills to develop their capabilities, with the aim of advocating for equal opportunities in the workplace.

An advocate for education and awareness, TAQA Morocco launched a scholarship of five women in STEM with the Foundation Cheikh Zaid Abulcassis and further sponsored five students with Jadara Foundation to promote equal opportunities in life. It also worked with Insaf on a school reintegration programme to combat illegal child labour of underage girls.

Netherlands

In 2022, TAQA Energy B.V. ("TAQA Energy") continued to engage and support the community through a range of charitable and fundraising activities. To raise money for the local clothing bank, TAQA Netherlands matched the donations of employees who gave their one-off energy compensation fee from the government. It also sponsored an energy challenge, an initiative that teaches young children about energy awareness and helps schools save energy at the same time. The programme runs nationwide but TAQA's support is focused on the Alkmaar region.

United Kingdom

TAQA Bratani Limited's ("TAQA Bratani") employees in the UK participated in social projects with an innate sense of charity and generosity. TAQA Bratani launched its new community fund, which addresses the needs of the local population and establishes new partnerships. In 2022 the key issue in the community was the cost-of-living crisis and the significant impact of rising energy and food costs.

With an emphasis on education, TAQA Bratani supported the 'STEM in the Park' initiative, which engages all ages in science activities carried out in local parks, and worked with Grampian Greenpower Education Trust to spark passion in science and engineering through a hands-on challenge to design, build and race an electric car. Other partnerships that were developed to raise awareness and engagement in STEM included with the Engineering Development Trust's Industrial Cadets Programme and the Aberdeen Science Centre Engineering Club.

Note: 2022 ESG Performance Data is available in the 2022 Sustainability Report.
Please see appendix 1 of the report for ADX ESG disclosures.

Sustainability Achievements in 2022



MSCI ESG Rating improved two notches from "B" to "BBB"



Sustainalytics upgraded TAQA's ESG Risk Rating from "Severe" to "Medium Risk" reflecting a 34% decrease in risk score. This rating positions TAQA as one of the leading ESG players in the EMEA region and now places the Company within the top 30th percentile of utility companies globally



TAQA is a proud member of UN Global Compact, of the IRENA Alliance for Industry Decarbonisation and has signed the UAE Ministry of Climate Change and Environment's private sector climate pledge in 2023

Disclaimer Statement: The use by TAQA of any MSCI ESG Research LLC or its affiliates ("MSCI") data, and the use of MSCI Logos, Trademarks, Service Marks or Index names herein, do not constitute a sponsorship, endorsement, recommendation, or promotion of TAQA by MSCI. MSCI services and data are the property of MSCI or its information providers, and are provided 'as-is' and without warranty. MSCI names and logos are Trademarks or Service Marks of MSCI.



03

FINANCIAL REVIEW

Operating Environment	70
Financial Review	72
Financial Performance	73

OPERATING ENVIRONMENT

A range of macroeconomic and sectoral events and trends, including fluctuating energy prices and the return to normal operating conditions following the relaxation of COVID-19 restrictions, influenced our markets, business segments and financial performance during 2022.

Global economic growth slowed down markedly during the year, as major economies worldwide responded to rapid inflationary pressures by increasing interest rates to reduce the likelihood of recession. Persistent geopolitical conflicts, supply chain disruptions and currency fluctuations also impacted economies across our region and worldwide. These pressures contributed to sustained elevated prices across oil and gas markets and indices around the world, while creating a tighter liquidity environment moving forward.

The UAE demonstrated its strength and resilience during 2022 to maintain its trend of robust economic growth and diversification, while continuing to invest in the energy industry's shift towards more sustainable practices, in line with its Net Zero 2050 ambitions. Building on the success of COP27 in Egypt, the UAE will seek to accelerate global collaboration and drive sustainable impact when it hosts COP28 in 2023.



FINANCIAL REVIEW



In 2022, TAQA's strong financial performance was in line with our commitment to drive sustainable growth by delivering on our strategy. We successfully navigated significant challenges and volatility across our markets to continue to create value for our shareholders this year, with total cash dividends of AED 5.7 billion proposed for 2022, in line with our disclosed dividend policy.

Steve Ridlington
Chief Financial Officer



Our strategic progress and robust operational performance across our three business lines continued to reinforce the strength of our balance sheet, as total available liquidity rose to AED 23.7 billion on the back of a decrease in net debt to AED 51.6 billion, resulting in an improvement of net-debt-to-capital ratio from 44% the previous year to 40% as of year-end 2022.

TAQA's revenues increased 10.3% to AED 50.0 billion, benefiting from higher commodity prices, which particularly supported the Oil & Gas segment. This strong revenue growth combined with slight cost improvements resulted in a rise of 6.7% in adjusted EBITDA to reach AED 20.8 billion.

Total net income (TAQA-share) benefitted from a return to normalised depreciation expense in 2022 within the Oil & Gas segment to reach AED 8.0 billion, representing a jump of 34.7% compared to AED 6.0 billion the prior year.

Capital expenditure for the year was AED 3.8 billion, a decrease of 20.1% that was primarily led by our Transmission & Distribution business.

Transmission & Distribution

Our Transmission & Distribution business saw revenues increase by 0.6% to AED 26.1 billion mainly due to higher pass-through bulk supply tariffs (BST) of AED 0.7 billion, which was partially offset by AED 0.4 billion reduction in revenue due to a one-off recognition of projects in 2021. The latter also served as the primary reason for a 5.6% decrease in net income for the business.

Generation

Our Generation business posted an increase of 12.0% in revenues to reach AED 13.8 billion for the year, driven primarily by higher pass-through coal fuel revenues of AED 1.9 billion in Morocco. Net income decreased by 25.6% compared to 2021 to reach AED 478 million for the segment.

Oil & Gas

Our Oil & Gas business capitalised on the higher commodity price environment to deliver revenues of AED 10.1 billion for the year, a 43.0% rise compared to the previous year. This resulted directly in improved net income for the segment, which rose 113% to AED 4.7 billion compared to AED 2.2 billion the previous year. Net income includes profit from discontinued operations of AED 0.2 billion, relating to the Netherlands upstream oil and gas business, following the Group entering into definitive agreements to sell 100% of its ownership this year.

FINANCIAL PERFORMANCE

2022 Performance

TAQA Group	REVENUES (AED million)	ADJUSTED EBITDA** (AED million)	NET INCOME (TAQA SHARE) (AED million)
2022	49,967	20,753	8,030
2021	45,294	19,452	5,960

Transmission & Distribution	REGULATED ASSET VALUE (AED million)	REVENUES (AED million)	ADJUSTED EBITDA (AED million)
2022	75,173	26,091	7,897
2021	77,389	25,928	8,362

Generation	GLOBAL COMMERCIAL AVAILABILITY	REVENUES (AED million)	ADJUSTED EBITDA (AED million)
2022	98.1%	13,823	7,170
2021	97.3%	12,337	7,686

Oil & Gas	PRODUCTION (mboepd)	REVENUES (AED million)	ADJUSTED EBITDA (AED million)
2022	123.8	10,053	6,217
2021	122.4	7,029*	3,885*

*2021 comparatives were restated due to classification of Netherlands Upstream business as held for sale/ discontinued operations as at 31 December 2022.

**Adjusted EBITDA is defined as IFRS earnings before finance costs, net foreign exchange gain/loss, interest income, income tax, depreciation, depletion and amortisation and other income.



04

CORPORATE REVIEW

Board of Directors	76
Executive Management Team	78
Corporate Governance	80
Enterprise Risk Management	82

BOARD OF DIRECTORS

H.E. Mohamed Hassan Alsuwaidi

Chairman, Non-Executive, Independent Board Member

First elected to the Board in 2019, elected Chairman in 2020



H.E. Mohamed Hassan Alsuwaidi is the Chief Executive Officer of Abu Dhabi Developmental Holding Company ("ADQ"), a company holding interests in entities across various development-related sectors including Abu Dhabi Power Corporation ("ADPower"). H.E. Alsuwaidi holds a Bachelor's Degree in Accounting from UAE University.

H.E. Alsuwaidi has previously held several positions at Mubadala Investment Company, including leading metals and mining and other management positions for more than 10 years, and has expertise in the field of managing investments in infrastructure, utilities and other sectors. He currently holds the following positions:

- Chairman, Non-Executive Director – NEXT50
- Vice - Chairman, Non-Executive Director – ADQ Aviation and Aerospace Services
- Chairman, Non-Executive Director – ADC Acquisition Corporation
- Vice Chairman, Non-Executive Director – Abu Dhabi Airports Company PJSC (ADAC)
- Deputy Chairman, Non-Executive Director and Member of Audit Committee – Abu Dhabi Future Energy Company ("Masdar")
- Second Vice Chairman, Non-Executive Director – Aldar Properties PJSC
- Vice Chairman, Non-Executive Director – Etihad Aviation Group PJSC
- Non-Executive Director – Abu Dhabi National Oil Company Distribution (ADNOC Distribution)
- Non-Executive Director and Member of Investment Committee – Abu Dhabi Pension Fund ("ADPF")
- Non-Executive Director and Member of Audit Committee – Emirates Nuclear Energy Corporation (ENEC)
- Non-Executive Director – Louis Dreyfus Company
- Non-Executive Director – Al Dhahra Holding
- Non-Executive Director – Lulu International Group
- Non-Executive Director – MiZa
- Chairman, Non-Executive Director – Pure Health

H.E. Saeed Mubarak Al Hajeri

Vice Chairman, Non-Executive Board Member

First elected to the Board in 2011, elected Vice Chairman in 2020



H.E. Saeed Mubarak Al Hajeri has more than 26 years of experience in international finance. H.E. Al Hajeri holds a Bachelor's Degree in Business Administration from Lewis & Clark College in the United States and is a CFA® Charterholder. He also attended the executive education program at Harvard Business School. He currently holds the following positions:

- Executive Director – Abu Dhabi Investment Authority ("ADIA")
- Vice Chairman – Islamic Arab Insurance Company (Salama)
- Advisory Board Member – INSEAD

H.E. Saif Mohamed Al Hajeri

Non-Executive, Independent Board Member

First elected to the Board in 2020



H.E. Saif Mohamed Al Hajeri was previously the Chairman of the Department of Economic Development (DED) and a member of the Executive Council of Abu Dhabi. As Chairman of the DED, H.E. Al Hajeri was responsible for overseeing and driving the Emirate of Abu Dhabi's economic agenda and strategy. Prior to his appointment as Chairman of the DED in 2017, H.E. Al Hajeri served as the Chief Executive Officer of Tawazun Economic Council, and Tawazun Holding company since 2008. H.E. Al Hajeri was also actively engaged with various key Abu Dhabi Government initiatives, as well as serving throughout his career as a Member of the Board of Directors at several leading government and semi-government organisations, including Abu Dhabi General Holding Corporation (SENAAT) and Abu Dhabi National Exhibitions Company (ADNEC). H.E. Al Hajeri currently holds the position of Non-Executive Director of Etihad Rail Freight.

H.E. Al Hajeri has a Bachelor's Degree in Business Administration and Economics from Lewis & Clark College in the United States and has expertise in the field of business administration.

Mr. Khalifa Sultan Al Suwaidi

Non-Executive, Independent Board Member

First elected to the Board in 2020



Mr. Khalifa Sultan Al Suwaidi is the Chief Executive Officer at Abu Dhabi Growth Fund (ADG). Prior to his current role, he held various senior management positions including most recently as Group Chief Investment Officer at ADQ, Executive Director of Refining & Petrochemicals at Mubadala Investment Company and Acting Chief Executive Officer of Abu Dhabi National Chemical Company (Chemaweyaatt).

Mr. Al Suwaidi holds a Bachelor's Degree in Business Administration, majoring in marketing, from California State University in the United States, and has an Executive Masters in Business Administration with distinction from Zayed University. His field of expertise is strategy, investments and business administration. He currently holds the following positions:

- Chairman, Non-Executive Director – SENAAAT
- Chairman, Non-Executive Director – Agthia Group
- Vice Chairman, Non-Executive Director – Abu Dhabi Ports (AD Ports)

Mr. Khaled Abdulla Al-Mass

Non-Executive, Independent Board Member

First elected to the Board in 2014



Mr. Al-Mass holds a Bachelor's Degree in Management from Marylhurst University, United States and holds expertise in the field of business administration. He currently holds the following positions:

- Non-Executive Director – Munich Health Daman Holding Ltd
- Owner and Executive Board Member – iMass Investments LLC
- Owner and Executive Board Member – iTech Engineering Consultancy

Mr. Salem Sultan Al Dhaheiri

Non-Executive Board Member

First elected to the Board in 2011



Mr. Salem Sultan Al Dhaheiri is currently Deputy Director at ADIA, having held various positions since joining the authority in 1993.

Mr. Al Dhaheiri is a Certified Public Accountant. He has a Bachelor's Degree in Accounting from Metropolitan State College in Denver, United States and has expertise in the field of finance. He currently holds the following positions:

- Non-Executive Director and Member of Audit Committee – Al Etihad Credit Bureau
- Board Advisor and Member of Audit Committee – Emirates Telecommunication Corporation (Etisalat)
- Board Advisor and Member of Audit Committee – ADPF
- Board Advisor and Member of Audit Committee – Emirates Investment Authority (EIA)
- Board Advisor and Member of Audit Committee – Abu Dhabi National Oil Company (ADNOC)
- Board Advisor and Member of Audit and Risk Management Committee – General Pension and Social Security Authority (GPSSA)

Mr. Mansour Mohamed Almulla

Non-Executive, Independent Board Member

First elected to the Board in 2021



Mr. Mansour Mohamed Almulla is the Managing Director and CEO of Edge Group. Previously, Mr. Almulla was the Chief Investment Officer for Alternative Investments and M&A at ADQ and held various positions in Mubadala Investment Company spanning 15 years, including as Chief Financial Officer for Petroleum and Petrochemicals and Chief Financial Officer of Mubadala Petroleum LLC.

Mr. Almulla holds a Bachelor of Science in Business Administration (Information Systems) from Portland State University, United States and has expertise in the field of finance and M&A. He currently holds the following positions:

- Non-Executive Director and Member of Audit, Risk and Compliance Committee – Etihad Aviation Group PJSC
- Non-Executive Director and Chairman of Audit and Risk Committee, Member of Strategy and Investment Committee – AD Ports
- Non-Executive Director and Member of Audit and Risk Committee, Nomination and Remuneration Committee – Abu Dhabi Global Markets (ADGM)

Mr. Hamad Abdulla Al Hammadi

Non-Executive, Independent Board Member

First elected to the Board in 2021



Mr. Hamad Abdulla Al Hammadi is an Executive Director at ADQ, amongst his various responsibilities, Mr. Al Hammadi is managing the energy, utilities & industries clusters with an asset base of more than \$100bn. Mr. Al Hammadi previously worked in Mubadala Investment Company where he participated in the creation of high-profile projects across three sectors including utilities industry and financial services.

Mr. Al Hammadi also spent time at the Carlyle Group in Washington DC, focusing on M&A investments in the Industrials sector. He holds a bachelor's degree in Business Administration (Accounting and Finance) from the Higher Colleges of Technology in the UAE. He currently holds the following positions:

- Chairman, Non-Executive Director – Abu Dhabi Power Corporation
- Chairman, Non-Executive Director and Member of Finance and Projects Committee – Emirates Water and Electricity Company (EWEC)
- Chairman, Non-Executive Director – Emirate Steel Arkan
- Non-Executive Supervisory Board Member – TAQA Morocco
- Non-Executive Director – TA'ZIZ

Mr. Jasim Husain Thabet

Executive Board Member

First elected to the Board in 2019



Mr. Jasim Husain Thabet serves as TAQA's Group Chief Executive Officer and Managing Director, a role he has held since July 2020. Jasim, who was elected to TAQA's Board of Directors in 2019, is an energy industry veteran with more than two decades of experience.

Prior to his role at TAQA, he served as Chief Executive Officer of ADPower, where he leveraged the company's portfolio of assets throughout the value-chain to support the transformation of the power and water sector in the UAE. He also served as Chief Executive Officer of National Central Cooling Company PJSC (Tabreed), where he drove capacity expansion and revenue growth. Jasim holds a Bachelor of Engineering in Mechanical Engineering from Saint Martin's University in the United States. He currently holds the following positions:

- Non-Executive Director and Member of Audit, Risk and Compliance Committee – Etihad Aviation Group PJSC
- Non-Executive Director and Member of Strategy and Investment Committee and Audit and Risk Committee – AD Ports
- Non-Executive Director and Member of Investment Committee and Human Resource Committee – Abu Dhabi Chamber of Commerce and Industry
- Non-Executive Director and Member of Sustainability and Strategy and Investment Committee and Nomination and Remuneration Committee – Masdar

EXECUTIVE MANAGEMENT TEAM

Jasim Husain Thabet
Group Chief Executive
Officer and Managing
Director



Jasim Husain Thabet serves as TAQA's Group Chief Executive Officer and Managing Director, a role he has held since July 2020. Mr. Thabet, who was elected to TAQA's Board of Directors in 2019, is an energy industry veteran with more than two decades of experience.

Prior to his role at TAQA, he served as CEO & MD of Abu Dhabi Power Corporation, where he leveraged the company's portfolio of assets throughout the value-chain to support the transformation of the power and water sector in the UAE. He also served as CEO of the National Central Cooling Company PJSC (Tabreed), where he drove capacity expansion and revenue growth.

Mr. Thabet sits on the board of Abu Dhabi Chamber of Commerce and Industry, Etihad Aviation Group, Abu Dhabi Ports and Abu Dhabi Future Energy Company's (Masdar).

Qualifications and recognition:

Mr. Thabet holds a Bachelor of Science in Mechanical Engineering from Saint Martin's University in the United States.

Steve Ridlington
Chief Financial Officer



Steve Ridlington serves as TAQA's Chief Financial Officer, a position he has held since July 2020. Prior to his role at TAQA, Mr. Ridlington was Chief Investment Officer at ADPower. He previously held positions with BP, TNK-BP, and the National Central Cooling Company PJSC (Tabreed), serving as CFO at the latter.

Qualifications and recognition:

Mr. Ridlington holds a Master of Philosophy in Economics from St Antony's College, Oxford, and a Bachelor of Science in Economics and Mathematics from the University of Sussex.

Gareth Wynn
Chief Communications
Officer



Gareth Wynn serves as TAQA's Chief Communications Officer, a position he has held since January 2021. In this role, he oversees all external, internal, government advocacy and corporate social responsibility activities across the Group.

Mr. Wynn has more than two decades of experience as a senior communications leader in international energy companies. He most recently served as Stakeholder and Communications Director for Oil & Gas UK, the leading representative organisation for the UK offshore oil and gas industry. He has also held key senior management positions at EDF Energy and FTI Consulting.

Qualifications and recognition:

Mr. Wynn holds a Bachelor of Science in Microbiology and Microbial Technology with honors from the University of Warwick.

Omar Abdulla Alhashmi
Executive Director of
Transmission &
Distribution



Omar Al Hashmi serves as the Executive Director of TAQA's Transmission & Distribution business, a position he has held since July 2020. In this role, he oversees the company's diverse portfolio of transmission and distribution assets.

Prior to his role at TAQA, Mr. Al Hashmi was Executive Director – Asset Management at Abu Dhabi Power Corporation (ADPower), where he supported the development of the company's transformation plan, structure and governance. He previously served as the head of strategy development in Etihad Airways and Vice President in the Industry platform at Mubadala Investment Company (Mubadala).

Qualifications and recognition:

Mr. Al Hashmi holds a Master of Business Administration from the London Business School and a Master of Science in Mechanical Engineering from the George Washington University.

Farid Al Awlaqi
Executive Director
of Generation



Farid Al Awlaqi heads TAQA's Generation business line, a position he has held since July 2020. In this role, he oversees and develops the company's global power generation and water portfolio.

He previously served as Senior Vice President in the energy platform at Mubadala Investment, where he held various roles from operations to business development, investment and asset management.

Mr. Al Awlaqi sits on the board of Abu Dhabi Future Energy Company (Masdar), Chairman of the Supervisory Board of TAQA Morocco, is a Board member of Sohar Aluminum, Chairman of the Board of Taweelah Reverse Osmosis Independent Water Project and Chairman of the Board of Mirfa Power Company.

Qualifications and recognition:

Mr. Awlaqi holds a Sloan masters from the London Business School, a Master of Engineering in Petroleum Engineering from the Imperial College of the University of London. He is also a prize winner from the Royal Military Academy Sandhurst.

Franco Polo
Executive Director
of Oil & Gas



Franco Polo heads TAQA's Oil & Gas business line, a position he has held since July 2020. An oil executive with over 30 years of experience in international exploration and production, he previously served as the Executive Vice President of Upstream of the Asian Pacific region at Eni, an integrated energy company.

Qualifications and recognition:

Mr. Polo holds a Master of Science and a Bachelor of Science in Geology from the University of Bologna, Italy.

Steve Wackerle
Chief Risk and
Internal Audit Officer



Steve Wackerle serves as TAQA's Chief Risk and Internal Audit Officer, a position he has held since July 2020. Mr. Wackerle oversees and objectively reviews the organisation's business processes and risk management procedures. Prior to this role, he held similar leadership roles with Abu Dhabi Power Corporation and BP.

Qualifications and recognition:

Mr. Wackerle holds a Bachelor of Commerce and a Post-Graduate degree in Accounting from the University of Cape Town.

Mohammad Adnan Sharafi
Chief Legal Officer
and Board Secretary



Mohammad Adnan Sharafi serves as TAQA's Chief Legal Officer and Board Secretary, a position he's held since July 2020. He oversees the company's legal, governance, ethics and compliance and regulatory affairs functions.

Prior to his role with TAQA, Mr. Sharafi served as the General Counsel of Abu Dhabi Power Corporation in addition to nearly 12 years at Mubadala Investment Company advising on major M&A transactions, utilities development projects and other transactions covering the utilities, industrial and financial sectors. Mohammad also spent a number of years working at Clifford Chance LLP's offices in London and Dubai.

Qualifications and recognition:

Mr. Sharafi is qualified to practice law as a Solicitor of the Supreme Court of England and Wales and holds a Post-Graduate Diploma in Legal Practice from the College of Law, London as well as a Bachelor of Laws (Hons) from the University of Westminster, London.

Noel Aoun
Executive Director
of Strategy



Noel Aoun serves as TAQA's Executive Director of Strategy. He previously served as Group Strategy and Business Development Director at TAQA, a role he has held since March 2018. In his role, Noel leads the development of TAQA's corporate strategy and operating model, while coordinating strategies across the organisation's business units.

Prior to his position at TAQA, he held leadership positions in Schneider Electric and Booz & Co.

Qualifications and recognition:

Noel holds a Master of Business Administration from INSEAD and a Master of Science in Electrical and Computer Engineering from Ecole Supérieure des Ingénieurs de Beirut.

Christian George
Executive Director
of M&A



Christian George serves as the Executive Director of TAQA's M&A function, a position he has held since August 2021. In this role, he leads development of the company's investment strategies and the process of mergers and acquisitions within TAQA Group's portfolio.

He previously served as the Head of Corporate Transactions at Saudi Aramco, where Mr. George led the transformation of the business's upstream and downstream sectors. He also served as the Corporate Development and Strategy Director of Shoaibi Group in Saudi Arabia, where he led the development of group strategy.

Qualifications and recognition:

Mr. George holds a Bachelor of Arts in Accounting and Finance from Kingston University, London and holds qualifications as an ACA (Chartered Accountant).

Nabil Almessabi
Chief Human
Resources Officer



Nabil Almessabi serves as TAQA's Chief Human Resources Officer, a position he has held since August 2021. In this role, he oversees the strategic development of human resources and administration, as key enablers to TAQA's growth ambitions.

Prior to his role at TAQA, he served as Chief Human Resources Officer for TRANSCO and was the Executive Director of Human Capital & Communications at Abu Dhabi Power Corporation. With more than 20 years of experience, Mr. Almessabi has held leading positions across the oil and gas, real estate and tourism sectors in the UAE.

Qualifications and recognition:

Mr. Almessabi holds a Bachelor of Science in Electrical Engineering from the UAE University, a Management Diploma from the University of Cambridge – Judge Business School and a Global Executive MBA from INSEAD.

CORPORATE GOVERNANCE



TAQA Group's purpose, vision, mission and values underpin its commitment to its stakeholders. As a part of the value creation process, TAQA's Board of Directors (the 'Board') recognises that good governance is critical to maximise contribution to the economy and society, maintain competitiveness and ensure a long-term and sustainable corporate future.



Mr Mohammad Adnan Sharafi
Chief Legal Officer and Board Secretary

Our commitment to Corporate Governance goes beyond compliance with the laws and regulations applicable to our business. As part of our environmental, social and governance (ESG) strategy, launched in October 2022, we set a plan and ambition to adopt practices based on the highest international standards, aiming to be a leader amongst our corporate peers. We will continue to strengthen our governance model in line with our adopted principles of responsibility, accountability, equity, transparency and fair disclosure.

Corporate Governance Framework

1. Leadership and strategy

- Corporate governance principles
- Board stewardship and governance
- Strategy governance and sustainability
- Subsidiary governance
- Delegation of authorities and management decisions

2. Stakeholder and shareholder management

- Stakeholder interests
- Shareholder rights
- Investor relations and engagement

3. Internal control environment

- Health, safety, security and environment
- Ethics and compliance
- Internal control over financial reporting
- Risk management
- Governance documents and business applications
- Internal audit
- External audit

4. Communication and reporting protocol

- Communication with stakeholders
- Corporate social responsibility
- Reporting



TAQA's corporate governance efforts garnered external recognition, with TAQA being presented two awards by Cambridge IFA at its 7th Global Good Governance Programme - the '3G Championship in Corporate Governance 2022' award and the '3G Excellence in Corporate Governance Reporting Award 2022'.

Corporate Governance Philosophy



RESPONSIBILITY

- The Board and Senior Management sets the tone and follows through with active supervision, ongoing monitoring and evaluation.



ACCOUNTABILITY

- Effective risk management and system of checks-and-balances with segregation of duties and each Executive responsible for their actions or inactions.



EQUITY

- Equitable treatment of all shareholders



TRANSPARENCY AND FAIR DISCLOSURE

- Accurate, timely communication of material matters to relevant stakeholders.

To know more about TAQA's Corporate Governance activities, please refer to the Corporate Governance Report 2022 on our corporate website.

Ethics and Compliance

At TAQA, we strive not only to generate financial value for our shareholders, but also to serve our stakeholders in an ethical and responsible manner.

The Group Ethics and Compliance Office's mandate is to establish a strong, robust, and cohesive culture across the organisation through a framework to prevent, detect and respond to ethics and compliance matters. The Ethics and Compliance

office functionally reports to the Audit Committee of the Board and has direct access to the Board to deal with matters independently and in confidence.

PREVENT

- Code of Ethics and business conduct
- Policies and procedures
- Training and awareness



DETECT

- Risk assessment
- Controls
- Monitoring
- Screening
- Helpline



RESPOND

- Corrective actions
- Disciplinary actions



During 2022, the Ethics and Compliance office successfully delivered trainings across the Group on all Codes and Policies, including on corruption and bribery, to all full-time personnel, contractors, and the Board members. The company's training to TAQA Group personnel (excluding the Board, who were provided with a tailored training) included an award-winning 'cutting-edge gaming experience (in both English and Arabic) that immerses the user in realistic

scenarios through which the learnings are disseminated. Additionally, the Ethics and Compliance office works directly with our businesses and offers customised risk area training that addresses the unique requirements of each TAQA Group business, as needed.

Training on ethics and compliance matters is provided to new joiners upon their onboarding, and to all personnel and the Board members on an annual basis.

The Ethics and Compliance office continues to make use of digital technologies to enhance the effectiveness of its activities, including the introduction of a comprehensive third-party screening tool to help reduce risk on the organisation. The screening tool allows the company to continuously monitor and review the standing of our business partners in terms of exposure to sanctions, corruption and reputational risk.

1. TAQA's Ethics and Compliance office was awarded "Innovation through Technology by an In-House Team" by Law.com | UK Legal Week's 2022 Middle East Legal Awards.

ENTERPRISE RISK MANAGEMENT

TAQA's risk management system is designed to provide a standard framework to identify, assess and respond to risks, monitor and report on risks and their management, from businesses and functions to Management and Board levels.

Overview

The main objectives of Enterprise Risk Management (ERM) at TAQA are to:



- Enhance TAQA Group capability to effectively and efficiently identify, assess and manage all its risks, in line with its strategic, operational and financial objectives



- Promote a risk culture across the Group that allows a proactive approach to the management of risks and embeds the process in decision-making



- Provide the adequate means of managing, monitoring and reporting risks at all levels within the Group



- Provide assurance to all our stakeholders that major risks are known, controlled and managed

For this, a dedicated ERM function is firmly established at the Group level, supported by dedicated ERM resources in relevant operational entities and a network of 15+ risk champions.

Risk Management Framework

Our Risk Management Framework outlines our approach to:

- ➔ Understanding the risk environment to enable effective identification and assessment of risks
- ➔ Considering and confirming the appropriate responses and measures to manage the risks
- ➔ Monitoring and reviewing specific risks to determine effectiveness of their management and whether further actions might be required
- ➔ Reporting on risks and management thereof to the appropriate levels of the company

Effective implementation of our risk management system and framework relies on three levels of activity across the company:

- 1 Ongoing identification, management and review of risks across business lines, businesses and functions
- 2 Structured reviews and reporting at key stages of particular business processes, such as, planning, performance reviews and investment decision-making
- 3 Periodic oversight of risks and management thereof in business lines, businesses and functions, and at Management and Board levels

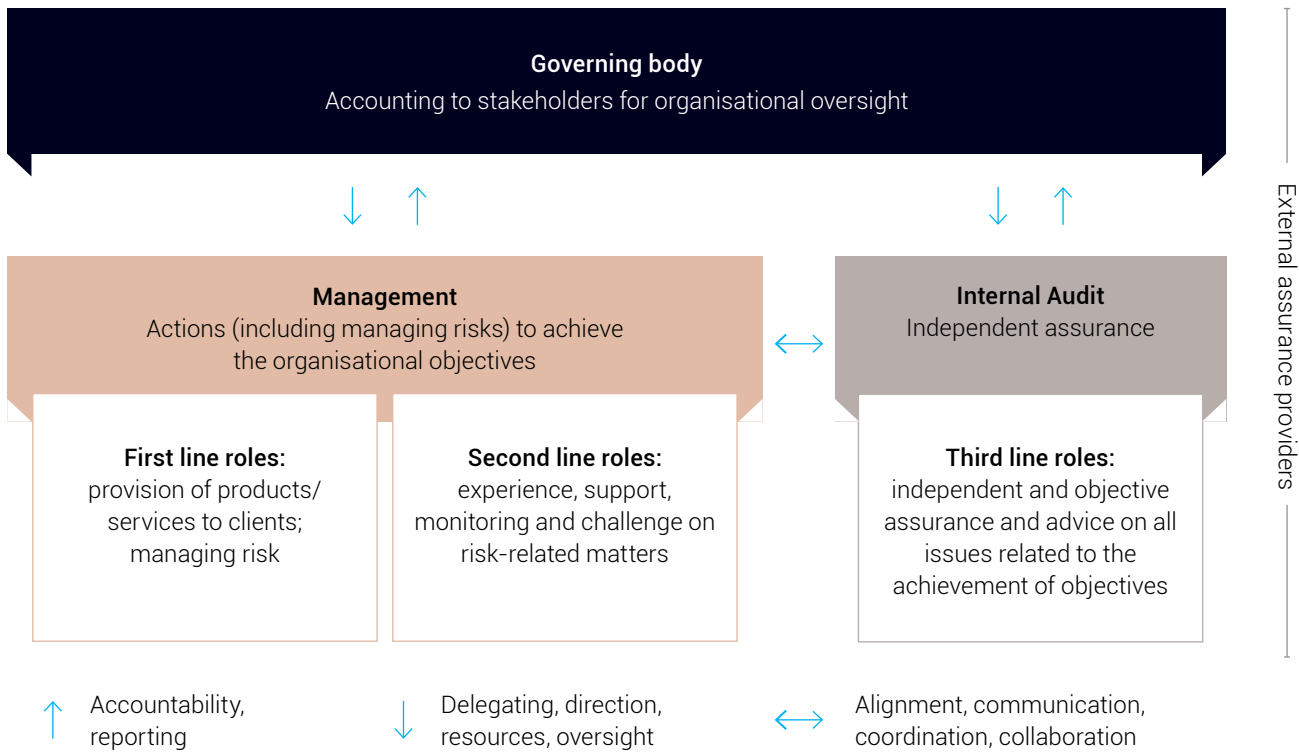
TAQA's ERM team helps to embed the foregoing three levels of activity, maintains the Risk Management Framework and systems, and facilitates the development, analysis and review of the risk profile of the company.

TAQA's Enterprise Risk Management Framework

Day to day	Structured	Oversight
Identify the risk Assess the risk Notify the risk to the appropriate level of management Respond to the risk (existing and/or new measures) Approve the responses (and the resource required) Monitor the risk and its management Report on the risk and its management 	Embed in business processes - Strategy - Planning - Budgeting/forecasting - Performance review - Resource allocation - Investment/divestment 	Board, Executive review - Assign to executive - Assign to committee - Group risks - Priority risks - Emerging risks - Risk profile, changes 
Continuously performed	At key process stages	In agendas

ENTERPRISE RISK MANAGEMENT

Illustration of TAQA's Enterprise Risk Management Framework



The three lines model establishes clear roles and responsibilities for the management of risks across TAQA, which includes:

1 st line of defence	2 nd line of defence	3 rd line of defence
Business Line Management	Risk Management	Internal Audit
• Business line management are primarily responsible for managing its own process • Responsible for identifying and controlling risks by using business control frameworks, implement internal processes and adequate controls	• Risk Management function is responsible for setting Enterprise Risk Management frameworks • Independent reporting to management board and audit committee • Advisor / consultant to 1st line	• Internal Audit provides assurance about design and effectiveness of 1st and 2nd line • Reporting line to management and audit committee • Advisory role to improve processes

In 2022, TAQA Group pursued its roadmap to further enhance the maturity and efficiency of its ERM process and organisation, through, but not limited to:

- The onboarding of additional dedicated ERM resources at Group level and in relevant operational entities
- The adoption for ERM of an integrated Governance Risk and Compliance IT system that will be gradually rolled-out across the Group
- The systematic integration of a standard risk analysis process for key investments reviews and approvals
- The performance of a complete analysis of climate-related risks, as part of our global ESG roadmap
- The completion of over 20 country risks analyses, for our countries of operation or of interest

ENTERPRISE RISK MANAGEMENT

Principal risks

Each year, risks reviews are performed across TAQA's businesses and functions, with the support and guidance of the ERM department. The results of these reviews are presented and discussed with the Executive Management team, Audit Committee and the Board.

The risks set out below, if they were to occur individually or in combination, could adversely affect our business and financial performance, delivery of our strategy, liquidity, shareholder returns and reputation.

Principal Risks	Key Risks	Risk Management Measures
Strategic and Financial		
Strategy execution	- Delivering growth - Production agreement expiries - Replacement of production and reserves	- Implementation plan for the delivery of the strategy - Strategy, M&A and business development expertise - Engagement with offtakers - Projects development pipeline - Strategic M&As, JVs and partnerships
Market environment	- Market conditions - Commodity prices - Interest rates - Foreign exchange rates - Competition	- Fixed price commodity sales contracts - Limitation of forex fluctuation exposure - Use of fixed rate debt, and interest rate swaps
Liquidity and cash delivery	- Funding - Customer or other receipts delayed - Credit ratings	- Liquidity management, cashflow forecasts and stress testing - Revolving credit facility and other funding - Active customer service management
Political and societal	- Regional stability - Geopolitical developments	- Screening and risk assessments for countries of operations and for new countries entries - Government support and diplomatic relations
Climate change and sustainability	- Environmental, Social and Governance (ESG) developments - Physical climate change effects - Energy transition	- Low carbon power and water champion ambition - Renewables growth, investment in new technologies - ESG strategy and implementation roadmap - Contribution to local development
Organisational capability	- Talent attraction, development and retention - Resources skills and capabilities alignment with purpose	- In house recruitment expertise and competitive job market positioning - Performance based evaluation and people development schemes - Internal resources development and recruitment of skilled personnel in line with business objectives and needs
Technology and digital infrastructure	- Technology failure - Adequacy of digital infrastructure and IT systems	- Business continuity management and disaster recovery plans, in addition to IT infrastructure security and reliability assessments and audits - Upgrade of the legacy systems, and associated programme management

Principal Risks	Key Risks	Risk Management Measures
Strategic and Financial		
Cybersecurity	- Cyber breach - Threat detection - Cyber risks business and staff awareness	- IT systems management and reviews to prevent cyberattacks, in compliance with ISO standards - Application of key standards, detection, monitoring and prevention tools, and response and recovery capabilities - Work with local government agencies and experts to help anticipate changes in threats - Staff training to maintain and raise levels of awareness
Partners, suppliers and contractors	- Partner alignment - Supplier dependencies - Contractor management	- Engagement with our partners to maintain alignment - Rigorous vetting of suppliers and contractors - Monitoring of performance and compliance with standards and project requirements
HSE and Operational		
Project execution	- Timely and cost-efficient project delivery - Quality and performance of delivered assets	- High quality EPC engagement and contractual scheme that protects value and minimises liabilities - Project management capabilities
Operational reliability	- Ageing assets - Reliability of equipment - O&M performance and quality	- Inspection, maintenance and testing programmes - Contracting O&M to prime operators and developing in-house O&M capabilities
People safety	- Safety at work - Communities and public safety	- Commitment to operational excellence and leadership in safety initiative - Global HSE management system, supported by underlying safety standards and processes - Standardised work procedures and operation manuals
Asset integrity	- Environmental spill - Fire or explosion	Safety systems and processes for prevention of loss of containment and operational hazards
Crisis management and recovery	- Critical business disruptions - Catastrophic events - Natural disasters	- Crisis management process and incident response plans - Business continuity management plans and resiliency approach
Physical security	- Malicious acts, such as terrorism, sabotage and theft - Regional instability, conflict and unrest	- Central security function and use of intelligence resources - Implementation of security measures in line with assessed threats - Security incident response and crisis management plans
Regulation and Compliance		
Management systems	- Policies and procedures - Management systems	- Enhancement of existing policies, standards and procedures - Reviews and enhancement of management systems, return of experience and upgrading where required
Compliance with laws and regulations	- Compliance - Business ethics - Changes in laws and regulations	- Legal and regulatory operating model, Code of Business Conduct, and associated policies, training and attestation - Independent whistleblowing process - Strong corporate governance and enforcement of relevant policy and procedures to ensure compliance with all legal and regulatory requirements
Liabilities and commitments	- Decommissioning - Litigation, fines and penalties - Acquisitions and disposals	In-house legal resources and engagement with top law firms to assess contract engineering positions, due diligence and risk assessments ahead of any contractual commitments



05

FINANCIAL STATEMENTS

Directors' Report	90
Independent Auditor's Report	91
Consolidated Statement of Profit or Loss	97
Consolidated Statement of Comprehensive Income	98
Consolidated Statement of Financial Position	99
Consolidated Statement of Changes in Equity	101
Consolidated Statement of Cash Flows	102
Notes to the Consolidated Financial Statements	104

DIRECTORS' REPORT

FOR THE YEAR ENDED 31 DECEMBER 2022

The Directors present their report together with the audited financial statements of Abu Dhabi National Energy Company PJSC (“TAQA”, the “Company” or the “Group”), and its subsidiary (collectively referred to as the “Group”) for the year ended 31 December 2022.

Board of Directors:

The directors of the company are:

Chairman: H.E. Mohamed Hassan Alsuwaidi
 Vice chairman: H.E. Saeed Mubarak Al-Hajeri
 Members: H.E. Saif Mohamed Al Hajeri
 Jasim Husain Thabet
 Khalifa Sultan Al Suwaidi
 Salem Sultan Al Dhaheri
 Khaled Abdulla Al Mass
 Mansour Mohamed Almulla
 Hamad Abdulla Al Hammadi

Principal activities:

The principal activities of the Group are power and water generation, transmission and distribution and upstream and midstream oil and gas operations.

Review of business:

During the year, the Group reported revenue of AED 49,967 million (2021: AED 45,294 million). TAQA’s share of profit for the year was AED 8,030 million (2021: AED 5,960 million).

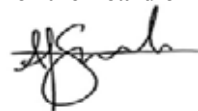
The Board of Directors approved an interim dividend of 1.8 fils per share to the shareholders in respect of the first nine months of 2022. The dividend comprised of AED 2,025 million, which was in line with shareholder-approved dividend policy.

On 13 February 2023, the Board of Directors proposed a final dividend of 1.2 fils per share (comprising of AED 1,350 million) and a special dividend of 2.1 fils per share (comprising of AED 2,363 million) to the shareholders in respect of the year ended 31 December 2022. The proposed final and special dividends are subject to shareholder approval at the General Assembly meeting in March 2023.

Release:

The Directors release from liability management and the external auditors in connection with their duties for the year ended 31 December 2022.

for the Board of Directors



H.E. Mohamed Hassan Alsuwaidi
 Chairman of the Board
 Abu Dhabi National Energy Company PJSC (TAQA)

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABU DHABI NATIONAL ENERGY COMPANY PJSC

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Opinion

We have audited the consolidated financial statements of Abu Dhabi National Energy Company PJSC (the “Company”) and its subsidiaries (together, the “Group”), which comprise the consolidated statement of financial position as at 31 December 2022, and the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2022, and its consolidated financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Opinion

We have conducted our audit in accordance with International Standards on Auditing (ISAs) and the applicable requirements of Abu Dhabi Accountability Authority (“ADAA”) Chairman Resolution No. 88 of 2021 Regarding financial statements Audit Standard for the Subject Entities. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the *International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants* (IESBA Code) together with the other ethical requirements that are relevant to our audit of the Group’s consolidated financial statements in the United Arab Emirates, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are the matters that, in our professional judgment, are of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABU DHABI NATIONAL ENERGY COMPANY PJSC (continued)

Key Audit Matter (continued)

Key audit matter	How our audit addressed the key audit matter
Impairment of intangible assets with indefinite useful lives	
The Group has AED 4,755 million of intangible assets with indefinite useful lives as disclosed in Note 14. The Group includes certain Distribution companies in the United Arab Emirates which have license agreements with the Department of Energy ("DOE"). These licenses can only be revoked by DOE after a 25-year notice period. As no notice has been served, these licenses are considered to be intangible assets with indefinite useful lives. In accordance with IAS 36 Impairment of Assets ("IAS 36"), an entity is required to test intangible assets with indefinite useful lives for impairment at least annually irrespective of whether there is any indication of impairment. An impairment is recognized in the consolidated statement of financial position when the recoverable amount is less than the carrying amount in accordance with IAS 36. The determination of the recoverable amount is based on discounted future cash flows. We considered the impairment of intangible assets with indefinite useful lives to be a key audit matter, given the method for determining the recoverable amount and the significance of the balance in the Group's consolidated financial statements. In addition, the recoverable amounts are based on the use of key assumptions, estimates or assessments made by management, in particular future cash flow projections, the estimate of the discount rates and long-term growth rates. Management determined that the recoverable amount of the intangibles assets with indefinite useful life was in excess of its carrying amount and consequently no impairment charge has been recognised in the consolidated statement of profit or loss. Refer to Note 14 in the consolidated financial statements for more details relating to this matter.	We assessed the design of relevant controls over the process of determining the allowance for impairment of intangible assets with indefinite useful lives and determined if they had been appropriately implemented. These controls included, inter alia, the following: - Controls over the accuracy and completeness of the impairment assessment models; and - Controls over management's annual preparation of the impairment assessment, including calculations performed and estimates applied. In addition, we also performed the following substantive audit procedures: - Engaged our internal valuation specialists to assess the appropriateness of the impairment model for each license agreement; - Evaluated whether the impairment model used by management to calculate the value in use of each cash-generating unit complies with the requirements stipulated in IAS 36; - Assessed the impairment assessment models provided by management for each license agreement to determine whether they are reasonable and supportable; - Assessed the discount rates and Weighted Average Cost of Capital calculated by management and used in the impairment assessment models; - Challenged the growth rates and the completeness and reasonableness of other key cash flow assumptions used in the impairment models; - Performed sensitivity analysis over the key estimates applied by management to ascertain the extent of change in those assumptions that either individually or collectively would be required for an additional impairment change; - Assessed the mathematical accuracy of the impairment models; - Agreed the results of the impairment models to the amounts reported in the consolidated financial statements; and - Assessed the disclosures in the consolidated financial statements relating to this matter against the requirements of IFRSs.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABU DHABI NATIONAL ENERGY COMPANY PJSC (continued)

Key Audit Matter (continued)

Key audit matter	How our audit addressed the key audit matter
Revenue from transmission and distribution of power and water	
The Group has recognised revenue of AED 26,091 million from transmission and distribution of power and water for the year ended 31 December 2022, as disclosed in Note 3 to the consolidated financial statements. Revenue is subject to Maximum Allowed Revenue ("MAR") for electricity, potable and recycled water calculated in accordance with a formula as defined in the License and Regulatory Control mechanisms document issued by the Department of Energy (DoE). Other operating revenue in respect of sales of power and water for the year is based on the difference between MAR and revenue billed to customers for the supply and distribution of water and electricity. We focused on this area as the other operating revenue calculations are subject to significant judgements, interpretations and assumptions in respect of the definition of notified items, the determination of certain allowable deductions, performance indicators and derogation charges. The MAR calculation is also subject to change from time to time when Regulatory Control mechanisms provided by the DOE are amended or as clarifications are received from the DOE. Accordingly, the computation of the other operating revenue for the year ended 31 December 2022 is considered to be a key audit matter. The critical accounting estimates made and judgements applied by management are disclosed in Note 3 and further details about the other operating revenue are disclosed in Note 3 to the consolidated financial statements.	We assessed the design of relevant controls over the process of determining the other operating revenue and determined if they had been appropriately implemented and operating effectively. These controls included, inter alia, the following: - Manual controls over the recognition of other operating revenue; and - Controls over the accuracy and completeness of the other operating revenue calculation. In addition, we also performed the following substantive audit procedures: - Reperformance of management's calculation of other operating revenue; - Agreed the inputs used by management to those stipulated in Regulatory Control 1 (RC 1) and Recycled Water First Regulatory Control (RW 1) files issued by the DoE; - Agreed the adjustments in the Price Control Return to actual amounts; - Evaluated the report of management's expert on the revenue drivers and agreed details in the report to schedules used in the revenue analysis; - Agreed the pass-through charges to invoices and supporting schedules; - Examined the relevant communications with DOE; - Agreed the regulated and unregulated revenue for sales of water and electricity to the revenue calculation used in the other operating revenue; and - Assessed the disclosures in the consolidated financial statements relating to this matter against the requirements of IFRSs.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABU DHABI NATIONAL ENERGY COMPANY PJSC (continued)

Other Information

The Board of Directors' and management are responsible for the other information. The other information comprises the Directors' Report, which we obtained prior to the date of this auditor's report, and the Annual Report 2022, which will be made available to us after the auditor's report date. The other information does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance or conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we will read the Group's Annual Report, if we conclude that there is a material misstatement therein, we will be required to communicate the matter to those charged with governance and consider whether a reportable irregularity exists in terms of the auditing standards, which must be reported.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRSs and the applicable provisions of the articles of association of the Company and the UAE Federal Law No. (32) of 2021, applicable provisions of the laws and regulations and for such internal control as management determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs and the applicable requirements of ADAA Chairman Resolution No. 88 of 2021 Regarding financial statements Audit Standards for the Subject Entities will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABU DHABI NATIONAL ENERGY COMPANY PJSC (continued)

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements (continued)

As part of an audit in accordance with ISAs and the applicable requirements of ADAA Chairman Resolution No. 88 of 2021 Regarding financial statements Audit Standards for the Subject Entities, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law and regulations preclude public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABU DHABI NATIONAL ENERGY COMPANY PJSC (continued)

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

As required by the U.A.E. Federal Decree Law No. (32) of 2021, we report that for the year ended 31 December 2022:

- We have obtained all the information we considered necessary for the purposes of our audit;
- The consolidated financial statements have been prepared and comply, in all material respects, with the applicable provisions of the UAE Federal Decree Law No. (32) of 2021;
- The Group has maintained proper books of account;
- The financial information included in the Directors' report is consistent with the books of account and records of the Group;
- The Group has not purchased or invested in any shares during the financial year ended 31 December 2022 except as disclosed in note 15;
- Note 6 to the consolidated financial statements of the Group discloses social contributions recorded during the financial year ended 31 December 2022;
- Note 29 to the consolidated financial statements discloses the material related party transactions, balances, and the terms under which they were conducted; and
- Based on the information that has been made available to us, nothing has come to our attention which causes us to believe that the Company has contravened during the financial year ended 31 December 2022, any of the applicable provisions of the UAE Federal Decree Law No. (32) of 2021 or of its Articles of Association which would materially affect its activities or its financial position as at 31 December 2022.

Further, as required by the ADAA Chairman Resolution No. 88 of 2021 Regarding financial statements Audit Standards for the Subject Entities, we report, in connection with our audit of the consolidated financial statements for the year ended 31 December 2022, that nothing has come to our attention that causes us to believe that the Group has not complied, in all material respects, with any of the provisions of the following laws, regulations and circulars as applicable, which would materially affect its activities or the financial statements as at 31 December 2022:

- (i) its Article of Association; and
- (ii) relevant provisions of the applicable laws, resolutions and circulars that have an impact on the Subject Entity's Consolidated financial statements.

Deloitte & Touche (M.E.)

Obada Alkowitzly
Registration No. 1056
13 February 2022
Abu Dhabi
United Arab Emirates



CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the year ended 31 December 2022

		31 December 2022	2021
	Notes	AED million	AED million
CONTINUED OPERATIONS			
REVENUES			
Revenue from generation of power and water	3.1	13,823	12,337
Revenue from transmission and distribution of power and water	3.2	26,091	25,928
Revenue from oil and gas	3.3	10,053	7,029
		<u>49,967</u>	<u>45,294</u>
COST OF SALES			
Operating expenses	4	(27,369)	(23,901)
Depreciation, depletion and amortisation	5	(9,549)	(11,111)
		<u>(36,918)</u>	<u>(35,012)</u>
GROSS PROFIT		13,049	10,282
General and administrative expenses	6	(2,166)	(2,254)
Finance costs	7	(2,949)	(3,070)
Net foreign exchange loss		(173)	(79)
Interest income		172	123
Other income	8	84	1,116
Share of results of associates and joint ventures	15	321	313
PROFIT BEFORE TAX FROM CONTINUING OPERATIONS		8,338	6,431
Income tax expense	9	(457)	(682)
PROFIT FOR THE YEAR FROM CONTINUING OPERATIONS		7,881	5,749
DISCONTINUED OPERATIONS			
Profit after tax for the year from discontinued operations	34	242	246
PROFIT FOR THE YEAR		8,123	5,995
Attributable to:			
Equity holders of the parent		8,030	5,960
Non-controlling interests		93	35
PROFIT FOR THE YEAR		8,123	5,995
Basic and diluted earnings per share attributable to equity holders of the parent (AED) from continuing operations		<u>0.07</u>	<u>0.05</u>
Basic and diluted earnings per share attributable to equity holders of the parent (AED) from continuing operations and discontinued operations	10	<u>0.07</u>	<u>0.05</u>

The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31 December 2022

	31 December	
	2022	2021
	AED million	AED million
PROFIT FOR THE YEAR	8,123	5,995
OTHER COMPREHENSIVE INCOME		
<i>Items that may be reclassified to statement of profit or loss in subsequent periods:</i>		
Changes in fair values of derivative instruments in cash flow hedges	2,879	1,732
Share of other comprehensive income of joint ventures	328	-
Exchange differences arising on translation of overseas operations	(123)	(13)
	<u>3,084</u>	<u>1,719</u>
<i>Items not to be reclassified to statement of profit or loss in subsequent periods:</i>		
Remeasurement loss on defined benefit plans	-	(4)
	<u>-</u>	<u>(4)</u>
NET OTHER COMPREHENSIVE INCOME FOR THE YEAR	3,084	1,715
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	11,207	7,710
Attributable to:		
Equity holders of the parent	9,984	6,996
Non-controlling interests	1,223	714
	<u>11,207</u>	<u>7,710</u>

The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As at 31 December 2022

		31 December	31 December
		2022	2021
	Notes	AED million	AED million
ASSETS			
Non-current assets			
Property, plant and equipment	12	117,470	122,397
Operating financial assets	13	7,917	9,047
Intangible assets	14	16,708	17,974
Investment in and loans to associates and joint ventures	15	6,515	1,683
Deferred tax assets	9	6,678	5,598
Derivative financial instruments	31	428	72
Other assets	16	889	924
		<u>156,605</u>	<u>157,695</u>
Current assets			
Inventories	17	3,402	3,518
Amounts due from related parties	29	1,760	1,946
Operating financial assets	13	1,253	1,275
Accounts receivable, prepayments and other receivables	18	7,333	6,534
Income tax prepaid		424	446
Derivative financial instruments	31	75	11
Cash and bank balances	19	10,422	8,772
		<u>24,669</u>	<u>22,502</u>
Assets classified as held for sale	34	234	-
TOTAL ASSETS		181,508	180,197
EQUITY AND LIABILITIES			
Equity attributable to equity holders of the parent			
Share capital	20	112,434	112,434
Merger reserve	21	(56,443)	(56,443)
Statutory reserve	21	1,780	977
Retained earnings		9,002	7,284
Foreign currency translation reserve		(117)	6
Cumulative changes in fair value of derivatives in cash flow hedges		3,723	1,646
		<u>70,379</u>	<u>65,904</u>
Non-controlling interests	22	7,197	6,943
Loans from non-controlling interest shareholders in subsidiaries	23	165	355
Total non-controlling interests, including loans		<u>7,362</u>	<u>7,298</u>
TOTAL EQUITY		77,741	73,202

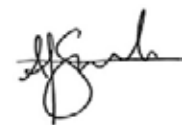
The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION (continued)

As at 31 December 2022

	Notes	31 December 2022 AED million	31 December 2021 AED million
Non-current liabilities			
Interest bearing loans and borrowings	24	50,484	61,369
Islamic loans	25	-	92
Deferred tax liabilities	9	1,330	1,304
Asset retirement obligations	26	13,989	16,873
Derivative financial instruments	31	537	2,719
Other liabilities	27	1,853	1,249
		<u>68,193</u>	<u>83,606</u>
Current liabilities			
Accounts payable, accruals and other liabilities	28	18,047	16,228
Interest bearing loans and borrowings	24	11,129	2,843
Islamic loans	25	92	661
Amounts due to related parties	29	4,129	2,208
Bank overdrafts	19	37	31
Income tax payable		1,098	543
Derivative financial instruments	31	224	875
		<u>34,756</u>	<u>23,389</u>
Liabilities directly associated with assets classified as held for sale	34	818	-
TOTAL LIABILITIES		<u>103,767</u>	<u>106,995</u>
TOTAL EQUITY AND LIABILITIES		<u>181,508</u>	<u>180,197</u>

To the best of our knowledge, the financial information included in these consolidated financial statements fairly presents in all material respects the financial condition, results of operation and cash flows of the Group as of, and for, the periods presented therein. The consolidated financial statements were approved by the Board of Directors on 13 February 2023 and signed on its behalf by:


CHAIRMAN OF THE
BOARD OF DIRECTORS

CHIEF EXECUTIVE OFFICER
& MANAGING DIRECTOR

CHAIRMAN OF THE
AUDIT COMMITTEE


CHIEF FINANCIAL OFFICER

The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

For the year ended 31 December 2022

	Attributable to equity holders of the parent							Loans from non-controlling interest shareholders in subsidiaries		Total equity AED million
	Share capital AED million	Merger reserve AED million	Statutory reserve AED million	Retained earnings AED million	Foreign currency translation reserve AED million	Cumulative changes in fair value of derivatives AED million	Total AED million	Non-controlling interests AED million	Loans from non-controlling interest shareholders in subsidiaries AED million	
Balance at 1 January 2021	112,434	(56,443)	381	4,925	19	593	61,909	6,880	466	69,255
Profit for the year	-	-	-	5,960	-	-	5,960	35	-	5,995
Other comprehensive income for the year	-	-	-	(4)	(13)	1,053	1,036	679	-	1,715
Total comprehensive income for the year	-	-	-	5,956	(13)	1,053	6,996	714	-	7,710
Dividends (note 35)	-	-	-	(2,980)	-	-	(2,980)	(705)	-	(3,685)
Group structure modifications	-	-	-	(21)	-	-	(21)	54	(33)	-
Transfer to reserves	-	-	596	(596)	-	-	-	-	-	-
Repayment of loans	-	-	-	-	-	-	-	-	(78)	(78)
Balance at 31 December 2021	<u>112,434</u>	<u>(56,443)</u>	<u>977</u>	<u>7,284</u>	<u>6</u>	<u>1,646</u>	<u>65,904</u>	<u>6,943</u>	<u>355</u>	<u>73,202</u>
Balance at 1 January 2022	112,434	(56,443)	977	7,284	6	1,646	65,904	6,943	355	73,202
Profit for the year	-	-	-	8,030	-	-	8,030	93	-	8,123
Other comprehensive income for the year	-	-	-	-	(123)	2,077	1,954	1,130	-	3,084
Total comprehensive income for the year	-	-	-	8,030	(123)	2,077	9,984	1,223	-	11,207
Dividends (note 35)	-	-	-	(5,509)	-	-	(5,509)	(969)	-	(6,478)
Transfer to reserves	-	-	803	(803)	-	-	-	-	-	-
Repayment of loans	-	-	-	-	-	-	-	-	(190)	(190)
Balance at 31 December 2022	112,434	(56,443)	1,780	9,002	(117)	3,723	70,379	7,197	165	77,741

The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS**For the year ended 31 December 2022**

		<i>31 December 2022 AED million</i>	<i>31 December 2021 AED million</i>
	<i>Notes</i>		
OPERATING ACTIVITIES			
Profit before tax from continuing operations		8,338	6,431
Profit before tax from discontinued operations	34	798	260
		9,136	6,691
Adjustments for:			
Depreciation, depletion and amortisation	5	9,579	11,119
Finance costs	7	2,967	3,094
Share of results of associates and joint ventures	15	(321)	(313)
Intangible assets derecognised		179	-
Other movements		239	31
Gain on sale of land, oil and gas and other assets	8	(128)	(256)
Interest income		(172)	(123)
Asset retirement obligation relief deed income		367	(486)
Revenue from operating financial assets	13	(1,401)	(1,576)
		11,309	11,490
Working capital changes:			
Inventories		266	(234)
Accounts receivables and prepayments		(606)	(33)
Amounts due from related parties		186	663
Amounts due to related parties		1,921	5
Accounts payable, accruals and other liabilities		666	579
Income tax paid		(1,915)	(268)
Asset retirement obligation payments	26	(1,047)	(586)
Cash received from operating financial assets	13	1,963	1,986
		1,434	2,112
Net cash generated from operating activities		21,879	20,293
INVESTING ACTIVITIES			
Purchases of property, plant and equipment		(4,012)	(3,851)
Purchases of intangible assets	14	(19)	(2)
Investment in a joint venture	15	(3,747)	-
Receipts from associates and joint ventures		360	1,068
Interest received		172	123
Proceeds from sale of non-core assets		197	86
Other movements		(190)	101
Advance to a related party	15	(797)	-
		(8,036)	(2,475)
Net cash used in investing activities			

		<i>31 December 2022 AED million</i>	<i>31 December 2021 AED million</i>
	<i>Notes</i>		
FINANCING ACTIVITIES			
Interest bearing loans and borrowings received	24	6,892	5,504
Repayments of interest-bearing loans and borrowings	24	(8,534)	(15,587)
Repayments of Islamic loans	24 & 25	(655)	(173)
Payments of lease liabilities		(98)	(139)
Payment of derivatives		(361)	-
Interest paid		(2,957)	(3,360)
Dividend paid to non-controlling interest shareholders		(919)	(697)
Dividend paid to shareholders		(5,509)	(2,980)
Repayment of loans to non-controlling interest shareholders		(190)	(78)
		(12,331)	(17,510)
Net cash used in financing activities			
NET INCREASE IN CASH AND CASH EQUIVALENTS			
		1,512	308
Net foreign exchange difference		132	(20)
Cash and cash equivalents at 1 January	19	8,422	8,321
Restricted cash movement	19	57	(187)
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	19	10,123	8,422

Significant non-cash transactions:

In the year ended 31 December 2022, assets with a value of AED 599 million were transferred to Abu Dhabi Transmission & Despatch Company PJSC and assets with a value of AED 158 million were transferred to Al Ain Distribution Company PJSC. These amounts have not been reflected in the 'Purchases of property, plant and equipment' in the consolidated statement of cash flows, however the amounts have been recorded within 'Property, plant and equipment' (note 12) on the consolidated statement of financial position.

In the year ended 31 December 2021, assets with a value of AED 955 million were transferred to Al Ain Distribution Company PJSC. This amount has not been reflected in the 'Purchases of property, plant and equipment' in the consolidated statement of cash flows, however the amount has been recorded within 'Property, plant and equipment' on the consolidated statement of financial position (note 12).

The accompanying notes form an integral part of these consolidated financial statements.

The accompanying notes form an integral part of these consolidated financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 December 2022

1 CORPORATE INFORMATION

Abu Dhabi National Energy Company PJSC (“TAQA” or the “Company”) was established on 21 June 2005 pursuant to the provisions of Emiri Decree number 16/2005 as a public joint stock company.

TAQA is a subsidiary of Abu Dhabi Power Corporation (“ADPC”) and is listed on the Abu Dhabi Securities Exchange. ADPC’s ownership represents 90.0% of the entire issued share capital of TAQA with the remainder 5.1% being held by Norm Commercial Investments – One Person Company and 4.9% held by other shareholders including the public. ADPC is a 100% owned by Abu Dhabi Developmental Holding Company (“ADQ”).

TAQA is a diversified utilities and energy company with significant strategic power and water generation assets in its domestic market in the UAE and operates internationally across the energy value chain from upstream and midstream oil and gas through to power generation.

TAQA’s registered head office is at 25th Floor, Al Maqam Tower, Abu Dhabi Global Market Square, PO Box 55224, Abu Dhabi, United Arab Emirates.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES

2.1 BASIS OF PREPARATION

The consolidated financial statements of TAQA have been prepared on the historical cost basis except for assets and liabilities measured at fair value in accordance with International Financial Reporting Standards (“IFRS”) as issued by the International Accounting Standards Board (“IASB”) and the applicable requirements of the UAE Federal Law No. 32 of 2021.

These consolidated financial statements have been presented in United Arab Emirates Dirhams (AED). All values are rounded to the nearest million (AED million) except where otherwise indicated.

As at 31 December 2022, retained earnings of the Group are AED 9,002 million (2021: AED 7,284 million). As at 31 December 2022, the current liabilities of the Group exceed its current assets by AED 10,087 million (2021: AED 887 million). The consolidated financial statements have been prepared on a going concern basis. The Group has sufficient short to medium term liquidity through the Group’s undrawn committed borrowing facilities (note 19) to meet ongoing commitments and therefore it is concluded that adequate support is available to evidence that the going concern assumption is appropriate for the preparation of the 2022 consolidated financial statements.

Federal Law No. 32 of 2021 on Commercial Companies (the “New Companies Law”) was issued on 20 September 2021 and came into effect on 2 January 2022, to entirely replace Federal Law No. 2 of 2015 on Commercial Companies, as amended (the “2015 Law”).

On 3 October 2022, the United Arab Emirates (UAE) Ministry of Finance (“MoF”) issued Federal Decree-Law No 47 of 2022 on the Taxation of Corporations and Businesses, Corporate Tax Law (“CT Law”) to implement a new CT regime in the UAE. The new CT regime is applicable for accounting periods beginning on or after 1 June 2023. Generally, UAE businesses will be subject to a 9% CT rate, however a rate of 0% could be applied to taxable income not exceeding a AED 375,000 or to certain types of entities, to be prescribed by way of a Cabinet decision. The Group is currently assessing the impact of these laws and regulations and will apply the requirements as further guidance is provided by the relevant tax authorities.

The geopolitical situation in Eastern Europe intensified on 24 February 2022 with the commencement of the conflict between Russia and Ukraine. As at the date of authorising these consolidated financial statements for issue, the conflict continues to evolve as military activity proceeds. Management has considered the unique circumstances and the possible risks and exposures of the Group and has concluded that there is no significant impact on the Group financials. Similarly, the situation is not expected to have any material impact on the business operations. Management will continue to monitor the situation closely including the impact on commodity price assumptions and will assess the need for any action as required.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES

Basis of consolidation

These consolidated financial statements incorporate the financial statements of TAQA and entities controlled by TAQA - its subsidiaries (together referred to as the “Group”), made up to 31 December 2022. Control is achieved when the Group:

- has the power over the investee;
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affects its returns.

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above. When the Group has less than a majority of the voting rights of an investee, it considers that it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The Group considers all relevant facts and circumstances in assessing whether or not its voting rights in an investee are sufficient to give it power, including:

- the size of its holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by it, other vote holders or other parties;
- rights arising from other contractual arrangements; and
- any additional facts and circumstances that indicate that it has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be made, including voting patterns at previous shareholders’ meetings.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when it loses control of the subsidiary. Specifically, the results of subsidiaries acquired or disposed of during the period are included in income statement from the date the Group gains control until the date when it ceases to control the subsidiary. Where necessary, adjustments are made to the financial statements of subsidiaries to bring the accounting policies used into line with the Group’s accounting policies. All intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between the members of the Group are eliminated on consolidation.

Non-controlling interests in subsidiaries are identified separately from the Group’s equity therein. Those interests of non-controlling shareholders that are present ownership interests entitling their holders to a proportionate share of net assets upon liquidation may initially be measured at fair value or at the non-controlling interests’ proportionate share of the fair value of the acquiree’s identifiable net assets. The choice of measurement is made on an acquisition-by-acquisition basis. Subsequent to acquisition, the carrying amount of non-controlling interests is the amount of those interests at initial recognition plus the non-controlling interests’ share of subsequent changes in equity.

Profit or loss and each component of other comprehensive income/(loss) are attributed to the owners of the Group and to the non-controlling interests. Total comprehensive income of the subsidiaries is attributed to the owners of the Group and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance. Changes in the Group’s interests in subsidiaries that do not result in a loss of control are accounted for as equity transactions. The carrying amount of the Group’s interests and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to the owners of the Group.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Business combinations

Acquisitions of businesses are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of assets transferred by the Group, liabilities incurred by the Group to the former owners of the acquiree and the equity interest issued by the Group in exchange for control of the acquiree. Acquisition-related costs are recognised in profit or loss as incurred.

At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their fair value at the acquisition date, except that deferred tax assets or liabilities and assets or liabilities related to employee benefit arrangements are recognised and measured in accordance with IAS 12 - Income taxes and IAS 19 - Employee benefits respectively.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the acquirer’s previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed. If, after reassessment, the net of the acquisition-date amounts of the identifiable assets acquired and liabilities assumed exceeds the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer’s previously held interest in the acquiree (if any), the excess is recognised immediately in profit or loss as a bargain purchase gain.

Measurement period adjustments are adjustments that arise from additional information obtained during the ‘measurement period’ (which cannot exceed one year from the acquisition date) about facts and circumstances that existed at the acquisition date.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Group reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period (see above), or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed as of the acquisition date that, if known, would have affected the amounts recognised as of that date.

Business combinations under common control, which have substance for the combining entities, are also accounted for using the acquisition method explained above.

Fair value measurement

The Group measures certain financial instruments, such as, derivatives, and certain non-financial assets, at fair value at each reporting date. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants. The group categorises assets and liabilities measured at fair value into one of three levels depending on the ability to observe inputs employed in their measurement. Level 1 inputs are quoted prices in active markets for identical assets or liabilities. Level 2 inputs are inputs that are observable, either directly or indirectly, other than quoted prices included within Level 1 for the asset or liability. Level 3 inputs are unobservable inputs for the asset or liability reflecting significant modification to observable related market data or the Group's assumption about pricing by market participants.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Revenue recognition

Revenue from contracts with customers is recognised when or as the Group satisfies a performance obligation by transferring control of a promised good or service to a customer. The transfer of control usually coincides with title passing to the customer and the customer taking physical possession.

When, or as, a performance obligation is satisfied, the Group recognises as revenue the amount of the transaction price that is allocated to that performance obligation. The transaction price is the amount of consideration to which the Group expects to be entitled. The transaction price is allocated to the performance obligations in the contract based on standalone selling prices of the goods or services promised.

The different revenue streams of the Group and the timing of revenue recognition in respect of each revenue stream are mentioned below:

a) Revenue from transmission and distribution of power and water

The Group has a transmission system that consists of various transmission lines and transformers that link power stations to the distribution system. The transmission network primarily transports bulk power and water to the distribution networks. The Group also provides infrastructure services for the transmission system network.

The Group earns revenue from licensed and unlicensed activities, using certain assets that are shared between these activities, and other assets that are solely dedicated to unlicensed activities.

Licensed activities represent operations and transactions relating to the transmission of power and water within the Emirate of Abu Dhabi, which are charged to ADDC and AADC (both are Group companies). These transactions are eliminated as intra-group transactions and not reported in these consolidated financial statements post the effective date of the merger transaction, i.e. 1 July 2020.

Unlicensed activities represent operations and transactions relating to transmission of power and water to Federal Electricity and Water Authority and Sharjah Electricity and Water Authority, which are charged to Emirates Water and Electricity Company (EWEC).

Transmission use of system charges from shared assets (licensed activities)

Revenue from Transmission Use of System (TUOS) charges is calculated in accordance with the formula in the licensed activities document issued by the DOE, under the licenses issued to the Company by DOE for the transmission of water and electricity from generation and desalination plants to the distribution companies and comprise the costs for the provision of shared transmission network services at delivery points to the distribution companies. Specifically, the system charges for the transmission of water and electricity are based on the RC1 which covers the period 2019 to 2022.

Revenue from TUOS charges is recognised upon the delivery of electricity and water.

As per the terms of the License revenue from TUOS charges cannot exceed the maximum allowed electricity and water revenue calculated in accordance with a formula as defined in the License and price control as regulated by the DOE in accordance with the License and correspondence relating to Regulatory Control (RC).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Revenue recognition continued

a) *Revenue from transmission and distribution of power and water* continued

System charges from solely dedicated assets (unlicensed activities)

The service charges for the transmission of water and electricity to other emirates from solely dedicated assets are based on the specific transmission charge calculated with reference to the costs associated with operating relevant dedicated assets. Such revenue is also recognised upon the delivery of electricity and water.

Revenue from supply and distribution of power and water

The Group also earns revenue from supply and distribution of power and water in the region of Abu Dhabi. Revenue is subject to Maximum Allowed Revenue (“MAR”) calculated in accordance with a formula as defined in the License document issued by DOE.

Revenue earned from supply business includes charges recoverable from customers for the supply of power and water within the Group’s distribution. Revenue is recognised at the point in time when the units of power and water are supplied to customers and includes an estimate of the value of the units supplied to customers between the date of the last meter reading and the reporting date. It is considered highly probable that a significant reversal in the cumulative revenue recognised will not occur based on accumulated historical experience of the Group.

When the Group satisfies a performance obligation by transferring a promised good or service, the Group has earned a right to consideration from the customer and, therefore, has a contract asset in the form of account receivable.

Revenue from connection and meter installation fees

Revenue from connection and meter installation fees includes income earned from customers for installation of meters and other related equipment. These charges are recognised in profit or loss when the connection is activated.

Revenue from water coupons and prepaid cards

Revenue from prepaid cards represents charges received from the customers for the sale of water coupons and prepaid cards. These charges are recognised in the statement of profit or loss at the time when units of water are distributed to the customers against these prepaid cards.

Other operating revenue

Other operating revenue in respect of sale of power and water for the period are based on the difference between MAR and revenue billed to customers for the supply and distribution of water and electricity.

Revenue is recognised at the point in time when the units of power and water are supplied to customers and includes an estimate of the value of the units supplied to customers between the date of the last meter reading and the reporting date.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Revenue recognition continued

b) *Revenue from generation of power and water*

The Group earns revenue from sale of power and water. The revenue recognition of the Group’s power and water business is as follows:

- Where the Group determines that the Power and Water Purchase Agreement (PWPA)/Power Purchase Agreement (PPA) meets the financial asset model requirements for service concession arrangements (explained under significant accounting policy on ‘Service concessions’), consideration receivable is allocated by reference to the relative fair values of the services delivered.
- Operating revenue is recognised as the service is provided and finance revenue is recognised using the effective interest rate method on the financial asset.
- Where the Group determines that the PWPA/PPA contains an operating lease, capacity payments are recognised as operating lease rental revenue on a systematic basis to the extent that capacity has been made available to the offtaker during the period. Those payments, which are not included as capacity payments (e.g. fuel revenue), are recognised as revenue in accordance with the contractual terms of the PWPA/PPA.
- Energy and water payments are recognised as revenue at the point in time when the contracted power and water capacity is provided to the offtaker.
- Fuel revenue represents reimbursements from the offtakers in the power and water subsidiaries at market prices for fuel consumed in power generation in accordance with the terms of the power and water purchase agreements and the power purchase agreements. Fuel revenue is recognised as and when fuel is consumed in the production of power and water.

c) *Revenue from oil and gas*

Revenue from the sale of oil and gas is recognised at the point in time when control of the product is transferred to the customer, which is generally when the product is physically transferred into a vessel, pipe or other delivery mechanism and the customer accepts the product.

The Group’s sales of oil and gas are priced based on market prices and where necessary adjusted for a quality differential based on the American Petroleum Institute (API) gravity of the oil and gas sold.

Lifting or offtake arrangements for oil and gas produced by certain of the Group’s jointly owned assets are such that each participant may not receive and sell its precise share of the overall production in each period. The resulting imbalance between cumulative production entitlement and cumulative sales attributable to each participant at a reporting date represents ‘underlift’ or ‘overlift’. Underlift and overlift are valued at market value and included within current assets and current liabilities respectively. Movements during an accounting period are adjusted through cost of sales such that gross profit is recognised on an entitlements basis.

Gas storage

The revenue from gas storage is recognised over time as the service is provided and accepted by customers.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Government grants

Grants that compensate the Group for the cost of an asset are initially recognised as a deferred government grant at fair value when there is reasonable assurance that a grant will be received and the Group will comply with the conditions associated with the grant. Subsequently, these grants are recognised in profit or loss on a systematic basis over the useful life of the associated asset.

Taxes

a) *Current income tax*

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date, in the countries where the Group operates and generates taxable income.

Current income tax relating to items recognised directly in equity is recognised in equity and not in profit or loss. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate. A provision is recognised for those matters for which the tax determination is uncertain but it is considered probable that there will be a future outflow of funds to a tax authority. The provisions are measured at the best estimate of the amount expected to become payable. The assessment is based on the judgement of tax professionals within the Group supported by previous experience in respect of such activities and in certain cases based on specialist independent tax advice.

b) *Deferred income tax*

Deferred income tax assets and liabilities are measured using enacted or substantively enacted income tax rates as at the balance sheet date that are anticipated to apply to taxable income in the years in which temporary differences are anticipated to be recovered or settled. Changes to these balances are recognised in profit or loss or in other comprehensive income/(loss) in the period they occur.

The Group recognises the financial statement impact of a tax filing position when it is probable, based on the technical merits, that the position will be sustained upon audit. The Group assesses possible outcomes and their associated probabilities. If the Group determines payment is probable, it measures the tax provision at the best estimate of the amount of tax payable.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised. Unrecognised deferred income tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred income tax asset to be recovered.

Deferred income tax assets and deferred income tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred income taxes relate to the same taxable entity and the same taxation authority.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Foreign currency translation

For the purpose of these consolidated financial statements, the UAE Dirhams (AED) is the presentation currency of the Group.

In individual subsidiaries, joint ventures and associates, transactions in foreign currencies are initially recorded in the functional currency of those entities at the spot exchange rate on the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the functional currency at the spot exchange rate at the reporting date. Any resulting exchange differences are included in the profit or loss, unless hedge accounting is applied. Non-monetary assets and liabilities, other than those measured at fair value are not retranslated subsequent to initial recognition.

In these consolidated financial statements, the assets and liabilities of foreign operations are translated into AED at the rate of exchange prevailing at the reporting date and their income statements are translated at the weighted average exchange rates on a monthly basis. The exchange differences arising on the translation are recognised in other comprehensive income/(loss) and accumulated in the foreign currency translation reserve within equity. On disposal of a foreign operation, the deferred cumulative amount recognised in equity relating to that particular foreign operation is recognised in profit or loss.

Investments in associates and joint ventures

An associate is an entity over which the Group has significant influence and that is neither a subsidiary nor an interest in a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the joint arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The results, assets and liabilities of associates and joint ventures are incorporated in these consolidated financial statements using the equity method of accounting.

Under the equity method, an investment is carried on the statement of financial position at cost plus post-acquisition changes in the Group's share of net assets of the entity, less distributions received and less any impairment in value of the investment. Loans advanced to equity-accounted entities that have the characteristics of equity financing are also included in the investment on the Group's statement of financial position. The Group's statement of profit or loss reflects the Group's share of the results after tax of the equity-accounted entity, adjusted to account for depreciation, amortisation and any impairment of the equity-accounted entity's assets based on their fair values at the date of acquisition. The Group's statement of comprehensive income includes the Group's share of the equity-accounted entity's comprehensive income/(loss). The Group's share of amounts recognised directly in equity by an equity-accounted entity is recognised directly in the Group's statement of changes in equity.

Unrealised gains on transactions between the Group and its equity-accounted entities are eliminated to the extent of the Group's interest in the equity-accounted entity.

The Group assesses investments in equity-accounted entities for impairment whenever events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication of impairment exists, the carrying amount of the investment is compared with its recoverable amount, being the higher of its fair value less costs of disposal (FVLCD) and value in use (VIU). If the carrying amount exceeds the recoverable amount, the investment is written down to its recoverable amount.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Interests in joint operations

A joint operation is a joint arrangement whereby parties that have joint control of the arrangement have rights to the assets, and obligations for the liabilities, relating to the arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The Group accounts for the assets, liabilities, revenues and expenses relating to its interest in a joint operation in accordance with the IFRSs applicable to the particular assets, liabilities, revenues and expenses.

Certain of the Group’s activities in the oil and gas segment are conducted through joint operations where the partners have a direct ownership interest in and jointly control the underlying assets of the joint operation. The Group accounts for its share of the jointly controlled assets, any liabilities it has incurred, its share of any liabilities jointly incurred with other partners, income from the sale or use of its share of the joint operation’s output, together with its share of the expenses incurred by the joint operation, and any expenses it incurs in relation to its interest in the joint operation.

Leases

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date. The arrangement is assessed for whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

a) *Group as a lessee - Right of use assets*

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term. Right-of-use assets are subject to impairment.

b) *Group as a lessee - Lease liabilities*

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating a lease, if the lease term reflects the Group exercising the option to terminate. The variable lease payments that do not depend on an index or a rate are recognised as expense in the period in which the event or condition that triggers the payment occurs.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Leases continued

b) *Group as a lessee - Lease liabilities* continued

In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

c) *Group as a lessor - Finance leases*

Leases where the Group transfers substantially all the risks and benefits of ownership of the asset are classified as financial leases. The amounts due from the lessee are recorded in the consolidated statement of financial position as financial assets and are carried at the amount of the net investment in the lease after making provision for expected credit losses.

d) *Group as a lessor - Operating leases*

Leases where the Group does not transfer substantially all the risks and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses. Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

The useful lives of intangible assets are assessed to be either finite or indefinite. Amortisation for intangible assets with finite lives is calculated on a straight-line basis as follows:

• Tolling agreement	1 year
• Computer software	3 years
• Power (& water) purchase agreements	1 – 22 years
• Reacquired connection rights	1 – 8 years
• Power & water distribution licences	Indefinite

The expected useful lives of intangible assets are reviewed on an annual basis and, if necessary, changes in useful lives are accounted for prospectively.

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the profit or loss when the intangible asset is derecognised.

Intangible assets with indefinite useful lives are not amortised but are tested for impairment annually. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to definite is made on a prospective basis.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Oil and natural gas exploration, evaluation and development expenditure

a) Exploration & evaluation costs - capitalisation

Pre-license costs and geological and geophysical exploration costs incurred prior to obtaining the rights to explore are recognised in profit or loss when incurred. Exploration licences are recognised as an exploration and evaluation ("E&E") asset. The cost of that licence includes the directly attributable costs of its acquisition. Examples of such costs may include non-refundable taxes and professional and legal costs incurred in obtaining the licence. Costs incurred after the rights to explore have been obtained, such as geological and geophysical costs, drilling costs, appraisal and development study costs and other directly attributable costs of exploration and evaluation activity, including technical and administrative costs for each exploration asset, are capitalised as intangible E&E assets. E&E costs are not amortised prior to the conclusion of appraisal activities.

At completion of appraisal activities if technical feasibility is demonstrated and commercial reserves are discovered then, following development sanction, the carrying value of the relevant E&E asset is reclassified as a development and production ("D&P") asset. This category reclassification is only performed after the carrying value of the relevant E&E asset has been assessed for impairment, and where appropriate, its carrying value adjusted. If commercial reserves are not discovered at the completion of appraisal activity of each asset and it is not expected to derive any future economic benefits, the E&E asset is written off to profit or loss.

b) Development costs

Expenditure on the construction, installation or completion of infrastructure facilities such as platforms, pipelines and the drilling of development wells, including unsuccessful development or delineation wells, is capitalised within oil and gas properties.

Property, plant and equipment

a) Property, plant and equipment - general

Property, plant and equipment is stated at cost less accumulated depreciation and accumulated impairment losses, if any. The present value of the expected cost for the decommissioning obligation of an asset at the end of its useful life is included in the cost of the respective asset if the recognition criteria for a provision are met. Depreciation is calculated so as to write off the cost of property, plant and equipment over the expected useful economic lives of the assets concerned. If significant parts of an item of property, plant and equipment have different useful lives, these significant parts are accounted for as separate items (major components) of property, plant and equipment. The estimated useful lives of assets as follows:

- Buildings, equipment and plant and machinery - 3 to 40 years (Depreciation: Straight line basis)
- Plant spares - 5 to 40 years (Depreciation: Straight line basis)
- Right of use assets – 1 to 5 years / Lower of useful life and lease term (Depreciation: Straight line basis)
- Oil and gas properties - Unit of production (Depreciation: Unit of production basis)

The assets' residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each reporting date, with the effect of any changes in estimate accounted for a prospective basis.

The cost of spare parts held as essential for the continuity of operations and which are designated as strategic spares are depreciated on a straight line basis over their estimated operating life. Spare parts used for normal repairs and maintenance are expensed when issued.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Property, plant and equipment continued

a) Property, plant and equipment – general continued

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period the asset is derecognised.

b) Property, plant and equipment - oil and gas properties

Oil and gas properties in the development and production phase ("D&P" assets) and other related assets are stated at cost, less accumulated depreciation and accumulated impairment losses (net of reversal of previously recognised impairment losses, if any). The initial cost of an asset comprises its purchase price or construction cost, any costs directly attributable to bringing the asset into operation and the estimate of the decommissioning obligation. The purchase price or construction cost is the aggregate amount paid and the fair value of any other consideration given to acquire the asset.

Oil and gas properties are depreciated on a unit-of-production basis over the proved and probable ("2P") reserves of the field concerned. The unit-of-production rate for the amortisation of field development costs takes into account expenditures incurred to date, together with estimated future development expenditure. Depreciation on oil and gas properties does not commence until the commencement of production from the property.

c) Property, plant and equipment - major maintenance and repairs

Expenditure on major maintenance refits or repairs comprises the cost of replacement assets or parts of assets, inspection costs and overhaul costs. Where an asset or part of an asset that was separately depreciated and is now written off is replaced and it is probable that future economic benefits associated with the item will flow to the group, the expenditure is capitalised. Where an asset or part of an asset was not separately considered as a component, the replacement value is used to estimate the carrying amount of the replaced asset (or asset part) which is immediately written off.

Inspection costs associated with major maintenance programs are capitalised when the recognition criteria are met and amortised over the period to the next inspection. Day to day servicing and maintenance costs are expensed as incurred in profit or loss.

d) Property, plant and equipment - capital work in progress

Capital work in progress is included in property, plant and equipment at cost on the basis of the percentage completed at the reporting date. The capital work in progress is transferred to the appropriate asset category and depreciated in accordance with the above policies when construction of the asset is completed and commissioned.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Impairment of non-financial assets

The Group assesses, at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal (FVLCD) and its value in use (VIU). Recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or cash generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing VIU, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In the case of VIU calculations, assumptions are also made regarding the cash flows from each asset's ultimate disposal. In determining FVLCD, recent appropriate market transactions are taken into account, if available.

If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators. Impairment losses are recognised in the statement of profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date to determine whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or cash-generating unit's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in profit or loss.

For the purpose of E&E asset impairment testing, cash generating units are grouped at the operating segment level. An impairment test performed in the E&E phase therefore involves grouping all E&E assets within the relevant segment with the development & production (D&P) assets belonging to the same segment. The combined segment carrying amount is compared to the combined segment recoverable amount and any resulting impairment loss identified within the E&E asset is written off to profit or loss. The recoverable amount of the segment is determined as the higher of its FVLCD and its VIU.

Intangible assets with an indefinite useful life are tested for impairment at least annually and whenever there is an indication at the end of a reporting period that the asset may be impaired. Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted. If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in the statement of profit or loss.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.3 SIGNIFICANT ACCOUNTING POLICIES continued

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Investment income earned on temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

Inventories

Inventories of oil and oil products, which represent production from oil and gas facilities of the Group which are tanked at storage facilities awaiting sale, are valued at market value.

All other items of inventory are valued at the lower of cost, determined on the basis of weighted average cost, and net realisable value. Costs are those expenses incurred in bringing each item to its present location and condition. Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

Deferred income

This represents the value of property, plant and equipment received as a grant and is recognised as income over the period necessary to match with the related costs of property, plant and equipment which are subject to compensation.

Customer and meter deposits

Customer and meter deposits from electricity and water customers are recognised as liability when they are received and are normally settled at the time of disconnecting the customer from the Group's distribution network.

Service concessions

The Group accounts for service concession arrangements under IFRIC 12 when the following conditions are met:

- the grantor (usually a government entity) controls or regulates what services the operator must provide with the infrastructure, to whom it must provide them, and at what price; and
- the grantor (usually a government entity) controls - through ownership, beneficial entitlement or otherwise - any significant residual interest in the infrastructure at the end of the term of the arrangement.

In view of the above, concession infrastructure that does not meet the requirements of IFRIC 12 is presented as property, plant and equipment. Under IFRIC 12, the operator's rights over the plant operated under concession arrangements are accounted for based on the party primarily responsible for payment:

- the "intangible asset model" is applied when users have primary responsibility to pay for the concession services; and
- the "financial asset model" is applied when the grantor has the primary responsibility to pay the operator for the concession services.

Where the grantor guarantees the amounts that will be paid over the term of the contract (e.g. via a guaranteed internal rate of return), the financial asset model is used to account for the concession infrastructure, since the grantor is primarily responsible for payment. The financial asset model is used to account for Build, Operate and Transfer (BOT) contracts entered into with the grantor. The Group recognises financial assets from service concession arrangements in the statement of financial position as operating financial assets at amortised cost.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. Financial assets and financial liabilities are recognised when the Group becomes a party to the contractual provisions of the instrument.

a) Financial assets

Initial recognition and measurement

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (FVOCI), or fair value through profit or loss (FVTPL).

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at FVTPL, transaction costs. Transaction costs of financial assets carried at FVTPL are expensed in profit or loss. Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price determined under IFRS 15 - Revenue from Contracts with Customers.

When the fair value of financial assets and liabilities differs from the transaction price on initial recognition, the Group recognises the difference as follows:

- When the fair value is evidenced by a quoted price in an active market for an identical asset or liability (i.e. a level 1 input) or based on a valuation technique that uses only data from observable markets, the difference is recognised as a gain or loss.
- In all other cases, the difference is deferred and the time of recognition of deferred day one profit or loss is determined individually. It is either amortised over life of the instrument, deferred until the instrument's fair value can be determined using market observable inputs, or realised through settlement.

In order for a financial asset to be classified and measured at amortised cost or FVOCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Financial instruments continued

a) Financial assets continued

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets at FVOCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at FVOCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

Financial assets at amortised cost (debt instruments)

The Group measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

Financial assets at fair value through OCI (debt instruments)

The Group measures debt instruments at FVOCI if both of the following conditions are met:

- The financial asset is held within a business model with the objective of both holding to collect contractual cash flows and selling financial assets; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

For debt instruments at FVOCI, interest income, foreign exchange revaluation and impairment losses or reversals are recognised in profit or loss and computed in the same manner as for financial assets measured at amortised cost. The remaining fair value changes are recognised in OCI. Upon derecognition, the cumulative fair value change recognised in OCI is recycled to profit or loss.

Financial assets designated at FVOCI (equity instruments)

Upon initial recognition, the Group can elect to classify irrevocably its equity investments as equity instruments designated at FVOCI when they meet the definition of equity under IAS 32 - Financial Instruments: Presentation and are not held for trading. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognised as other income in the statement of profit or loss when the right of payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at FVOCI are not subject to impairment assessment.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Financial instruments continued

a) *Financial assets* continued

Financial assets at FVTPL

Financial assets at FVTPL include financial assets held for trading, financial assets designated upon initial recognition at FVTPL, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including separated embedded derivatives, are also classified as held for trading unless they are designated as effective hedging instruments. The detailed accounting treatment of derivatives is described in the accounting policy of derivative financial instrument and hedging activities. Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at FVTPL, irrespective of the business model.

Notwithstanding the criteria for debt instruments to be classified at amortised cost or at FVOCI, as described above, debt instruments may be designated at FVTPL on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch.

Financial assets at FVTPL are carried in the statement of financial position at fair value with net changes in fair value recognised in profit or loss.

Cash and short-term deposits

Cash and short-term deposits in statement of financial position comprise of cash at banks and on hand and short term deposits with an original maturity of three months or less. For the purpose of statement of cash flows, cash and cash equivalents consist of cash and short-term deposits as defined above, net of outstanding bank overdrafts.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e., removed from the Group’s statement of financial position) when:

- The rights to receive cash flows from the asset have expired; or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a ‘pass-through’ arrangement; and either:
 - the Group has transferred substantially all the risks and rewards of the asset, or
 - the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the transferred asset to the extent of its continuing involvement. In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Financial instruments continued

a) *Financial assets* continued

Impairment

The Group recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at FVTPL. The Group measures loss allowances at an amount equal to lifetime ECL, except for those financial instruments on which the counter-party has an investment grade credit rating or credit risk has not increased significantly since their initial recognition, in which case 12-month ECL is measured. 12-month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after reporting date

The Group uses a provision matrix to calculate ECLs for financial assets. The provision rates are calculated based on estimates including the probability of default (PD) and the loss incurred in default positions (LGD). These estimates are allocated by assessing the counterparty credit ratings. The Group calibrates the matrix to adjust the provision rates with forward-looking information. For instance, if forecast economic conditions (i.e., gross domestic product) are projected to change then the historical default rates are adjusted. At every reporting date, the counterparty credit ratings are updated and changes in the forward-looking estimates are analysed. The Group’s historical credit loss experience and forecast of economic conditions may also not be representative of customer’s actual default in the future.

For debt instruments at FVOCI, the Group applies the low credit risk simplification. At every reporting date, the Group evaluates whether the debt instrument is considered to have low credit risk using all reasonable and supportable information that is available without undue cost or effort. In making that evaluation, the Group reassesses the internal credit rating of the debt instrument. In addition, the Group considers that there has been a significant increase in credit risk when contractual payments are more than 30 days past due.

Significant increase in credit risk

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Group compares the risk of a default occurring on the financial instrument as at the reporting date with the risk of a default occurring on the financial instrument as at the date of initial recognition. In making this assessment, the Group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort.

The Group regularly monitors the effectiveness of the criteria used to identify whether there has been a significant increase in credit risk and revises them as appropriate to ensure that the criteria are capable of identifying significant increase in credit risk before the amount becomes past due.

The Group assumes that the credit risk on a financial instrument has not increased significantly since initial recognition if the financial instrument is determined to have low credit risk at the reporting date. A financial instrument is determined to have low credit risk if:

- The financial instrument has a low risk of default,
- The borrower has a strong capacity to meet its contractual cash flow obligations in the near term, and
- Adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the borrower to fulfil its contractual cash flow obligations.

Definition of default

The Group employs statistical models to analyse the data collected and generate estimates of PD of exposures with the passage of time. This analysis includes the identification for any changes in default rates and changes in key macro-economic factors across various geographies of the Group.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Financial instruments continued

a) *Financial assets* continued

Credit-impaired financial assets

A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Evidence that a financial asset is credit-impaired includes observable data about the following events:

- significant financial difficulty of the issuer or the borrower;
- a breach of contract, such as a default or past due event;
- the lender(s) of the borrower, for economic or contractual reasons relating to the borrower’s financial difficulty, having granted to the borrower a concession(s) that the lender(s) would not otherwise consider;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for that financial asset because of financial difficulties.

Write-off policy

The Group writes off a financial asset when there is information indicating that the counterparty is in severe financial difficulty and there is no realistic prospect of recovery, and all the efforts for collection of the receivables are exhausted. Financial assets written off may still be subject to enforcement activities under the Group’s recovery procedures, taking into account legal advice where appropriate. Any recoveries made are recognised in the consolidated profit or loss.

Measurement and recognition of expected credit losses

The measurement of expected credit losses is a function of the PD, loss given default (LGD) (i.e. the magnitude of the loss if there is a default) and the exposure at default. The assessment of the PD and LGD is based on historical data adjusted by forward-looking information as described above. As for the exposure at default, for financial assets, this is represented by the assets’ gross carrying amount at the reporting date; for financial guarantee contracts, the exposure includes the amount drawn down as at the reporting date, together with any additional amounts expected to be drawn down in the future by default date determined based on historical trend, the Group’s understanding of the specific future financing needs of the debtors, and other relevant forward-looking information.

For financial assets, the expected credit loss is estimated as the difference between all contractual cash flows that are due to the Group in accordance with the contract and all the cash flows that the Group expects to receive, discounted at the original effective interest rate.

b) *Financial liabilities*

Initial recognition and measurement

At initial recognition, the Group measures a financial liability not classified as FVTPL, at its fair value minus transaction costs that are incremental and directly attributable to the acquisition or issue of the financial liability. Transaction costs of financial liabilities carried at FVTPL are expensed in profit or loss.

Subsequent measurement

For purposes of subsequent measurement, financial liabilities are classified in two categories:

- Financial liabilities at amortised cost
- Financial liabilities at FVTPL

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Financial instruments continued

b) *Financial liabilities* continued

Financial liabilities subsequently measured at amortised cost

The Group measures financial liabilities that are not held-for-trading and are not designated as at FVTPL at amortised cost at the end of subsequent accounting periods. The carrying amounts of financial liabilities that are subsequently measured at amortised cost are determined based on the effective interest method. Interest expense that is not capitalised as part of costs of an asset is included in the finance costs in the statement of profit or loss.

Financial liabilities subsequently measured at FVTPL

The Group measures financial liabilities that are classified as held for trading, i.e. if they are incurred for the purpose of repurchasing in the near term, at FVTPL. This category also includes derivative financial instruments, including separated embedded derivatives, entered into by the Group that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. Financial guarantee contracts and loan commitments issued by the Group are also designated by the Group as financial liabilities at FVTPL. Gains or losses on financial liabilities at FVTPL are recognised in profit or loss.

Derecognition

The Group derecognises financial liabilities when the obligation is discharged, cancelled or expires. Any difference between carrying value of financial liability extinguished and the consideration paid is recognised in profit or loss.

c) *Offsetting financial instruments*

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

d) *Derivative financial instruments and hedge accounting*

The Group enters into a variety of derivative financial instruments to manage its exposure to interest rate and foreign exchange rate risks, including foreign exchange forward contracts and interest rate swaps. Further details of derivative financial instruments are disclosed in note 31.

Derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

Hedge accounting

At the inception of a hedge relationship that qualifies for hedge accounting, the Group formally designates and documents the hedge relationship to which it wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge.

The documentation includes identification of the hedging instrument, the hedged item, the nature of the risk being hedged and how the Group will assess whether the hedging relationship meets the hedge effectiveness requirements (including the analysis of sources of hedge ineffectiveness and how the hedge ratio is determined).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Financial instruments continued

Hedge accounting continued

A hedging relationship qualifies for hedge accounting if it meets all of the following effectiveness requirements:

- There is ‘an economic relationship’ between the hedged item and the hedging instrument.
- The effect of credit risk does not ‘dominate the value changes’ that result from that economic relationship.
- The hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Group actually hedges and the quantity of the hedging instrument that the Group actually uses to hedge that quantity of hedged item.

Hedges that meet all the qualifying criteria for hedge accounting are accounted for, as described below:

Fair value hedges

Changes in the fair value of derivatives that are designated and qualify as fair value hedges are recognised in profit or loss immediately, together with any changes in the fair value of the hedged asset or liability that are attributable to the hedged risk. The change in the fair value of the hedging instrument and the change in the hedged item attributable to the hedged risk are recognised in the line of the statement of profit or loss relating to the hedged item.

Hedge accounting is discontinued when the Group revokes the hedging relationship, when the hedging instrument expires or is sold, terminated, or exercised, or when it no longer qualifies for hedge accounting. The fair value adjustment to the carrying amount of the hedged item arising from the hedged risk is amortised to profit or loss from that date.

Cash flow hedges

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognised in the consolidated statement of comprehensive income and accumulated under the heading of changes in fair values of derivative instruments in cash flow hedges. The gain or loss relating to the ineffective portion is recognised immediately in statement of profit or loss, and is included in the other income line item.

Amounts previously recognised in other comprehensive income/(loss) and accumulated in equity are reclassified to the profit or loss in the periods when the hedged item is recognised in profit or loss, in the same line of the statement of profit or loss as the recognised hedged item. However, when the hedged forecast transaction results in the recognition of a non-financial asset or a non-financial liability, the gains and losses previously recognised in other comprehensive income/(loss) and accumulated in equity are transferred from equity and included in the initial measurement of the cost of the non-financial asset or non-financial liability.

Hedge accounting is discontinued when the Group revokes the hedging relationship, when the hedging instrument expires or is sold, terminated, or exercised, or when it no longer qualifies for hedge accounting. Any gain or loss recognised in other comprehensive income/(loss) and accumulated in equity at that time remains in equity and is recognised when the forecast transaction is ultimately recognised in profit or loss. When a forecast transaction is no longer expected to occur, the gain or loss accumulated in equity is recognised immediately in profit or loss.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Employees benefits

a) Annual leave and leave passage

An accrual is made for estimated liability for employees’ entitlement to annual leave and leave passage as a result of services rendered by eligible employees up to the end of the reporting period.

b) End of service benefits

Defined contribution plans

The Group provides end of service benefits to certain employees. The entitlement to these benefits is based upon the employees’ final salary and length of service, subject to the completion of a minimum service period. The expected costs of these benefits are accrued over the period of employment. With respect to its UAE national employees, the Group makes contributions to the Abu Dhabi Retirement Pensions and Benefits Fund calculated as a percentage of the employees’ salaries. Where the Group’s obligations are limited to these contributions made to pension and benefit funds, these contributions are expensed on a monthly basis and paid when due.

Defined benefit plans

The cost of defined benefit pension plans and other post employment medical benefits and the present value of the pension obligation are determined using actuarial valuations. The cost of providing benefits under defined benefit plans is determined using the projected unit credit method. Remeasurements, comprising of actuarial gains and losses, the effect of the asset ceiling, excluding amounts included in net interest on the net defined benefit liability and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability), are recognised immediately in statement of financial position with a corresponding debit or credit to retained earnings through other comprehensive income/(loss) in the period in which they occur. Remeasurements are not reclassified to profit or loss in subsequent periods.

Provisions

a) General

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in statement of profit or loss net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre tax rate that reflects the time value of money and where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.2 SIGNIFICANT ACCOUNTING POLICIES continued

Provisions continued

b) Asset retirement obligations (ARO) / decommissioning liability

Certain subsidiaries have legal obligations in respect of site restoration and abandonment of their power generation and water desalination assets and oil and gas properties at the end of their useful lives (decommissioning costs). The Group records a provision for the site restoration and abandonment based upon estimated costs at the end of their useful lives. Accordingly, a corresponding asset is recognised in property, plant and equipment. Decommissioning costs are recorded at the present value of expected costs to settle the obligations using estimated cash flows and are recognised as part of the cost of each specific asset. The cash flows are discounted at a rate that reflects the risks specific to the decommissioning liability. The accretion is expensed as incurred and recognised in the statement of profit or loss as a finance cost. The estimated future costs of the asset retirement obligation are reviewed annually and adjusted as appropriate. Changes to provisions based on revised costs estimates or discount rate applied charges are added to or deducted from the cost of the relevant asset.

c) Production bonuses

Under the terms of the relevant production sharing arrangements, the Group’s European (TAQA Bratani and TAQA Energy) and North American (TAQA North) oil and gas assets are entitled to its participating share in hydrocarbon production based on the Group’s working interest. The Group’s oil assets in the Kurdistan region of Iraq (TAQA Atrush) are entitled to its participating interest in the crude oil production based on the Group’s participating interest.

For the Group’s investment in TAQA Atrush, the production sharing contract contains a legal obligation for production bonuses to be paid to the Kurdistan Regional Government when certain production targets are achieved. The Group records a provision for these bonuses when it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation. This is assessed based on the Group’s share of proved and probable reserves under the production sharing contract.

Contingencies

From time to time, the Group receives claims in the ordinary course of business. Liabilities and contingencies in connection with these matters are periodically assessed based upon the latest information available, usually with the assistance of lawyers and other specialists. A liability is accrued only if an adverse outcome is more likely than not and the amount of the loss can be reasonably estimated. If one of these conditions is not met, the claim is disclosed as a contingent liability, if material. The actual outcome of a claim may differ from the estimated liability and consequently may affect the financial performance and position of the Group.

Non-current assets held for sale

Non-current assets (and disposal groups) classified as held for sale are measured at the lower of carrying amount and fair value less costs to sell. Non-current assets and disposal groups are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset (or disposal group) is available for immediate sale in its present condition. Management must be committed to the sale which should be expected to qualify for recognition as a completed sale within one year from the date of classification. When the Group is committed to a sale plan involving loss of control of a subsidiary, all of the assets and liabilities of that subsidiary are classified as held for sale when the criteria described above are met, regardless of whether the Group will retain a non-controlling interest in its former subsidiary after the sale. When the Group is committed to a sale plan involving disposal of an investment in an associate or, a portion of an investment in an associate, the investment, or the portion of the investment in the associate, that will be disposed of is classified as held for sale when the criteria described above are met. The Group then ceases to apply the equity method in relation to the portion that is classified as held for sale. Any retained portion of an investment in an associate that has not been classified as held for sale continues to be accounted for using the equity method.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

In the application of the Group's accounting policies, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. However, uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the asset or liability affected in the future.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

Significant judgements in applying accounting policies

The management has made the following judgements, which have the most significant effect on the amounts recognised in these consolidated financial statements:

Revenue recognition - Connection and supply of water and electricity

Significant judgement was exercised in determining whether the connection and supply of water/electricity are considered to be two distinct performance obligations as that can have a considerable impact on how the related revenue is recognised. Management considered the detailed criteria of IFRS 15 Revenue from Contracts with Customers along with a variety of factors including, but not limited to, the connection and supply agreements, tariffs charged, etc.

In light of the facts and circumstances, management believes that connection and supply are two distinct performance obligations, hence revenue should be recognised as and when each one of the obligations are satisfied. For connection fees, the obligation is fulfilled once the connection is complete after which the Group has the right to receive consideration in full. As a result, revenue related to connection charges is recognised upon initiation of the connection at a point in time. Since the obligation of supply of water/electricity is fulfilled as the product/service is provided, related revenue is also recognized at a point in time upon supply. Conversely if the connection and supply were considered to be one performance obligation, the related connection charges would be deferred over the useful life of the assets installed to provide the connection.

Power and Water Purchase Agreements

a) Service concession agreements

Some of the Group’s foreign subsidiaries have entered into Power Purchase Agreements (“PPA”) with offtakers in countries where they are operating. Management has determined these arrangements to be service concession arrangements under IFRIC 12 - Service Concession Arrangements by applying the requirements of the interpretation to the facts and circumstances in each location. The Group’s domestic (United Arab Emirates) subsidiaries have also entered into long term Power and Water Purchase Agreements (“PWPA”) and PPAs with EWEC. Based on the terms of the PWPAs/PPAs, management has determined that EWEC does not control any residual interest in the respective plants at the end of the term of the PWPAs/PPAs and therefore does not consider the PWPAs/PPAs to fall within the scope of IFRIC Interpretation 12 Service Concession Arrangements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS continued

Significant judgements in applying accounting policies continued

Power and Water Purchase Agreements continued

b) Operating lease commitments - Subsidiaries as lessor

As mentioned above, the Group’s domestic subsidiaries have entered into PWPAs/PPAs. Under the PWPAs/PPAs, the subsidiaries receive payment for the provision of power and water capacity, whether or not the offtaker EWEC requests power or water output (“capacity payments”), and for the variable costs of production (“energy and water payments”). The Group has determined the PWPAs/PPAs are lease arrangements as management considers that the Group retains the principal risks and rewards of ownership of the plants, based on management’s estimate of the useful life and residual value of the assets, and so accounts for the PWPAs/PPAs as operating leases. An estimate of the useful life of the asset and residual value is made and reviewed annually. The effects of changes in useful life are recognised prospectively, over the remaining life of the asset. When there are amendments to the PWPAs/PPAs, management reconsiders whether the Group continues to retain the principal risks and rewards of ownership of the plants.

Equity or liability classification

Interest free loans are classified either as financial liabilities or as equity in accordance with the substance of the contractual arrangement and criteria of IAS 32. Unsecured amounts without defined interests and repayment terms are treated as equity contribution.

Capitalisation of project costs

a) Transmission network

In determining the timing of recording of assets and commencing the depreciation, management has considered the principles laid down in IAS 16 - Property, Plant and Equipment, the time of the completion of the commissioning and the time when the asset is ready for its intended use i.e. it is probable that economic benefits will flow to the Group and assets are operational and under the use of the Group.

Project costs, related to the transmission network of the Group, capitalised under capital work in progress are transferred to the relevant category of property, plant and equipment when the following criteria are met:

- a) the distribution network is connected to the transmission network,
- b) the project capitalisation form is approved by the asset management directorate, and
- c) the provisional acceptance certificate is issued to the contractor.

Any revision in the engineer's estimates are adjusted prospectively with the recorded project costs. The Group recognises funded transmission and despatch projects once the respective work is completed, all the regulatory approvals are obtained from the Regulation and Supervision Bureau, the transmission and despatch asset transfer agreements are signed and the transmission and despatch assets are made available for use. The Group signed a Memorandum of Understanding (MOU) with the transferor in prior years. The MOU states that the transferor bears the risks and title to transmission and despatch project construction assets until successful completion of the commissioning of the respective stage. Accordingly, management has determined that the transfer of these transmission and despatch project construction assets have not taken place in accordance with the accounting policies of the Group, MOU's and asset transfer agreement.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS continued

Significant judgements in applying accounting policies continued

Capitalisation of project costs continued

b) Major development projects - Distribution assets

In determining the timing of recording of these distribution assets which are received from various developers and commencing the depreciation, management has considered the principles laid down in IAS 16, the time of completion of commissioning and the time when the assets are ready for its intended use i.e. it is probable that economic benefits flow to the Group given its exclusive distribution license and the distribution assets are operational and under the use of the Group.

During the year, management has considered the detailed criteria of IAS 16 and reviewed the transfer agreements and the correspondences with developers and consultants of these projects to obtain the justification for their recognition in the Group's consolidated financial statements. Management believes that these distribution assets meet the conditions mentioned in IAS in terms of capitalising these distribution assets and consequently depreciating them from the date when these distribution assets were available for use.

Capitalisation of staff costs

Management determines whether the Group will recognise an asset from the staff costs incurred to fulfil a project if such costs meet all the following criteria:

- a) the costs relate directly to a project that the Group can specifically identify;
- b) the costs generate or enhance resources of the Group that will be used in satisfying performance obligations in the future; and
- c) the costs are expected to be recovered.

Such staff costs will be amortised on a systematic basis over the useful life of the asset recognised.

Determining the lease term

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). The assessment is reviewed if a significant event or a significant change in circumstances occurs which affects this assessment and that is within the control of the Group.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS continued

Significant judgements in applying accounting policies continued

Business model assessment

Classification and measurement of financial assets depends on the results of the SPPI and the business model test (please see policy for financial assets sections in Note 2.2). The Group determines the business model at a level that reflects how groups of financial assets are managed together to achieve a particular business objective.

This assessment includes judgement reflecting all relevant evidence including how the performance of the assets is evaluated and their performance measured, the risks that affect the performance of the assets and how these are managed and how the managers of the assets are compensated. The Group monitors financial assets measured at amortised cost that are derecognised prior to their maturity to understand the reason for their disposal and whether the reasons are consistent with the objective of the business for which the asset was held. Monitoring is part of the Group’s continuous assessment of whether the business model for which the remaining financial assets are held continues to be appropriate and if it is not appropriate whether there has been a change in business model and so a prospective change to the classification of those assets. No such changes were required during the periods presented.

Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below:

Impairment testing of non-financial assets

Management determines at each reporting date whether there are any indicators of impairment relating to the Group’s property, plant and equipment and intangible assets including exploration and evaluation assets, power (and water) purchase agreements and distribution licenses. A broad range of internal and external factors are considered as part of the indicator review process.

The Group’s impairment testing for non-financial assets is based on calculating the recoverable amount of each cash generating unit or group of cash generating units being tested. Recoverable amount is the higher of value in use (VIU) and fair value less costs of disposal (FVLCD). VIU for relevant cash generating units is derived from projected cash flows as approved by management and do not include restructuring activities that the group is not yet committed to or significant future investments that will enhance the asset base of the cash generating unit being tested. FVLCD for relevant cash generating units is generally derived from discounted cash flow models using market based inputs and assumptions. Recoverable amount is most sensitive to commodity price assumptions, regulatory framework regimes, foreign exchange rate assumptions, inflation and discount rates used in the cash flow models.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS continued

Key sources of estimation uncertainty continued

Estimation of oil and gas reserves

Oil and gas reserves and resources used for accounting purposes are estimated using internationally accepted methods and standards. The Group’s annual oil and gas reserves and resources review process includes an external audit process conducted by appropriately qualified parties. All reserve estimates are subject to revision, either upward or downward, based on new information, such as from development drilling and production activities or from changes in economic factors, including product prices, contract terms or development plans. In general, changes in the technical maturity of hydrocarbon reserves resulting from new information becoming available from development and production activities have tended to be the most significant cause of annual revisions. Changes in oil and gas reserves are an important indication of impairment or reversal of impairment and may result in subsequent impairment charges or reversals as well as affecting the unit-of-production depreciation charge in the profit or loss.

Provision for decommissioning

Decommissioning costs will be incurred by the Group at the end of the operating life of certain of the Group’s facilities and properties. The ultimate decommissioning costs or asset retirement obligations are uncertain and cost estimates can vary in response to many factors including changes to relevant legal requirements, the emergence of new restoration techniques or experience at production sites. The expected timing of expenditure can also change, for example in response to changes in laws and regulations or their interpretation, and/or due to changes in commodity prices. The provision is most sensitive to commodity price assumptions, foreign exchange rate assumptions, inflation and discount rates used in the cash flow models.

Allowance for expected credit losses

The loss allowances for financial assets are based on assumptions about risk of default and expected loss rates. The Group uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on the Group’s past history, existing market conditions as well as forward looking estimates at the end of each reporting period.

The following information is taken into account when assessing whether credit risk has increased significantly since initial recognition:

- a) An actual or expected significant deterioration in the financial instrument’s external (if available) or internal credit rating;
- b) Existing or forecast adverse changes in business, financial or economic conditions that are expected to cause a significant decrease in the debtor’s ability to meet its debt obligations;
- c) An actual or expected significant deterioration in the operating results of the debtor;
- d) Significant increases in credit risk on other financial instruments of the same debtor;
- e) An actual or expected significant adverse change in the regulatory, economic, or technological environment of the debtor that results in a significant decrease in the debtor’s ability to meet its debt obligations. Irrespective of the outcome of the above assessment, the Group presumes that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 90 days past due, unless the Group has reasonable and supportable information that demonstrates otherwise.

Allowance for slow moving and obsolete inventories

Management assess loss (if any) on items of inventory on account of slow moving and obsolescence on a regular basis. In determining whether provision for obsolescence should be recorded in profit or loss, the Group makes judgements as to whether there is any observable data indicating that there is a future consumption of the item. Based on the factors, management has identified inventory items as slow moving and obsolete to calculate the allowance for slow moving and obsolete inventories.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS continued

Key sources of estimation uncertainty continued

Fair value of financial instruments

Where the fair value of financial assets and financial liabilities recorded in the statement of financial position cannot be derived based on quoted prices from active markets, their fair value is determined using valuation techniques including discounted cash flows models. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. The judgements include consideration of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

Income taxes

The Group recognises the net future tax benefit to the extent that it is probable that the deductible temporary differences will reverse in the foreseeable future. Assessing the recoverability of deferred income tax assets requires the Group to make significant assumptions related to expectations of future taxable income. Estimates of future taxable income are based on forecast cash flows from operations and the application of existing tax laws in each jurisdiction. To the extent that future cash flows and taxable income differ significantly from estimates, the ability of the Group to realise the net deferred tax assets recorded at the reporting date could be impacted. Additionally, future changes in tax laws in the jurisdictions in which the Group operates could limit the ability of the Group to obtain tax deductions in future periods.

Useful lives of property, plant and equipment

Management determines the estimated useful lives of property, plant and equipment. This estimate is determined after considering the expected usage of the asset or physical wear and tear. Management reviews the residual value and useful lives annually and the future depreciation charge is adjusted where management believes that the useful lives differ from previous estimates.

Other operating revenue – Transmission & Distribution

Other operating revenue for sales of water and electricity is calculated as the difference between its Maximum Allowed Revenue (MAR) determined in its Regulatory Control 1 (issued by the DoE) and revenue relating to supply and distribution of water and electricity from its customers. Accordingly, the Group recognised this revenue for supply and distribution of water and electricity based on those rights and rewards that are confirmed during the period.

Unbilled revenue

The Group estimates the amount of unbilled consumption individually for each customer account based on historical meter readings. Unbilled consumption is calculated based on the average consumption for the period between the date of the last meter reading and the year end.

2 BASIS OF PREPARATION AND ACCOUNTING POLICIES continued

2.4 NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS ADOPTED BY THE GROUP

The Group applied for the first time certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2022.

- Amendments to IFRS 3 Business Combinations: Reference to the Conceptual Framework.
- Amendments to IAS 16 Property, Plant and Equipment related to proceeds before intended use.
- Amendments to IAS 37 Provisions, Contingent Liabilities and Contingent Assets related to Onerous Contracts—Cost of Fulfilling a Contract.
- Annual Improvements to IFRS Standards 2018-2020: The Annual Improvements include amendments to IFRS 1 First-time Adoption of International Financial Reporting Standards, IFRS 9 Financial Instruments, IFRS 16 Leases, and IAS 41 Agriculture.

These amendments had no material impact on the consolidated financial statements of the Group for the current and prior years but may affect the accounting for future transactions or arrangements.

2.5 NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS BUT NOT YET EFFECTIVE

The Group has not early adopted the following standards, interpretations or amendments that have been issued but not yet effective. These are not expected to have any material impact on the Group’s consolidated financial statements.

- IFRS 17 Insurance Contracts (effective from January 1, 2023).
- Amendments to IFRS 10 Consolidated Financial Statements and IAS 28 Investments in Associates and Joint Ventures: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (effective date not yet decided).
- Amendments to IAS 1 Presentation of Financial Statements: Classification of Liabilities as Current or Non-current (effective from January 1, 2023).
- Covid-19-Related Rent Concessions beyond 30 June 2021 (Amendment to IFRS 16) (effective from 1 April 2022)
- Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2) (effective from 1 January 2023)
- Definition of Accounting Estimates (Amendments to IAS 8) (effective from 1 January 2023)
- Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12) (effective from 1 January 2023)
- Annual Improvements to IFRS Standards 2018-2020: The Annual Improvements include amendments to (effective date not yet decided) and
- Amendments to IAS 1 and IFRS Practice Statement 2 related to Disclosure of Accounting Policies (effective from January 1, 2023).

There are no other applicable new standards and amendments to published standards or IFRIC interpretations that have been issued that would be expected to have a material impact on the consolidated financial statement of the Group.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)**31 December 2022****3 REVENUE****3.1 Revenue from generation of power and water**

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Operating lease revenue	5,786	6,191
Revenue from operating financial assets (note 13)	1,401	1,576
Sale of power	833	518
Energy payments and other related revenue	1,633	1,662
Fuel revenue*	3,774	1,913
Others	396	477
	13,823	12,337

*Fuel revenue represents reimbursements from the offtakers of the power and water subsidiaries for fuel consumed in power generation in accordance with the terms of the power and water purchase agreements and the power purchase agreements.

All revenue from generation of power and water is recognised at a point in time, with the exception of revenue from operating financial assets which is recognised over time.

3.2 Revenue from transmission and distribution of power and water

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
TUOS charges for unlicensed activities	976	1,046
Revenue from supply and distribution of power and water	13,765	13,186
Distribution connection and meter installation fees	291	388
Water coupons	82	90
Other operating revenue	10,977	11,218
	26,091	25,928

Other operating revenue for sales of water and electricity is calculated as the difference between its Maximum Allowed Revenue (“MAR”) determined in its Regulatory Control 1 (“RC1”) license (issued by the DoE) and revenue relating to supply and distribution of water and electricity from its customers. Accordingly, the Group recognised this revenue relating to supply and distribution of water and electricity based on those rights and rewards that are confirmed during the period.

All revenue from transmission and distribution of power and water is recognised at a point in time.

3 REVENUE continued**3.3 Revenue from oil and gas**

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Gross oil and gas revenue	11,094	7,270
Less: royalties	(631)	(306)
	10,463	6,964
Gas storage revenue	318	207
Net processing income	229	198
Others	7	56
	11,017	7,425
Oil and gas net revenue in discontinued operations (note 34)	(964)	(396)
	10,053	7,029

All revenue from oil and gas is recognised at a point in time, with the exception of gas storage revenue which is recognised over time.

4 OPERATING EXPENSES

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Salaries and related expenses	1,798	1,914
Repairs, maintenance and consumables used	3,075	3,013
Bulk supply tariff (note 29)	15,102	14,447
Fuel expenses	4,419	2,179
Charges by operating and maintenance contractors	1,106	1,177
Oil and gas operating costs	995	828
Transportation costs	368	325
Insurance costs	174	154
Expected credit loss movements	164	(339)
Others	288	308
	27,489	24,006
Operating expenses in discontinued operations (note 34)	(120)	(105)
	27,369	23,901

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

5 DEPRECIATION, DEPLETION AND AMORTISATION

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Depreciation of property, plant and equipment and depletion of oil and gas assets (note 12)	8,444	9,773
Amortisation of intangible assets (note 14)	1,135	1,346
	-----	-----
	9,579	11,119
Depreciation, depletion and amortisation in discontinued operations (note 34)	(30)	(8)
	-----	-----
	9,549	11,111
	=====	=====

6 GENERAL AND ADMINISTRATIVE EXPENSES

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Salaries and related expenses	1,735	1,488
Professional fees and business development expenses	404	541
IT and communications	223	169
Corporate social contributions	2	2
Others	377	553
	-----	-----
	2,741	2,753
Cost recoveries from JV partners	(573)	(496)
	-----	-----
	2,168	2,257
General and administrative expenses in discontinued operations (note 34)	(2)	(3)
	-----	-----
	2,166	2,254
	=====	=====

7 FINANCE COSTS

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Finance costs relating to bonds and global medium term notes	1,023	1,101
Finance costs relating to interest bearing loans and borrowings and Islamic loans	1,062	878
Interest expense on interest rate swaps	371	622
Asset retirement obligations accretion expense (note 26)	474	454
Lease liability interest	37	39
	-----	-----
	2,967	3,094
Finance costs in discontinued operations (note 34)	(18)	(24)
	-----	-----
	2,949	3,070
	=====	=====

8 OTHER INCOME

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Deferred income - grant released	64	29
Gain on sale of land, oil and gas and other assets	128	256
Asset retirement obligation relief deed (expense) income	(316)	486
Other	208	345
	-----	-----
	84	1,116
	=====	=====

9 INCOME TAX

The major components of income tax expense (credit) for the years ended 31 December 2022 and 2021 are:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Consolidated profit or loss		
<i>Current income tax:</i>		
Current income tax charge	2,138	889
Adjustment in respect to income tax of previous years	(79)	(283)
	-----	-----
<i>Deferred income tax:</i>		
Relating to origination and reversal of temporary differences	(1,047)	(74)
Adjustment in respect to deferred tax of previous years	1	164
	-----	-----
	1,013	696
	-----	-----
Income tax expense in discontinued operations (note 34)	(556)	(14)
	-----	-----
Income tax expense reported in the consolidated profit or loss	457	682
	=====	=====

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

9 INCOME TAX continued

The reconciliation between tax expense (credit) and the product of accounting profit including discontinued operations profit multiplied by the applicable statutory tax rate for the years ended 31 December 2022 and 2021 is as follows:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Profit before tax	9,136	6,691
Non-taxable profit (including income in non-taxable jurisdictions)	(3,672)	(3,521)
	-----	-----
Total taxable profit	5,464	3,170
	=====	=====
Applicable tax charge at		
statutory rates – weighted average of 30% (2021: 28%)	1,665	879
Adjustment in respect to income tax of previous years	(79)	(283)
Adjustment in respect to deferred income tax of previous years	1	164
Deferred tax recognition due to changes in estimates	(1,415)	(545)
Withholding taxes	15	15
Tax incentives	(5)	(50)
Special production taxes on upstream activities	630	(37)
Tax effect on non deductible expenses	16	524
Other	185	29
	-----	-----
Income tax expense reported in the profit or loss including discontinued operations	1,013	696
	=====	=====

Deferred tax

Deferred income tax including discontinued operations at 31 December relates to the following:

	<i>Consolidated statement of financial position</i>		<i>Consolidated statement of profit or loss</i>	
	<i>2022</i>	<i>2021</i>	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>
<i>Deferred tax assets:</i>				
Temporary difference on property, plant and equipment	625	1,125	437	(586)
Temporary difference arising on asset retirement obligations	3,907	3,081	(993)	188
Tax losses	1,389	144	(482)	184
Others	794	1,248	(71)	302
	-----	-----	-----	-----
	6,715	5,598	(1,109)	88
	=====	=====	=====	=====
<i>Deferred tax liabilities:</i>				
Temporary difference on property, plant and equipment	1,337	1,358	72	(24)
Others	(7)	(54)	(9)	26
	-----	-----	-----	-----
	1,330	1,304	63	2
	=====	=====	=====	=====

Based on the latest available forecast of future profits, the Group has determined AED 2,963 million of tax losses (2021: AED 5,333 million) are unlikely to be utilised in the foreseeable future. Hence, no deferred tax benefit has been recognised, though these losses remain available for offset against future taxable profits. Unutilised tax losses of AED nil (2021: AED 198 million) will expire in the next five year period.

10 BASIC AND DILUTED EARNINGS PER SHARE ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT

Basic earnings per share amounts are calculated by dividing earnings for the year attributable to ordinary equity holders of the parent by the weighted average number of ordinary shares outstanding during the year.

Diluted earnings per share amounts are calculated by dividing the earnings attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding during the year, adjusted for the effects of dilutive instruments.

The following reflects the profit and share data used in the earnings per share computations:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
Profit for the year attributable to equity holders of the parent from continuing and discontinued operations (<i>AED million</i>)	8,030	5,960
	-----	-----
Weighted average number of ordinary shares issued (million)	112,434	112,434
	-----	-----
Basic earnings per share from continuing and discontinued operations (AED)	0.07	0.05
	=====	=====

No figure for diluted earnings per share has been presented as the Group has not issued any instruments which would have an impact on earnings per share when exercised.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

11 OPERATING SEGMENT INFORMATION

Operating segments are components that engage in business activities that may earn revenues or incur expenses, whose operating results are regularly reviewed by the chief operating decision maker (CODM), and for which discrete financial information is available. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Chief Executive Officer (CEO) of TAQA.

For this purpose, the Group is organised into business units based on their geography, products and services, and has three reportable operating segments as follows:

- Power and Water Generation Segment
- Power and Water Transmission & Distribution Segment
- Oil and Gas Segment

Power and Water Generation Segment

This segment is engaged in generation of electricity and production of desalinated water for supply in UAE and generation of electricity in Morocco, India, Ghana, Saudi Arabia and the United States.

Power and Water Transmission & Distribution Segment

This segment is engaged in transmission and distribution of water and electricity from the generation and desalination plants in the UAE.

Oil and Gas Segment

This segment is engaged in Upstream and Midstream oil and gas activities in Canada and Netherlands and Upstream oil and gas activities in United Kingdom and Kurdistan, Iraq.

Several operating segments have been aggregated to form the above reportable operating segments which are provided below:

Power and Water Generation – UAE	}	Generation
Power and Water Generation – Others		
Power and Water Transmission & Distribution – UAE	}	Transmission & Distribution
Oil and Gas – North America		
Oil and Gas – Europe	}	Oil & Gas
Oil and Gas – Iraq		

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on ‘profit or loss for the period’ as detailed in the following table. Interest bearing loans and borrowings and Islamic loans except for the subsidiaries with project financing arrangements are managed on a group basis and are not allocated to operating segments.

The majority of the Group’s revenues, profits, and assets relate to its operations in the United Arab Emirates.

Investment in certain associates with activities other than power and water generation and oil and gas and available for sale investments are managed on a group basis and are therefore not allocated to operating segments.

11 OPERATING SEGMENT INFORMATION continued

The following tables present revenue and profit information for the Group’s operating segments:

	<i>Transmission & Distribution AED million</i>	<i>Generation AED million</i>	<i>Oil & Gas AED million</i>	<i>Adjustments, eliminations & unallocated AED million</i>	<i>Consolidated AED million</i>
Year ended 31 December 2022:					
Revenue from external customers	26,091	13,823	10,053	-	49,967
Operating expenses	(17,013)	(6,756)	(3,623)	23	(27,369)
Depreciation, depletion and amortisation	(3,952)	(4,606)	(1,019)	28	(9,549)
Gross profit	5,126	2,461	5,411	51	13,049
General and administrative expenses	(1,181)	(270)	(213)	(502)	(2,166)
Finance costs	(4)	(1,774)	(467)	(704)	(2,949)
Share of results of associates and joint ventures	-	373	-	(52)	321
Other income (loss)	226	266	(314)	(94)	84
Net foreign exchange (loss) gain	-	(208)	1	34	(173)
Interest income	44	88	93	(53)	172
Income tax expense	-	(365)	(42)	(50)	(457)
Profit for the year from discontinued operations	-	-	242	-	242
Profit (loss) for the year	4,211	571	4,711	(1,370)	8,123
Non-controlling interests	-	(93)	-	-	(93)
Profit (loss) for the year Attributable to equity holders of the parent	4,211	478	4,711	(1,370)	8,030
	<i>Transmission & Distribution AED million</i>	<i>Generation AED million</i>	<i>Oil & Gas AED million</i>	<i>Adjustments, eliminations & unallocated AED million</i>	<i>Consolidated AED million</i>
Year ended 31 December 2021:					
Revenue from external customers	25,928	12,337	7,029	-	45,294
Operating expenses	(16,278)	(4,675)	(2,972)	24	(23,901)
Depreciation, depletion and amortisation	(4,120)	(4,828)	(2,194)	31	(11,111)
Gross profit	5,530	2,834	1,863	55	10,282
General and administrative expenses	(1,288)	(298)	(172)	(496)	(2,254)
Finance costs	(4)	(1,821)	(417)	(828)	(3,070)
Share of results of associates and joint ventures	-	322	-	(9)	313
Other income (loss)	219	86	922	(111)	1,116
Net foreign exchange (loss) gain	-	(114)	(6)	41	(79)
Interest income	3	19	1	100	123
Income tax expense	-	(350)	(224)	(108)	(682)
Profit from the year from discontinued operations	-	-	246	-	246
Profit (loss) for the year	4,460	678	2,213	(1,356)	5,995
Non-controlling interests	-	(35)	-	-	(35)
Profit (loss) for the year Attributable to equity holders of the parent	4,460	643	2,213	(1,356)	5,960

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

11 OPERATING SEGMENT INFORMATION continued

The following table presents segment assets and liabilities of the Group's operating segments:

	<i>Transmission & Distribution AED million</i>	<i>Generation AED million</i>	<i>Oil & Gas AED million</i>	<i>Adjustments, eliminations & unallocated AED million</i>	<i>Consolidated AED million</i>
At 31 December 2022					
Property, plant and equipment	82,147	30,508	4,811	4	117,470
Operating financial assets	-	9,170	-	-	9,170
Investment in associates, joint ventures and related balances	797	5,366	-	352	6,515
Intangible assets	4,755	11,927	26	-	16,708
Deferred tax assets	63	-	6,517	98	6,678
Other assets	4,851	9,959	2,350	7,573	24,733
Assets classified as held for sale	-	-	234	-	234
Segment assets	92,613	66,930	13,938	8,027	181,508
Liabilities directly associated with assets classified as held for sale	-	-	818	-	818
Segment liabilities	17,114	42,647	16,723	27,283	103,767
Other disclosures at 31 December 2022					
Additions-property, plant and equipment	2,607	183	1,132	10	3,932
Additions-intangible assets	-	-	9	10	19
	<i>Transmission & Distribution AED million</i>	<i>Generation AED million</i>	<i>Oil & Gas AED million</i>	<i>Adjustments, eliminations & unallocated AED million</i>	<i>Consolidated AED million</i>
At 31 December 2021					
Property, plant and equipment	83,335	33,691	5,468	(97)	122,397
Operating financial assets	-	10,322	-	-	10,322
Investment in associates, joint ventures and related balances	-	1,279	-	404	1,683
Intangible assets	4,755	13,186	33	-	17,974
Deferred tax assets	-	63	5,535	-	5,598
Other assets	4,667	9,160	2,471	5,925	22,223
Segment assets	92,757	67,701	13,507	6,232	180,197
Segment liabilities	14,538	43,863	16,981	31,613	106,995
Other disclosures at 31 December 2021					
Additions-property, plant and equipment	3,489	229	1,223	8	4,949
Additions-intangible assets	-	-	2	-	2

11 OPERATING SEGMENT INFORMATION continued

Geographical information

The following tables present revenue, certain asset information relating to the Group based on geographical location of the subsidiaries at 31 December:

	<i>UAE AED million</i>	<i>North America AED million</i>	<i>Europe AED million</i>	<i>Africa AED million</i>	<i>Others AED million</i>	<i>Total AED million</i>
2022						
Revenue	33,852	3,897	6,109	5,003	1,106	49,967
Non-current assets	130,267	3,222	1,313	7,694	488	142,984
2021						
Revenue	34,190	2,892	3,983	3,252	977	45,294
Non-current assets	135,462	3,750	1,849	8,812	469	150,342

Non-current assets for this purpose consist of property, plant and equipment, operating financial assets, intangible assets and other assets.

Other information

The Group has one major customer that contributed more than 10% towards the Group's revenue during the year ended 31 December, as presented in the following table:

	<i>Transmission & Distribution AED million</i>	<i>Generation AED million</i>	<i>Oil & Gas AED million</i>	<i>Adjustments, eliminations & unallocated AED million</i>	<i>Consolidated AED million</i>
2022					
Customer 1	976	7,755	-	-	8,731
	<u>976</u>	<u>7,755</u>	<u>-</u>	<u>-</u>	<u>8,731</u>
2021					
Customer 1	1,046	8,257	-	-	9,303
	<u>1,046</u>	<u>8,257</u>	<u>-</u>	<u>-</u>	<u>9,303</u>

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)**31 December 2022****12 PROPERTY, PLANT AND EQUIPMENT**

	<i>Buildings, equipment and plant and machinery AED million</i>	<i>Oil and gas assets AED million</i>	<i>Capital spares AED million</i>	<i>Capital work in progress AED million</i>	<i>Right of use assets AED million</i>	<i>Total AED million</i>
2022						
Cost:						
At 1 January 2022	184,628	18,776	238	9,670	708	214,020
Additions	1,620	1,013	4	1,138	157	3,932
Revision of ARO	48	(626)	-	-	-	(578)
Disposals of assets	(627)	-	-	-	(1)	(628)
Transfers	1,454	8	2	(1,007)	-	457
Exchange adjustment	(421)	(243)	-	(9)	(4)	(677)
At 31 December 2022	186,702	18,928	244	9,792	860	216,526
Depreciation and depletion:						
At 1 January 2022	76,474	14,708	125	-	316	91,623
Charge for the year (note 5)	7,356	920	22	-	146	8,444
Disposals of assets	(223)	-	-	-	(1)	(224)
Exchange adjustment	(571)	(146)	-	-	(1)	(718)
At 31 December 2022	83,036	15,482	147	-	460	99,125
PPE classified as held for sale (note 34)	-	69	-	-	-	69
Net carrying amount:						
At 31 December 2022	103,666	3,515	97	9,792	400	117,470
2021						
Cost:						
At 1 January 2021	178,487	18,677	258	12,575	519	210,516
Additions	1,659	988	6	2,083	213	4,949
Revision of ARO	333	1,620	-	-	-	1,953
Disposals of assets	(153)	(2,294)	-	-	(22)	(2,469)
Transfers	4,985	6	5	(4,992)	-	4
Exchange adjustment	(683)	(221)	(31)	4	(2)	(933)
At 31 December 2021	184,628	18,776	238	9,670	708	214,020
Depreciation and depletion:						
At 1 January 2021	69,669	14,608	107	-	183	84,567
Charge for the year (note 5)	7,218	2,385	18	-	152	9,773
Disposals of assets	(107)	(2,102)	-	-	(18)	(2,227)
Exchange adjustment	(306)	(183)	-	-	(1)	(490)
At 31 December 2021	76,474	14,708	125	-	316	91,623
Net carrying amount:						
At 31 December 2021	108,154	4,068	113	9,670	392	122,397

12 PROPERTY, PLANT AND EQUIPMENT continued

Property, plant and equipment with a carrying amount of AED 30,433 million (2021: AED 33,491 million) are pledged as security for the related loans.

Oil and gas assets - impairment approach and key assumptions

The calculation of recoverable amount for oil and gas assets is based upon the following key assumptions:

- Reserve and resource volumes;
- Inflation rates;
- Cash flows relating to gas storage;
- Discount rates;
- Foreign exchange rates; and
- Commodity prices.

It is management's view that the impairment calculations are not materially sensitive to reasonable possible changes in the assumptions. In the impairment calculations, assumptions are also made regarding the cash flows from each asset's ultimate disposal.

Reserve and resource volumes

Reserve and resource volumes form the basis of the production profiles within the discounted cash flow models. The Group's annual oil and gas reserves (proved, probable and possible) and resources review process includes an external audit process conducted by appropriately qualified parties. Where significant, the contingent resources within a segment are also reviewed and reported on. The data generated for each field and location takes into consideration the development plans approved by senior management and reasonable assumptions that an external party would apply in appraising the assets.

Inflation rates

Estimates are obtained from published indices for the countries from which products and services are originated, as well as data relating to specific commodities. Forecast figures are used if data is publicly available. The Company assumed inflation rates ranging from 2% to 5% in perpetuity (2021: 2% to 5%).

Cash flows relating to gas storage

Cash flows relating to gas storage are based on assumptions on delivery capacity, injection capacity, working volumes and expected availability. The assumptions are supported by non-binding expressions of interests on demand for working volumes.

Discount rates

Discount rates used reflect the estimated weighted average cost of capital rates for potential acquirer group companies developed for each of the locations. The assets are valued on a FVLCD methodology and therefore post-tax discount rates ranging from 4.3% to 20.0% (2021: 4.3% to 17.0%), were used to calculate the recoverable amounts at the reporting date.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

12PROPERTY, PLANT AND EQUIPMENT continued

Oil and gas assets - impairment approach and key assumptions continued

Foreign exchange rates and commodity prices

A summary of the 2022 key assumptions are provided below:

	2023	2024	2025	2026	2027
Commodity prices					
WTI (US\$/bbl) ⁽¹⁾	76	71	66	70	67
AECO (US\$/mmbtu) ⁽¹⁾	4.00	3.70	3.45	3.10	3.00
Brent (US\$/bbl) ⁽¹⁾	80	75	70	70	70
Summer/Winter gas spread (Euro/MWh)	0.32	0.68	1.68	1.70	1.78
Foreign exchange rates					
US\$/CAD\$	0.78	0.78	0.78	0.78	0.78
US\$/Euro	1.09	1.12	1.18	1.20	1.20
US\$/GBP	1.23	1.32	1.35	1.43	1.43

⁽¹⁾ Prices are escalated at 2% thereafter.

Power and water assets - impairment approach and key assumptions

The recoverable amount for power and water assets is based on FVLCD. In determining FVLCD, a discounted cash flow valuation model was used, incorporating market based assumptions. The key assumptions for FVLCD calculations are outlined below together with the approach management has taken in determining the value to ascribe to each. Management believes it is appropriate to use cash flow forecasts over such periods due to the long term power and water purchase agreements associated with the facilities.

The calculation of FVLCD for power and water generation assets is most sensitive to the following assumptions:

- Future cash flows throughout the term of the current PWPAs;
- Inflation rates; and
- Discount rates.

Future cash flows throughout the term of the current PWPAs

The Group’s expected future cash flows have been estimated based on work performed by an internal expert. In doing so, management has considered key trends in the relevant power and water sectors and the recovery of the residual values.

Inflation rates

Estimates are obtained from published indices for the countries from which products and services are originated. Forecast figures are used if data is publicly available. The Group assumed inflation rates ranging from 2% to 5% in perpetuity (2021: 1% to 5%).

Discount rates

Discount rates used represent the current market assessment of the risks specific to the assets, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The assets are valued using a FVLCD methodology, future cash flows are discounted using post-tax rates ranging from 3.9% to 10.0% (2021: 3.9% to 8.3%).

13OPERATING FINANCIAL ASSETS

The movement in operating financial assets is as follows:

	31 December 2022 AED million	2021 AED million
At 1 January	10,322	10,937
Recognised during the year (note 3.1)	1,401	1,576
Consideration received during the year	(1,963)	(1,986)
Movement in ECL provision	(217)	-
Exchange losses recognised in the consolidated income statement	(373)	(205)
	=====	=====
	9,170	10,322

Analysed in the consolidated statement of financial position as follows:

	31 December 2022 AED million	2021 AED million
Non-current portion	7,917	9,047
Current portion	1,253	1,275
	=====	=====
	9,170	10,322

TAQA manages three concession contracts as defined by IFRIC 12, mainly covering electricity generation. The foreign subsidiaries, namely TAQA Morocco (formerly Jorf Lasfar Energy Company SCA (JLEC)), TAQA Neyveli Power Company Pvt Ltd (Neyveli) and Takoradi International Company (Takoradi), have entered into power purchase agreements (PPA) with offtakers in the countries where they are operating. Under the PPA the foreign subsidiaries undertake to make available, and the offtakers undertake to purchase, the available net capacity of the plant for a period of time in accordance with various agreed terms and conditions as specified in the PPA as follows:

TAQA Morocco:

The subsidiary had the right of possession for the site and the plant units (units 1 to 4) for a period of 30 years ending in September 2027. On 24 January, 2021 TAQA Morocco with Office National de l'Electricité ("ONE") signed an extension to the PPA for a further 17 years from 2027 to 2044. At the end of the PPA, the ownership of the site and the plants will be transferred to the offtaker. During 2009, ONE and TAQA Morocco signed a strategic partnership agreement to extend the capacity of the plant by constructing two new units (units 5&6) with an approximate gross capacity of 350 MW each. In June 2014, the two new units were completed and a 30 year PPA ending 2044 was entered into.

Neyveli:

The subsidiary has a 30 year PPA with the offtaker ending in December 2032. On the expiry date of the PPA, the offtaker has the option to acquire the plant at a price equal to 50% of the terminal value as defined in the PPA.

Takoradi:

The subsidiary had originally signed a 25 year PPA with the offtaker ending in March 2024. On expiry date of the PPA, the plant is to be transferred to the offtaker at a nominal amount. The expansion project has increased the existing 220 MW capacity to 330 MW. As a result of the expansion, the PPA term has been extended to 2039.

Operating financial assets with a carrying amount of AED 8,908 million (2021: AED 10,049 million) are pledged as security for the related borrowings in the subsidiaries.

An expected credit loss (ECL) provision of AED 428 million (2021: AED 211 million) is recognised against the operating financial assets. A provision of AED 230 million was taken in 2022 at Takoradi due to a higher risk of recoverability from the offtaker. The offtaker is related to the government of Ghana and in December 2022 the government defaulted on some of its international obligations resulting in a downgrade of its credit rating.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

14 INTANGIBLE ASSETS

	<i>Exploration and evaluation assets AED million</i>	<i>Distribution licences AED million</i>	<i>Power (and water) purchase agreements AED million</i>	<i>Connection rights AED million</i>	<i>Tolling agreement and other AED million</i>	<i>Total AED million</i>
2022						
Cost:						
At 1 January 2022	4	4,755	14,170	843	976	20,748
Additions	3	-	-	-	16	19
Derecognised during the year	(1)	-	-	(167)	(11)	(179)
Exchange adjustment	(2)	-	-	-	-	(2)
	-----	-----	-----	-----	-----	-----
At 31 December 2022	4	4,755	14,170	676	981	20,586
	=====	=====	=====	=====	=====	=====
Amortisation:						
At 1 January 2022	-	-	1,532	407	801	2,740
Amortisation for the year (note 5)	-	-	1,029	103	46	1,178
Intercompany eliminations	-	-	-	(43)	-	(43)
Exchange adjustment	-	-	-	-	-	-
	-----	-----	-----	-----	-----	-----
At 31 December 2022	-	-	2,561	467	847	3,875
	=====	=====	=====	=====	=====	=====
Fair value adjustment on effective fair value hedges (note 31.2 (iv))	-	-	-	-	(3)	(3)
Net carrying amount:						
At 31 December 2022	4	4,755	11,609	209	131	16,708
	=====	=====	=====	=====	=====	=====
	<i>Exploration and evaluation assets AED million</i>	<i>Distribution licences AED million</i>	<i>Power (and water) purchase agreements AED million</i>	<i>Connection rights AED million</i>	<i>Tolling agreement and other AED million</i>	<i>Total AED million</i>
2021						
Cost:						
At 1 January 2021	4	4,755	14,170	843	982	20,754
Additions	1	-	-	-	1	2
Other	(12)	-	-	-	(7)	(19)
Exchange adjustment	11	-	-	-	-	11
	-----	-----	-----	-----	-----	-----
At 31 December 2021	4	4,755	14,170	843	976	20,748
	=====	=====	=====	=====	=====	=====
Amortisation:						
At 1 January 2021	-	-	511	148	735	1,394
Amortisation for the year (note 5)	-	-	1,021	313	66	1,400
Intercompany eliminations	-	-	-	(54)	-	(54)
Exchange adjustment	-	-	-	-	-	-
	-----	-----	-----	-----	-----	-----
At 31 December 2021	-	-	1,532	407	801	2,740
	=====	=====	=====	=====	=====	=====
Fair value adjustment on effective fair value hedges (note 31.2 (iv))	-	-	-	-	(34)	(34)
Net carrying amount:						
At 31 December 2021	4	4,755	12,638	436	141	17,974
	=====	=====	=====	=====	=====	=====

14 INTANGIBLE ASSETS continued

Distribution licenses

The Distribution companies (DisCos) in the UAE have licence agreements with the DoE. These licenses commenced in 1999 and gave the DisCos the exclusive right to distribute power and water throughout the Emirate of Abu Dhabi. These licenses can only be revoked after a 25 year notice period. As a result, the licenses are considered as an indefinite lived intangible asset and is subject to an annual impairment test. The key assumption for the impairment calculations are detailed below and are not materially sensitive.

- Contributory Asset Charges*

The cash flow derived based on the after-tax earnings before interest and tax (EBIT) represents a return on all the tangible and intangible assets required to support the distribution companies. As such, in order to calculate the net residual income stream derived from the license intangible, post-tax contributory asset charges were taken for fixed assets, net working capital and assembled workforce applied to generate future income streams. These estimates used were based on current market assessments of expected returns on net working capital and fixed assets of 3.0% and 5.0% respectively (2021: 3.0% and 5.0% respectively). The return on assembled workforce were considered to be consistent with that of the overall businesses at 5.7% (2021: 5.7%).

- Inflation rates*

Estimates are obtained from published indices for the countries from which products and services are originated. Forecast figures are used if data is publicly available. The Company assumed long term growth rate of 2.0% (2021: 2.0%).

- Discount rates*

Discount rates used represent the current market assessment of the risks specific to the assets, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The post-tax rate used was 6.07% (2021: 6.2%).

Power (and water) purchase agreements (P(W)PAs)

All the I(W)PP assets in the UAE has separate P(W)PAs in place with EWEC with an average term of 25 years. Under the respective P(W)PA, each asset is entitled to sell electricity and water (as applicable) generated by the facility to EWEC at the agreed contractual prices and EWEC is obliged to make capacity payments for both electricity and water as defined in the respective contracts. The key assumptions for the power and water asset VIU calculations are outlined in note 12 together with the approach management has taken in determining the value to ascribe to each.

Connection rights

The intangible assets arose from the transfer, made by a number of the Group's subsidiaries, of certain assets to a related party in accordance with the terms of individual agreements and represent the acquisition cost of the right of connection to the transmission systems at the connection sites for a period of 1 to 8 years. The connection rights cost are being amortised on a straight line basis over the same period, being the expected period of benefit.

Tolling agreement

The Group has a fuel conversion services, capacity and ancillary services purchase agreement ("Tolling Agreement") relating to the acquisition of BE Red Oak Holding LLC. Under the terms of the Tolling Agreement, the Group is entitled to the economic rights (revenue from sale of electricity, capacity payments and any other ancillary services) of a power plant located in New Jersey, USA and the Group is obligated to supply the fuel and also make certain fixed and variable payments to the operator. The tolling agreement cost is being amortised on a straight line basis over the term of the agreement. The Tolling Agreement expired on 31 August 2022.

The fair value of the contract is based on estimated forward commodity prices, estimated correlation of commodity prices, volatility factors, and other typical option valuation parameters over the term of the tolling contract.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

15 INVESTMENT IN AND LOANS TO ASSOCIATES AND JOINT VENTURES

The Group has the following investments:

	<i>Country of incorporation Ownership and operation</i>	2022	2021
<i>Associates</i>			
Massar Solutions PJSC (note i)	UAE	49.0%	49.0%
Jubail Energy Company (note ii)	Saudi Arabia	25.0%	25.0%
Sohar Aluminium Company LLC (note iii)	Oman	40.0%	40.0%
Abu Dhabi Offshore Power Infra Limited LLC (iv)	UAE	30.0%	-
<i>Joint Venture</i>			
LWP Lessee LLC (note v)	USA	50.0%	50.0%
Taweelah RO Holding Company LLC (note vi)	UAE	33.0%	33.0%
Fujairah Energy Holding Company LLC (note vii)	UAE	67.0%	67.0%
Dhafrah Solar Energy Holding Company LLC (note viii)	UAE	67.0%	67.0%
Tanajib Cogeneration Holding Company Limited (note ix)	UAE	49.0%	49.0%
Abu Dhabi Future Energy Company PJSC (note x)	UAE	43.0%	-

- (i) Massar Solution PJSC (formerly Al Wathba Company for Central Services PJSC) is mainly involved in the leasing and management of vehicles and equipment.
- (ii) Jubail Energy Company (“Jubail”) is involved in the generation of electricity.
- (iii) Sohar Aluminium Company LLC (“Sohar”) is involved in the construction, ownership and operation of an aluminium smelter and an associated combined cycle power plant.
- (iv) Abu Dhabi Offshore Power Infra Limited LLC is involved with the transmission of electricity.
- (v) LWP Lessee LLC (“Lakefield”) is involved in wind power.
- (vi) Taweelah RO Holding Company LLC is involved in the production of desalinated water.
- (vii) Fujairah Energy Holding Company LLC is involved in the generation of electricity. Despite 67% ownership, TAQA recognises it’s investment in this entity as a joint venture. Through the entity’s Articles of Association and Board structure, all shareholders have equal and joint ability to direct the relevant activities of this entity.
- (viii) Dhafrah Solar Energy Holding Company LLC is involved in solar power generation. Despite 67% ownership, TAQA recognises it’s investment in this entity as a joint venture. Through the entity’s Articles of Association and Board structure, all shareholders have equal and joint ability to direct the relevant activities of this entity.
- (ix) Tanajib Cogeneration Holding Company Limited is involved in the generation of electricity and water desalination.
- (x) Abu Dhabi Future Energy Company PJSC (Masdar) is involved in advancing the development and deployment of renewable energy to address global sustainability challenges.

15 INVESTMENT IN AND LOANS TO ASSOCIATES AND JOINT VENTURES continued

Summary information for associates and joint ventures:

	<i>Massar Solutions (i) AED million</i>	<i>Jubail Energy (ii) AED million</i>	<i>Sohar Aluminium (iii) AED million</i>	<i>LWP Lessee (v) AED million</i>	<i>Taweelah RO (vi) AED million</i>	<i>Fujairah Energy (vii) AED million</i>	<i>Dhafrah Solar (viii) AED million</i>
Year ended 31 December 2022:							
Revenue	366	45	4,148	191	51	-	2
Profit for the year	11	9	896	56	93	-	5
As at 31 December 2022:							
Non-current assets	610	128	3,981	7	3,150	3,930	3,367
Current assets	431	111	1,504	104	376	70	457
Non-current liabilities	(122)	(65)	(2,549)	(62)	(2,736)	(2,941)	(3,329)
Current liabilities	(201)	(37)	(651)	(6)	(166)	(71)	(491)
Net assets of Associate/JV	718	137	2,285	43	624	988	4
TAQA share of net assets	352	34	914	22	125	395	2
Equity accounting adjustments	-	14	(156)	122	1	(15)	18
Classified as loans/advances	-	-	-	-	(70)	(274)	-
TAQA carrying amount of investment	352	48	758	144	56	106	20

	<i>Massar Solutions (i) AED million</i>	<i>Jubail Energy (ii) AED million</i>	<i>Sohar Aluminium (iii) AED million</i>	<i>LWP Lessee (v) AED million</i>	<i>Taweelah RO (vi) AED million</i>	<i>Fujairah Energy (vii) AED million</i>	<i>Dhafrah Solar (viii) AED million</i>
Year ended 31 December 2021:							
Revenue	352	41	3,306	140	26	3	-
Profit for the year	5	19	776	13	23	-	-
As at 31 December 2021:							
Non-current assets	531	197	4,178	7	2,503	2,957	795
Current assets	446	93	1,558	101	56	71	724
Non-current liabilities	(66)	(126)	(2,653)	(65)	(2,239)	(2,786)	(1,266)
Current liabilities	(203)	(8)	(850)	(10)	(16)	(173)	(234)
Net assets of Associate/JV	708	156	2,233	33	304	69	19
TAQA share of net assets	346	39	893	16	100	46	13
Equity accounting adjustments	58	9	(155)	128	-	-	(13)
Classified as loans/advances	-	-	-	-	(100)	(46)	-
TAQA carrying amount of investment	404	48	738	144	-	-	-

Tanajib Cogeneration Holding Company Limited (ix) financial information is immaterial at 31 December 2022 and 31 December 2021 thus not disclosed above.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

15 INVESTMENT IN AND LOANS TO ASSOCIATES AND JOINT VENTURES continued

The Group's associates and joint venture are accounted for using the equity method and the reporting dates of the associates are identical to TAQA. The following table analyses the carrying amount and share of profit and other comprehensive income of TAQA's associates and joint ventures.

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Carrying amount of investments	5,369	1,334
Group's share of the associates' and joint ventures:		
Profit for the year	321	313
Other comprehensive income	328	-
Total comprehensive income	649	313

Included in the profit for the year ended 31 December 2022 is an impairment of AED 57 million on the Massar Solutions PJSC associate taken on equity accounting adjustments.

In order for the associates and joint ventures to reduce its exposure to interest rates fluctuations on loans from banks, a number of the entities have entered into an interest rate arrangements with counter-party banks for a notional amount that mirrors the draw down and repayment schedule of the loans.

The Group has the following loans to associates and joint ventures:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Advance non – current	1,146	349
	1,146	349

The balances above mainly arise from the loans and advances made to Abu Dhabi Offshore Power Infra Limited LLC, Taweelah RO Holding Company LLC and Fujairah Energy Holding Company LLC. On 29 September 2022, TAQA provided a shareholder loan of AED 797 million to Abu Dhabi Offshore Power Infra Limited LLC. The loan has no set repayment date and includes interest of 5.11% per annum. The proceeds of the loan will be used to comply with equity obligation to Abu Dhabi Offshore Power Transmission Company Limited LLC and used to further the development and operations of a subsea transmission system which will power ADNOC's offshore production operations.

An ECL provision of nil (2021: nil) is recognised against the loans.

15 INVESTMENT IN AND LOANS TO ASSOCIATES AND JOINT VENTURES continued

On 21 June 2022, TAQA, Abu Dhabi National Oil Company (ADNOC) and Mubadala Investment Company (Mubadala) entered into binding agreements for TAQA and ADNOC to purchase stakes in Abu Dhabi Future Energy Company (Masdar) from Mubadala. The partnership creates a global clean energy powerhouse that consolidates the renewable energy efforts of TAQA, Mubadala and ADNOC under the Masdar brand. TAQA acquired a 43% stake in Masdar's renewables business with Mubadala and ADNOC owning a 33% and 24% interest respectively. The transaction closed on 1 December 2022 and has been accounted for as a joint venture as all shareholders have joint control over the decision making of the company. The fair value of TAQA's share of identifiable assets and liabilities of Masdar at the acquisition date based on the provisional purchase price allocation was the following:

	<i>PROVISIONAL</i>
	<i>1 December</i>
	<i>2022</i>
	<i>AED million</i>
<i>Assets</i>	
Current assets	1,806
Non-current assets	3,749
<i>Liabilities</i>	
Current liabilities	519
Non-current liabilities	1,289
Net assets	3,747
Cost of investment	3,747

16 OTHER ASSETS

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Deposit receivable	67	74
Advances to contractors	498	308
Asset retirement obligation relief deed receivable	119	486
Non-current financial assets*	138	-
Others	67	56
	889	924

*On 1 January 2022, the Load and Dispatch Centre (LDC) was transferred from Transco to EWEC to manage as part of the Abu Dhabi energy network. Whilst the control of the assets has passed, Transco retains the rights to receive future returns for the initial construction and development of these assets as part of its regulated assets base.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

17 INVENTORIES

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Fuel and crude oil	1,808	1,750
Spare parts and consumables	2,717	2,989
	-----	-----
	4,525	4,739
Provision for slow moving and obsolete items	(1,099)	(1,221)
	-----	-----
	3,426	3,518
Inventories classified as held for sale (note 34)	(24)	-
	-----	-----
	3,402	3,518
	=====	=====

The cost of inventories recognised as an expense in the consolidated statement of profit or loss is AED 1,941 million (2021: AED 889 million).

Inventories with a carrying amount of AED 2,734 million (2021: AED 2,629 million) are pledged as security for loans of the UAE domestic subsidiaries and certain foreign subsidiaries in the power business. Movements in the provision for slow moving and obsolete items are as follows:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
At 1 January	1,221	972
Provision for the year	(122)	249
	-----	-----
At 31 December	1,099	1,221
	=====	=====

18 ACCOUNTS RECEIVABLE, PREPAYMENTS AND OTHER RECEIVABLES

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Net trade receivables (note (i))	4,104	4,504
Accrued revenue	2,036	1,064
Crude stock underlift	432	337
Deposits	74	76
Advances to suppliers	106	52
Prepaid expenses	510	407
Other receivables	175	94
	-----	-----
	7,437	6,534
Accounts receivable and prepayments classified as held for sale (note 34)	(104)	-
	-----	-----
	7,333	6,534
	=====	=====

18 ACCOUNTS RECEIVABLE, PREPAYMENTS AND OTHER RECEIVABLES continued

(i) Trade receivables

As at 31 December 2022, trade receivables at nominal value of AED 766 million (2021: AED 766 million) were impaired and provided for under the ECL mechanism. Trade receivables are non-interest bearing and are recoverable within 30 - 90 working days. Movements in the provision for impairment of receivables are as follows:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
At 1 January	766	1,005
Reversals for the year	(122)	(239)
	-----	-----
At 31 December	644	766
	=====	=====

As at 31 December, the ageing analysis of trade receivables is as follows:

	<i>Past due</i>					
	<i>Total</i>	<i>Not past due</i>	<i>30 – 60 days</i>	<i>60 – 90 days</i>	<i>90 – 120 days</i>	<i>> 120 days</i>
	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>
2022						
Net trade receivables	4,104	1,252	1,288	246	384	934
Expected credit loss provision	644	200	82	53	131	178
2021						
Net trade receivables	4,504	1,769	760	573	500	902
Expected credit loss provision	766	333	27	31	27	348

Subsequent to the balance sheet date, the Group collected AED 13 million (2021: AED 7 million) of balances past due for more than 120 days. Trade receivables net of provisions are expected, on the basis of past experience, to be fully recoverable.

19 CASH AND CASH EQUIVALENTS

Cash and cash equivalents included in the consolidated statement of cash flows comprise the following amounts:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Cash at banks and on hand	5,810	5,063
Short term deposits	4,612	3,709
	-----	-----
Total cash and short term deposits	10,422	8,772
Restricted cash	(262)	(319)
Bank overdrafts	(37)	(31)
	-----	-----
Net cash and cash equivalents	10,123	8,422
	=====	=====

Short term deposits are made for varying periods of between one day and three months, depending on the immediate cash requirements of the Group, and earn interest at the respective short-term deposit rates. Bank overdrafts carry interest at floating rates and are secured by guarantees from certain shareholders of the subsidiaries.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)**31 December 2022****19 CASH AND CASH EQUIVALENTS** continued

At 31 December 2022, the Group had available AED 13,582 million (2021: AED 13,486 million) of undrawn committed borrowing facilities in respect of which all conditions precedent have been met.

Balances with banks are assessed to have low credit risk of default since these banks are highly regulated by Central Bank of the respective countries. Accordingly, management of the Group estimates the loss allowance on balances with banks at the end of the reporting period at an amount equal to 12 month ECL. None of the balances with banks at the end of the reporting period are past due, and taking into account the historical default experience and the current credit ratings of the banks, the management of the Company have booked an ECL provision of AED 2 million (2021: AED 2 million) is recognised against cash and cash equivalents.

20 SHARE CAPITAL

	31 December	
	2022	2021
	AED million	AED million
Share capital	112,434	112,434

21 OTHER EQUITY

	31 December	
	2022	2021
	AED million	AED million
Statutory reserve (i)	1,780	977
Merger reserve (ii)	(56,443)	(56,443)

(i) *Statutory reserve*

As required by the UAE Federal Law No. 2 of 2015 and Article 34 of the Articles of Association of TAQA, 10% of the profit for the year is transferred to a statutory reserve. The Company may resolve to discontinue such transfers when the reserve equals 50% of the share capital. The reserve is not available for distribution.

(ii) *Merger reserve*

On 1 July 2020, the Company completed a transaction whereby ADPC contributed the majority of its power and water generation, transmission and distribution assets to TAQA. In this transaction, Abu Dhabi Transmission & Despatch Company PJSC (TransCo) was determined to be the accounting acquirer (or legal acquiree) given its relative size within the combining entities and TAQA was determined to be the legal acquirer (or the accounting acquiree) which resulted in a reverse acquisition. In accordance with IFRS 3 and per the principles of reverse acquisition, the equity structure appearing in these consolidated financial statements reflects the capital structure (number of shares) of the legal acquirer (TAQA), including the shares issued by TAQA to ADPC to effect the business combination. This resulted in the creation of a 'Merger reserve' as at 1 July 2020, being the difference between the capital structure of the legal acquirer (TAQA) and the capital structure of the accounting acquirer (TransCo).

22 NON-CONTROLLING INTERESTS

Financial information of subsidiaries that have material non-controlling interests are provided below:

	<i>Country of incorporation and operation</i>	<i>Proportion of equity interests held by non-controlling interests</i>	
		2022	2021
Gulf Total Tractebel Power Company PJSC	UAE	40.0%	40.0%
Arabian Power Company PJSC	UAE	40.0%	40.0%
Shuweihat CMS International Power Company PJSC	UAE	40.0%	40.0%
Taweelah Asia Power Company PJSC	UAE	40.0%	40.0%
Emirates SembCorp Water and Power Company PJSC	UAE	40.0%	40.0%
Fujairah Asia Power Company PJSC	UAE	40.0%	40.0%
Ruwais Power Company PJSC	UAE	40.0%	40.0%
Emirates CMS Power Company PJSC	UAE	40.0%	40.0%
Sweihan PV Power Company PJSC	UAE	40.0%	40.0%
Shuweihat Asia Power Company PJSC	UAE	40.0%	40.0%
Mirfa International Power and Water Company PJSC	UAE	40.0%	40.0%

All of the Group's subsidiaries that have material non-controlling interest are similar in nature. These all relate to the Group's UAE power and water subsidiaries, in which the Group have an effective 60% share. 40% is owned by various international utility companies. Therefore, the following disclosures have been provided on an aggregated basis.

	31 December	
	2022	2021
	AED million	AED million
Revenue	7,705	8,220
Profit (loss)	238	(5)
Other comprehensive income	2,800	1,684
	-----	-----
Total comprehensive income	3,038	1,679
	=====	=====
Profit (loss) allocated to non-controlling interests	95	(2)
Other comprehensive income allocated to non-controlling interests	1,120	674
	-----	-----
Cash flows from operating activities	5,852	6,703
Cash flows from (used in) investing activities	45	(228)
Cash flows used in financing activities	(5,937)	(6,190)
	-----	-----
Net (decrease) increase in cash and cash equivalents	(40)	285
	=====	=====
Dividends paid to non-controlling interests	(875)	(629)
	=====	=====
Non-current assets	44,011	48,092
Current assets	5,611	5,654
Non-current liabilities	24,213	32,623
Current liabilities	8,625	4,632
	-----	-----
Total equity	16,784	16,491
	=====	=====
Equity attributable to parent	10,225	10,225
Equity attributable to non-controlling interests	6,559	6,266

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

23 LOANS FROM NON-CONTROLLING INTEREST SHAREHOLDERS IN SUBSIDIARIES

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
S2 Offshore Holding Company	16	40
Fujairah F2 CV	-	-
Shuweihat Asia Power Investment B.V.	36	51
M Power Holding Company	69	127
Sweihaan Solar Holding Company	44	137
	<u>165</u>	<u>355</u>

The above loans are interest free, with no repayment terms and are unsecured and are subject to terms of repayment as resolved by the Board of Directors of the subsidiaries. Accordingly they have been treated as equity within NCI.

24 INTEREST BEARING LOANS AND BORROWINGS

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Abu Dhabi National Energy Company Global Medium Term notes (note i)	25,885	26,293
Revolving credit facilities (note ii)	-	-
Abu Dhabi National Energy Company bonds (note iii)	4,290	4,372
Other subsidiaries' bonds (note iv)	8,547	6,242
Term loans (note v)	22,891	27,305
	<u>61,613</u>	<u>64,212</u>

Analysed in the consolidated statement of financial position as follows:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Non-current portion	50,484	61,369
Current portion	11,129	2,843
	<u>61,613</u>	<u>64,212</u>

The Group's interest bearing loans and borrowings (before purchase price allocation fair value adjustments and deducting prepaid finance costs) are repayable as follows:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Within 1 year	11,968	2,744
Between 1 – 2 years	5,070	7,577
Between 2 – 3 years	4,905	6,350
Between 3 – 4 years	5,558	5,348
Between 4 – 5 years	1,745	6,013
After 5 years	32,025	36,040
	<u>61,271</u>	<u>64,072</u>

24 INTEREST BEARING LOANS AND BORROWINGS continued

Changes in liabilities arising from financing activities

	<i>1 January 2022 AED million</i>	<i>Cash flows (note i) AED million</i>	<i>Other (note ii) AED million</i>	<i>31 December 2022 AED million</i>
2022				
<i>Current:</i>				
Interest bearing loans and borrowings	2,843	(2,322)	10,608	11,129
Islamic loans	661	(655)	86	92
Lease liabilities	138	(98)	85	125
	<u>3,642</u>	<u>(3,075)</u>	<u>10,779</u>	<u>11,346</u>
<i>Non-current:</i>				
Interest bearing loans and borrowings	61,369	680	(11,565)	50,484
Islamic loans	92	-	(92)	-
Lease liabilities	388	-	55	443
	<u>61,849</u>	<u>680</u>	<u>(11,602)</u>	<u>50,927</u>
	<u>65,491</u>	<u>(2,395)</u>	<u>(823)</u>	<u>62,273</u>

	<i>1 January 2021 AED million</i>	<i>Cash flows (note i) AED million</i>	<i>Other (note ii) AED million</i>	<i>31 December 2021 AED million</i>
2021				
<i>Current:</i>				
Interest bearing loans and borrowings	8,856	(9,536)	3,523	2,843
Islamic loans	173	(173)	661	661
Lease liabilities	217	(139)	60	138
	<u>9,246</u>	<u>(9,848)</u>	<u>4,244</u>	<u>3,642</u>
<i>Non-current:</i>				
Interest bearing loans and borrowings	66,198	(547)	(4,282)	61,369
Islamic loans	780	-	(688)	92
Lease liabilities	361	-	27	388
	<u>67,339</u>	<u>(547)</u>	<u>(4,943)</u>	<u>61,849</u>
	<u>76,585</u>	<u>(10,395)</u>	<u>(699)</u>	<u>65,491</u>

- (i) The cash flows relates to the net movements in interest bearing loans and borrowings and Islamic loans as detailed in the cash flow statement.
- (ii) This includes reclassifications between non-current and current, prepaid finance cost accruals and payments, foreign exchange differences and fair value adjustments.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

24 INTEREST BEARING LOANS AND BORROWINGS continued

(i) Abu Dhabi National Energy Company Global Medium Term Notes

Abu Dhabi National Energy Company global medium term notes are recorded at amortised cost using effective interest rates and are direct, unconditional, and unsecured obligations of TAQA. The following table summarises the terms of the notes payable net of discount/premium and transaction costs:

	Issue rate %	Effective interest rate %	Repayment date	2022 AED million	2021 AED million
Current liabilities					
US \$1,000,000,000	99.40%	3.75%	January 2023	3,631	-
				-----	-----
				3,631	-
Non-current liabilities					
US \$1,000,000,000	99.40%	3.75%	January 2023	-	3,780
Euro 180,000,000	97.62%	3.10%	May 2024	735	799
US \$750,000,000	99.37%	4.02%	May 2024	2,838	2,897
US \$750,000,000	99.95%	4.38%	April 2025	2,910	2,977
US \$500,000,000	99.00%	4.60%	June 2026	1,950	1,984
US \$500,000,000	104.60%	3.84%	June 2026	2,046	2,053
US \$750,000,000	99.80%	2.03%	April 2028	2,741	2,739
US \$1,000,000,000	99.96%	4.88%	April 2030	4,255	4,277
US \$500,000,000	100.00%	4.00%	October 2049	2,036	2,044
US \$750,000,000	100.00%	3.40%	April 2051	2,743	2,743
				-----	-----
				22,254	26,293
				=====	=====
				25,885	26,293
				=====	=====

The term notes liability is stated net of transaction costs amounting to AED 37 million (2021: AED 56 million), which are amortised over the repayment period using the effective interest rate method.

(ii) Revolving credit facilities

The following table summarises drawn revolving credit facilities net of transaction costs:

	2022 AED million	2021 AED million
Non-current liabilities		
US \$3.5 billion facility	-	-
	=====	=====

On 30 September 2022, TAQA refinanced its AED 12.9 billion (US \$3.5 billion) revolving credit facility with a syndicate of 20 banks. Amounts borrowed under revolving credit facility carry interest of SOFR plus a margin. This extends the maturity from 2024 to 2027.

Prepaid transaction costs relating to the facility amounted to AED 54 million as at 31 December 2022 (2021: AED 54 million) and is recorded within prepaid expenses in current assets. This cost is amortized in the consolidated statement of profit or loss over the term of the facility using the effective interest rate method.

24 INTEREST BEARING LOANS AND BORROWINGS continued

(iii) Abu Dhabi National Energy Company bonds

The bonds are recorded at amortised cost using effective interest rates and are direct, unconditional, and unsecured obligations of the Company. Interest on the US dollar bonds is payable semi-annually. Accrued interest is included under accruals and other liabilities. The following table summarises the bonds net of discount and transaction costs:

	Issue rate %	Effective interest rate %	Repayment date	2022 AED million	2021 AED million
Non-current liabilities					
US \$1,500,000,000	99.05%	6.60%	October 2036	4,290	4,372

The bonds liability is stated net of transaction costs amounting to AED 31 million (2021: AED 32 million), which are amortised over the repayment period using the effective interest rate method.

(iv) Other subsidiaries' bonds

The bonds are recorded at amortised cost using the effective interest rate and are secured by a number of security documents including the subsidiaries contractual rights, cash deposits, other assets and guarantees. Interest on the bonds is payable semi-annually. The following table summarises the bonds net of discount and transaction costs:

	Issue rate %	Effective interest rate %	Repayment date	2022 AED million	2021 AED million
Non-current liabilities					
Emirates Sembcorp Water & Power Company			February 2029 to August 2035		
US \$400,000,000	4.45%	4.79%		1,588	1,598
Ruwais Power Company			August 2036		
US \$825,000,000	6.0%	6.18%		3,675	3,724
Sweihan PV Power Company PJSC			January 2049		
US \$700,800,000	3.63%	3.63%		2,522	-
TAQA Morocco			March 2038		
MAD 2,700,000,000	3.75%	3.82%		762	920
				-----	-----
				8,547	6,242
				=====	=====

The bonds liability is stated net of transaction costs amounting to AED 111 million (2021: AED 117 million), which are amortised over the repayment period using the effective interest rate method.

On 17 January 2022, Sweihan PV Power Company PJSC refinanced its existing debt facilities with green senior secured bonds of AED 2.6 billion (US \$700.8 million).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

24 INTEREST BEARING LOANS AND BORROWINGS continued

(v) Term loans

All term loans are shown at amortised cost and carry an effective interest rate of LIBOR/SOFR plus the margin stated unless noted otherwise.

	Currency	Effective interest rate %	Repayment date	2022 AED million	2021 AED million
Current liabilities					
Gulf Tractebel Power Company PJSC ¹	USD	+0.80%	2023	248	236
Arabian Power Company PJSC ¹	USD	+1.65%	2023	315	287
Taweelah Asia Power Company PJSC					
Term loan (1) ¹	USD	+ 1.00%	2023	291	270
Term loan (2) ¹	USD	+ 0.83%	2023	379	351
Emirates SembCorp Water and Power Company PJSC ²	USD	+ 0.85%- 1.20%	2023	209	206
Fujairah Asia Power Company PJSC					
Term loan (1) ¹	USD	+ 0.75%	2030	1,839	168
Term loan (2) ¹	USD	+ 0.50%	2030	2,726	221
Ruwais Power Company PJSC ¹	USD	+1.90% - 2.35%	2023	253	254
TAQA Morocco ²	MAD	5.78%	2023	224	100
TAQA Morocco working capital facility (WCF)	MAD	4.0%	2023	86	-
Jorf Lasfar Energy Company 5&6 S.A. ³	Multi Currency	+4.34% - 5.49%	2023	275	294
Jorf Lasfar Energy Company 5&6 S.A WCF	MAD	3.6%	2023	86	-
Takoradi International Company ⁴	USD	+4.25% - 4.35%	2023	81	81
Sweihan PV Power Company PJSC ¹	USD	+1.2%	2023	-	76
Shuweihat Asia Power Company PJSC ¹	USD	+1.56% -2.5%	2023	371	161
Mirfa International Power and Water Company PJSC ¹	USD	+1.3% -3.51%	2023	115	95
				-----	-----
				7,498	2,800
				=====	=====
Non-current liabilities					
Gulf Tractebel Power Company PJSC ¹	USD	+0.80% - 0.95%	2029	1,536	1,782
Arabian Power Company PJSC ¹	USD	+1.65%	2023	-	309
Taweelah Asia Power Company PJSC					
Term loan (1) ¹	USD	+ 1.00%	2025	384	765
Term loan (2) ¹	USD	+ 0.83%	2025	705	993
Emirates SembCorp Water and Power Company PJSC ¹	USD	+0.85% - 1.20%	2029	1,488	1,696
Fujairah Asia Power Company PJSC					
Term loan (1) ¹	USD	+ 0.75%	2030	-	1,843
Term loan (2) ¹	USD	+ 0.50%	2030	-	2,748
Ruwais Power Company PJSC ¹	USD	+1.90% - 2.50%	2031	3,199	3,448
TAQA Morocco ²	MAD	5.78%	2034	395	484
Jorf Lasfar Energy Company 5&6 S.A. ³	Multi Currency	+4.34% - 5.49%	2028	1,023	1,383
Takoradi International Company ⁴	USD	+4.25% - 4.35%	2027	430	510
Sweihan PV Power Company PJSC ¹	USD	+1.2%	2042	-	2,079
Shuweihat Asia Power Company PJSC ¹	USD	+1.56% -2.5%	2034	2,524	2,895
Mirfa International Power and Water Company PJSC ¹	USD	+1.3% -3.51%	2042	3,709	3,570
				-----	-----
				15,393	24,505
				=====	=====
				22,891	27,305
				=====	=====

The term loans liability is stated net of transaction costs amounting to AED 112 million (2021: AED 115 million), which are amortised over the repayment period using the effective interest rate method.

On 21 September 2022, Mirfa International Power & Water Company PJSC refinanced its existing debt facilities with project financing of AED 4.0 billion (US \$1.09 billion).

At 31 December 2022, Fujairah Asia Power Company PJSC (FAPCO) was in breach of a loan covenant. This covenant breach was a result of a delay in the restructuring of the international shareholder interests in FAPCO. The international shareholder is in the process of rectifying the default and is expected to be resolved in Q1 2023. As a result of the breach, the full amount of the debt has been classified as current liabilities in the statement of financial position. Discussions with the lenders are ongoing and the breach of covenants is not expected to cause the lenders to request for the immediate repayment of the loan facility.

24 INTEREST BEARING LOANS AND BORROWINGS continued

(v) Term loans continued

- The loans are secured, subject to various covenants and there are requirements to enter into interest rate swap agreements (note 31).
- The loans are secured by a number of security documents.
- The loan is secured and there are requirements to enter into interest rate swap agreements as well as foreign exchange swap agreements (note 31).
- The loan is secured and there are requirements to enter into interest rate swap agreements (note 31).

25 ISLAMIC LOANS

Islamic loans are with respect to the following subsidiaries:

	31 December	
	2022	2021
	AED million	AED million
Arabian Power Company PJSC	92	176
Abu Dhabi National Energy Company PJSC	-	577
	-----	-----
	92	753
	=====	=====

Analysed in the consolidated statement of financial position as follows:

	31 December	
	2022	2021
	AED million	AED million
Non-current portion	-	92
Current portion	92	661
	-----	-----
	92	753
	=====	=====

The Group's Islamic loans (before purchase price allocation fair value adjustments and deducting prepaid finance) are repayable as follows:

	31 December	
	2022	2021
	AED million	AED million
Within 1 year	92	660
Between 1 – 2 years	-	92
	-----	-----
	92	752
	=====	=====

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

25 ISLAMIC LOANS continued

All Islamic loans carry an effective rental rate of LIBOR plus the margin stated unless noted otherwise.

	Currency	Effective rental rate %	Repayment date	2022 AED million	2021 AED million
Current liabilities					
Arabian Power Company PJSC ¹	USD	+1.65%	2023	92	84
Abu Dhabi National Energy Company PJSC ²	MYR	4.71%	2023	-	577
				-----	-----
				92	661
Non-current liabilities					
Arabian Power Company PJSC ¹	USD	+1.65%	2023	-	92
				-----	-----
				-	92
				-----	-----
				92	753
				=====	=====

The Islamic loans liability is stated net of transaction costs amounting to AED nil (2021: AED nil), which are amortised over the repayment period using the effective rental rate method.

1.
- The loans are secured and there are requirements to enter into rental rate swap agreements (note 31).
2.
- The Group has entered into a cross currency swap arrangement to hedge the exposure of fluctuating currency rates (note 31).

26 ASSET RETIREMENT OBLIGATIONS

As part of the land lease agreements between ADPC and the Group’s domestic subsidiaries, the subsidiaries have a legal obligation to remove the power and water desalination plants at the end of the plants’ useful lives, or before if the subsidiaries became unable to continue their operations to that date, and to restore the land. The subsidiaries shall at their sole cost and expense dismantle, demobilise, safeguard and transport the assets, eliminate soil and ground water contamination, fill all excavation and return the surface to grade of the designated areas. The fair value of the ARO liability has been calculated using an expected present value technique. This technique reflects assumptions such as costs, plant useful life, inflation and profit margin that third parties would consider to assume the settlement of the obligation.

In addition, the Group’s foreign subsidiaries involved in the oil and gas sector make provision for the future cost of decommissioning oil and gas properties and facilities at the end of their economic lives. The economic life and the timing of the decommissioning liabilities are dependent on Government legislation, commodity prices and the future production profiles of the respective assets. In addition, the costs of decommissioning are subject to inflationary/ deflationary pressures in the cost of third party service provision.

	31 December	
	2022	2021
	AED million	AED million
At 1 January	17,028	16,078
Utilised during the year	(1,047)	(583)
Provided during the year	(5)	(18)
Accretion expense (note 7)	474	454
Revision in estimated cash flows	(435)	1,637
Disposal of assets	(4)	(516)
Exchange adjustment	(134)	(24)
	-----	-----
	15,877	17,028
ARO directly associated with assets classified as held for sale (note 34)	(675)	-
	-----	-----
	15,202	17,028
	=====	=====

Analysed in the consolidated statement of financial position as follows:

	31 December	
	2022	2021
	AED million	AED million
Non-current portion	13,989	16,873
Current portion (note 28)	1,213	155
	-----	-----
	15,202	17,028
	=====	=====

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

27 OTHER LIABILITIES

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Deferred income-grant*	602	45
Development capex	186	-
Employee's end of service benefits	375	383
Loan from related party (note 29)	26	25
Lease liabilities	319	388
Others	345	408
	-----	-----
	1,853	1,249
	=====	=====

*Deferred income relates to the fair value of assets transferred in prior years from Emirates CMS Power Company PJSC, Taweelah Asia Power Company PJSC, Shuweihat CMS International Power Company PJSC, the Private Department Al Ain and Arabian Power Company. Deferred income also includes an amount received in prior years from Fujairah Asia Power Company PJSC for procurement and installation of additional water storage tanks. The additional deferred income-grant recognized in the year ended 31 December 2022 is due to ENEC and reverse osmosis projects.

28 ACCOUNTS PAYABLE, ACCRUALS AND OTHER LIABILITIES

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Trade payables	2,014	1,903
Retention creditors	519	513
Mega development projects payable	6,881	6,356
Contract accruals for capital expenditure	869	1,137
Customer deposits	777	727
Accrued interest expenses	622	632
Accrual for operating costs	1,189	1,344
Payable for capital expenditure	308	372
Deferred income- grant and connection fees	113	83
Crude stock overlift	312	61
Dividend payable to non controlling interests	110	41
Lease liability	249	138
Asset retirement obligations – current (note 26)	1,213	155
Accrued employee related expenses	556	504
Advances from customers	475	594
Deferred revenue	243	118
Others	1,655	1,550
	-----	-----
	18,105	16,228
Accounts payable directly associated with assets held for sale (note 34)	(58)	-
	-----	-----
	18,047	16,228
	=====	=====

Terms and conditions of the above liabilities:

- Trade payables are non-interest bearing and are normally settled between 30 to 60 day terms.
- Payables to joint venture partners are non-interest bearing and have an average term of 60 days.
- Interest payable is normally settled throughout the financial year in accordance with the terms of the loans.

29 RELATED PARTY BALANCES

The Group enters into transactions with companies and entities that fall within the definition of a related party. Related parties, as defined in International Accounting Standard 24: Related Party Disclosures, include associate companies, major shareholders, directors and other key management personnel of the Company, and entities controlled, jointly controlled or significantly influenced by such parties.

The following table provides a summary of other significant related party transactions included in the consolidated statement of profit or loss during the year:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Emirates Water and Electricity Company:		
TUOS and connection charges for unlicensed activity	976	1,046
Revenue from electricity and water	7,746	8,246
Fuel revenue	9	11
Electricity and water bulk supply tariff	(15,102)	(14,447)
	-----	-----
	(6,371)	(5,144)
	=====	=====
Other operating revenue	10,977	11,218
	=====	=====
Other transactions		
License fees to DOE	(98)	(101)
Charges for provision of IT support services	(77)	(50)
Finance costs	(17)	(21)
Interest income	20	1

Other operating revenue for sales of water and electricity is calculated as the difference between its Maximum Allowed Revenue (MAR) determined in its Regulatory Control 1 (issued by the DoE) and revenue relating to supply and distribution of water and electricity from its customers. Accordingly, the Group recognised this revenue for supply and distribution of water and electricity based on those rights and rewards that are confirmed during the year.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

29 RELATED PARTY BALANCES continued

Balances with related parties

Balances with related parties that are disclosed in the consolidated statement of financial position as follows:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
<i>Non-current asset</i>		
Advance and loans to associates and joint ventures	1,146	349
	<u><u> </u></u>	<u><u> </u></u>
<i>Current assets</i>		
Bank balances with UAE government banks	7,019	6,231
	<u><u> </u></u>	<u><u> </u></u>
Amounts due from Emirates Water and Electricity Company (EWEC) (note (i))	1,385	1,547
Amounts due from Abu Dhabi Power Corporation (ADPC) (note (i))	343	252
Amounts due from other related parties (note (i))	32	147
	<u><u> </u></u>	<u><u> </u></u>
	1,760	1,946
	<u><u> </u></u>	<u><u> </u></u>
<i>Non-current liabilities</i>		
Loan from Abu Dhabi Power Corporation (ADPC)	26	25
Bank loans with government owned bank	107	114
	<u><u> </u></u>	<u><u> </u></u>
	133	139
	<u><u> </u></u>	<u><u> </u></u>
<i>Current liabilities</i>		
Overdraft with UAE government banks	-	13
	<u><u> </u></u>	<u><u> </u></u>
Amounts due to Emirates Water and Electricity Company (EWEC)	1,976	1,961
Amounts due to Abu Dhabi Power Corporation (ADPC)	129	33
Amounts due to other related parties	2,024	214
	<u><u> </u></u>	<u><u> </u></u>
	4,129	2,208
	<u><u> </u></u>	<u><u> </u></u>
Available undrawn bank facilities with UAE government banks	470	470
	<u><u> </u></u>	<u><u> </u></u>

Terms and conditions of transactions with related parties

The sales to and purchases from related parties are made on terms approved by the management. Outstanding balances at the year end are unsecured, interest free and settlement occurs in cash. There have been no guarantees provided or received for any related party receivables or payables. Amounts due from related parties, net of provisions, are expected, on the basis of past experience, to be fully recoverable. Management has determined that the provision made against these amounts are appropriate as these are receivable from government entities with low probability of default and loss given default.

29 RELATED PARTY BALANCES continued

(i) Amounts due from related parties

As at 31 December 2022, related parties receivables at nominal value of AED 5 million (2021: AED 14 million) were impaired and fully provided for. The amounts due from EWEC, a fellow subsidiary of ADPC, in respect of available capacity and supply of water and electricity, are payable within 30 - 90 working days. Movements in the provision for impairment of related party receivables are as follows:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
At 1 January	14	17
Provision/ECL for the year	(9)	(3)
	<u><u> </u></u>	<u><u> </u></u>
At 31 December	5	14
	<u><u> </u></u>	<u><u> </u></u>

As at 31 December, the ageing analysis of related party receivables is as follows:

			<i>Past due but not impaired</i>			
	<i>Total</i>	<i>Neither past</i>	<i>30 – 60</i>	<i>60 – 90</i>	<i>90 – 120</i>	<i>>120</i>
	<i>AED million</i>	<i>due nor</i>	<i>days</i>	<i>days</i>	<i>days</i>	<i>days</i>
	<i>AED million</i>	<i>impaired</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>
2022	1,760	1,294	381	1	-	84
2021	1,946	1,245	357	145	19	180

Compensation of key management personnel

The remuneration of senior key management personnel of the Group during the year was as follows:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Short term and long term benefits	35	28

30 COMMITMENTS AND CONTINGENCIES

(i) Capital expenditure commitments

The authorised contracted capital expenditure contracted for at 31 December 2022 but not provided for amounted to AED 5,040 million (31 December 2021: AED 2,787 million).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)**31 December 2022****30 COMMITMENTS AND CONTINGENCIES** continued**(ii) Operating lease commitments***Group as a lessor:*

Future capacity payments to be received by the Group under the power and water purchase agreement ("PWPA") based on projected plant availability as at 31 December are as follows:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Within one year	5,838	5,737
After one year but not more than five years	22,702	24,209
More than five years	17,036	21,180
	=====	=====
At 31 December	45,576	51,126
	=====	=====

(iii) Other commitments

As at the reporting date TAQA North has entered into contractual commitments, mainly pipeline usage, under which they are committed to spend AED 837 million as at 31 December 2022 (31 December 2021: AED 767 million).

The Group's associates and joint ventures have capital commitments of AED 541 million as at 31 December 2022 (31 Dec 2021: AED 110 million).

(iv) Contingencies

- a) The Group has entered into decommissioning security agreements for a number of UK North Sea Assets acquired by it, pursuant to which it may be required to provide financial security to the former owners of the assets, either by means of (a) placing monies in trust or procuring the issuance of letters of credit in an amount equal to its share of the net decommissioning costs of the subject fields plus an allowance for uncertainty; or (b) procuring a guarantee from a holding company or affiliate which satisfies a minimum credit rating threshold; or (c) providing security in such other form as may be agreed by parties to the deeds.

In respect of certain other UK North Sea Assets TAQA is able to meet the security arrangements for decommissioning obligations by way of provision of a parent company guarantee, so long as TAQA continues in majority-ownership of the Government of Abu Dhabi.

- b) TAQA Offshore B.V., alongside other oil and gas companies and the government of the Netherlands in a cross industry initiative has put in place security for offshore oil and gas infrastructure decommissioning. TAQA Offshore B.V. has formally committed to the Government initiative and a legal Netherlands trust arrangement has been set up, and a bank guarantee secured, to effect the provision of security by TAQA Offshore B.V.

- c) The Group has various claims lodged by contractors and consultants relating to its ongoing and completed projects, arising from extension of time and work performed but not paid. The Group is in negotiations with these contractors and consultants regarding the resolution of these claims. At this stage management believes it is not possible to determine a reliable estimate of the range of potential claims.

- d) The Group has a number of letters of credit and guarantees issued on behalf of the generation companies in relation to debt service reserve accounts.

31 FINANCIAL INSTRUMENTS**31.1 Hedging Activities**

	<i>31 December 2022</i>			<i>31 December 2021</i>		
	<i>Notional amount</i>	<i>Fair value</i>		<i>Notional amount</i>	<i>Fair value</i>	
	<i>AED million</i>	<i>Current</i>	<i>Non-current</i>	<i>AED million</i>	<i>Current</i>	<i>Non-current</i>
		<i>AED million</i>	<i>AED million</i>		<i>AED million</i>	<i>AED million</i>
Cash flow hedges						
Liabilities						
Cross currency interest rate swap		-	-	573	228	-
Interest rate swaps - hedged	12,634	113	472	24,664	571	2,678
Forward foreign exchange contracts	1,803	111	65	322	17	41
		=====	=====		=====	=====
		224	537		816	2,719
		=====	=====		=====	=====
Assets						
Interest rate swaps - hedged	8,520	75	405	123	-	70
Forward foreign exchange contracts		-	23	1,530	11	2
		=====	=====		=====	=====
		75	428		11	72
		=====	=====		=====	=====
Fair value hedges						
Liabilities						
Futures and forward contracts		-	-		59	-
		=====	=====		=====	=====

(i) Interest Rate Swaps – Cash flow hedge

In order to reduce their exposure to interest rate fluctuations on variable interest bearing loans and borrowings (note 24) and Islamic loans (note 25) certain subsidiaries have entered into interest rate swap arrangements with counter-party banks for a notional amount that matches the outstanding interest bearing loans and borrowings and Islamic loans. The derivative instruments were designated as cash flow hedges. The following table summarises certain information relating to the derivatives for each subsidiary as of 31 December 2022 and 31 December 2021:

<i>Subsidiary</i>	<i>Notional amount</i>		<i>Derivative liabilities</i>		<i>Derivative assets</i>		<i>Fix leg on instrument</i>	<i>Fix leg on instrument</i>
	<i>2022</i>	<i>2021</i>	<i>2022</i>	<i>2021</i>	<i>2022</i>	<i>2021</i>		
	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>2022</i>	<i>2021</i>
GTTPC	1,614	1,827	-	128	61	-	2.63% to 3.76%	2.63% to 3.76%
APC	326	623	-	22	-	-	4.60% to 4.89%	4.60% to 4.89%
TAPCO	1,847	2,038	22	120	-	-	3.64% to 5.28%	3.64% to 5.28%
ESWPC	1,917	1,917	-	119	73	-	2.80% to 5.85%	2.80% to 5.85%
FAPCO	4,378	4,776	330	765	-	-	0.84% to 5.72%	0.84% to 5.72%
SPVPC		1,911	-	182	-	-	1.43% to 2.77%	1.43% to 2.77%
MIPCO	3,745	3,329	6	534	275	70	Average 2.66%	Average 2.66%
SAPCO	2,541	3,081	73	576	11	-	1.63% to 5.14%	1.63% to 5.14%
RPC	3,542	3,803	154	728	-	-	4.62% to 5.40%	4.62% to 5.40%
JLEC 5&6	874	1,056	-	62	38	-	1.92% to 2.12%	1.92% to 2.12%
TICO	370	426	-	13	22	-	2.20% to 2.31%	2.20% to 2.31%
	=====	=====	=====	=====	=====	=====		
	21,154	24,787	585	3,249	480	70		

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)**31 December 2022****31 FINANCIAL INSTRUMENTS** continued**31.1 Hedging Activities** continued**(ii) Cross currency Swaps – Cash flow hedges**

The Group had entered into a cross currency rate swap agreement to hedge the Group's exposure on the Malaysian Ringgit Sukuk (note 25). During 2022 the cross currency swap was settled and the MYR 650 million loan fully repaid. The derivative instrument is nil at 31 December 2022 (2021: AED 228 million negative fair value).

(iii) Forward Foreign Exchange Contracts

Certain subsidiaries use forward foreign exchange contracts to hedge their risk associated with foreign currency fluctuations relating to scheduled maintenance cost payments to overseas suppliers. The derivative instruments were designated as cash flow hedges. The following table summarises certain information relating to the derivatives for each subsidiary as of 31 December 2022 and 31 December 2021:

<i>Subsidiary</i>	<i>Notional amount</i>		<i>Derivative liabilities</i>		<i>Derivative assets</i>	
	<i>2022</i>	<i>2021</i>	<i>2022</i>	<i>2021</i>	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>
RPC	-	3	-	3	-	-
SAPCO	263	319	48	41	-	-
TAQA Bratani Limited	1,540	1,530	128	14	23	13
	-----	-----	-----	-----	-----	-----
	1,803	1,852	176	58	23	13
	=====	=====	=====	=====	=====	=====

31.2 Hedging activities – Fair Value hedges

TAQA GEN X LLC, a subsidiary of TAQA utilised derivative instruments, which included futures and forwards as a hedging strategy to manage the exposure in the fair value of the underlying Tolling Agreement. Forward and future transactions are contracts for delayed delivery of commodity instruments in which the counterpart agreed to make or take delivery at a specified price. The Tolling Agreement expired on 31 August 2022.

As at 31 December 2022, the net fair value of exchange-traded derivative instruments was nil (2021: AED 59 million liability). The net realised and unrealised loss recognised in the consolidated profit and loss relating to such instruments are AED 98 million for the year ended 31 December 2022 (2021: AED 67 million loss).

The Tolling Agreement recognised as an intangible at acquisition was adjusted for the change in fair value for movements in the designated hedge risk in a fair value hedge relationship. The changes in the fair value of the Tolling Agreement attributable to the hedged risk (note 14), for the year ended 31 December 2022 was a gain of AED 31 million (2021: AED 93 million gain) which was recognised in the consolidated statement of profit and loss.

31 FINANCIAL INSTRUMENTS continued**31.3 Fair values**

The fair values of the financial instruments of the Group are not materially different from their carrying values at the reporting date except for certain fixed interest borrowings and operating financial assets. Set out below is a comparison of the carrying amounts and fair values of fixed interest borrowings and operating financial assets:

	<i>Carrying amount</i>		<i>Fair value</i>	
	<i>2022</i>	<i>2021</i>	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>	<i>AED million</i>
Operating financial assets (note i)	9,170	10,322	9,232	10,462
Interest bearing loans and borrowings (note ii)	38,707	36,972	34,463	37,570

- (i) The fair value of operating financial assets is estimated by discounting the expected future cash flows using appropriate interest rates for assets with similar terms, credit risk and remaining maturities.
- (ii) Interest bearing loans and borrowings relates to the Abu Dhabi National Energy Company Global Medium Term notes, Abu Dhabi National Energy Company bond and other subsidiaries' bonds. The fair value of the interest bearing loans and borrowings is based on price quotations at the reporting date.

31.4 Fair Values hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

- Level 1:* Quoted (unadjusted) prices in active markets for identical assets or liabilities.
- Level 2:* Other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly.
- Level 3:* Techniques which use inputs which have a significant effect on the recorded fair value that are not based on observable market data. For level 3 valuations, the Group relies on discounted cash flow models based on management expectations.

	<i>Fair value</i>	<i>Carrying value</i>	<i>Fair value</i>
	<i>AED million</i>	<i>AED million</i>	<i>hierarchy</i>
At 31 December 2022			
Financial assets measured at fair value			
Interest rate swaps- hedged	480	480	Level 2
Forward foreign exchange contracts	23	23	Level 2
Financial assets disclosed at fair value			
Operating financial assets	9,232	9,170	Level 3
Financial liabilities measured at fair value			
Interest rate swaps – hedged	585	585	Level 2
Forward foreign exchange contracts	176	176	Level 2
Financial liabilities disclosed at fair value			
Interest bearing loans and borrowings	34,463	38,707	Level 1

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)**31 December 2022****31 FINANCIAL INSTRUMENTS** continued**31.4 Fair Values hierarchy** continued

	<i>Fair value AED million</i>	<i>Carrying value AED million</i>	<i>Fair value hierarchy</i>
<i>At 31 December 2021</i>			
Financial assets measured at fair value			
Interest rate swaps- hedged	70	70	Level 2
Forward foreign exchange contracts	13	13	Level 2
Financial assets disclosed at fair value			
Operating financial assets	10,462	10,322	Level 3
Financial liabilities measured at fair value			
Interest rate swaps – hedged	3,249	3,249	Level 2
Forward foreign exchange contracts	58	58	Level 2
Cross currency interest rate swaps	228	228	Level 2
Future and forward contracts	59	59	Level 2
Financial liabilities disclosed at fair value			
Interest bearing loans and borrowings	37,570	36,972	Level 1

During the year ended 31 December 2022 and 2021 there were no transfers between Level 1 and Level 2 fair value measurements, and no transfers into and out of Level 3 fair value measurements.

The fair values of other financial instruments of the Group are not materially different from their carrying values at the reporting date.

Interest bearing loans and borrowings detailed above relates to the Group's medium term notes and bonds portfolio. The company's project related debt is excluded from this number as the fair value is not materially different from the carrying value at the reporting date.

The fair values of the financial assets and financial liabilities measured at fair value included in the Level 1 category above, have been determined by market rates at the year end date.

The fair values of the financial assets and financial liabilities measured at fair value included in the Level 2 category above, have been determined in accordance with generally accepted pricing models based on a discounted cash flow analysis. The models incorporate various inputs including foreign exchange spot and forward rates, interest rate curves and forward rate curves of the underlying commodities.

For financial instruments where there is no active market, fair value is determined using valuation techniques. Such techniques may include using recent arm's length market transactions; reference to the current fair value of another instrument that is substantially the same; discounted cash flow analysis or other valuation models.

32 SUBSIDIARIES, JOINT VENTURES AND ASSOCIATES

These consolidated financial statements include the following major operating subsidiaries, joint ventures and associates and their effective ownership as at 31 December 2022 are listed below:

<i>Subsidiaries</i>	<i>Effective ownership %</i>	<i>Country of incorporation</i>	<i>Principal activities</i>
FOREIGN SUBSIDIARIES			
TAQA Bratani Limited	100%	UK	Oil & gas production
TAQA North Limited	100%	Canada	Oil & gas production
TAQA Atrush B.V.	100%	Netherlands	Oil & gas production
TAQA Energy B.V	100%	Netherlands	Gas storage, oil & gas production
TAQA Morocco	86%	Morocco	Power generation
Jorf Lasfar Energy Company 5&6 S.A	91%	Morocco	Power generation
Takoradi International Company	90%	Cayman Islands	Power generation
TAQA Neyveli Power Company Private Limited	100%	India	Power generation
TAQA GEN X	85%	USA	Gas power tolling interest
DOMESTIC SUBSIDIARIES			
Abu Dhabi Transmission and Despatch Company PJSC (TransCo)	100%	UAE	Transmission of water and electricity in the region of Abu Dhabi and the surrounding areas.
Abu Dhabi Distribution Company PJSC (ADDC)	100%	UAE	Distribution of water and electricity in the region of Abu Dhabi, Al Ain, and the surrounding areas.
Al Ain Distribution Company PJSC (AADC)	100%	UAE	
Al Mirfa Power Company PJSC (AMPC)	100%	UAE	
Sweihan PV Power Company PJSC	60%	UAE	Generation of electricity and the production of desalinated water
Shuweihat Asia Power Company PJSC (SAPCO)	60%	UAE	
Mirfa International Power and Water Company PJSC (MIPCO)	60%	UAE	
Gulf Total Tractebel Power Company PJSC (GTTPC)	60%	UAE	
Arabian Power Company PJSC (APC)	60%	UAE	
Shuweihat CMS International Power Company PJSC (SCIPCO)	60%	UAE	
Taweelah Asia Power Company PJSC (TAPCO)	60%	UAE	
Emirates CMS Power Company PJSC (ECPC)	60%	UAE	
Emirates Semb Corp Water and Power Company PJSC (ESWPC)	60%	UAE	
Fujairah Asia Power Company PJSC (FAPCO)	60%	UAE	
Ruwais Power Company PJSC (RPC)	60%	UAE	Operating & maintenance
Taweelah Shared Facilities Company LLC	56%	UAE	
Shuweihat Shared Facilities Company LLC	50%	UAE	Operating & maintenance
ASSOCIATES			
Massar Solutions PJSC	49%	UAE	Lease management
Abu Dhabi Offshore Power Infra Limited LLC	30%	UAE	Transmission of electricity
Jubail Energy Company LLC	25%	KSA	Generation of electricity
Sohar Aluminium Company LLC	40%	Oman	Aluminium smelter
JOINT VENTURES			
LWP Lessee LLC	50%	USA	Wind power
Taweelah RO Holding Company LLC	33%	UAE	Production of desalinated water
Fujairah Energy Holding Company LLC	67%	UAE	Generation of electricity
Dhafrah Solar Energy Holding Company LLC	67%	UAE	Solar power
Tanajib Cogeneration Holding Company Limited	49%	UAE	Generation of electricity
Abu Dhabi Future Energy Company PJSC (Masdar)	43%	UAE	Renewable energy

During the year ended 31 December 2022 the Company acquired a stake in Abu Dhabi Future Energy Company PJSC (note 15). There were no other changes in the major operating subsidiaries, joint ventures, and associates.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

33 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

(i) Interest rate risk

The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long-term debt obligations and short-term deposits with floating interest rates. The Group's policy is to manage its interest cost using a mix of fixed and variable rate debts. To manage this, the Group enters into interest rate swaps, in which the Group agrees to exchange, at specified intervals, the difference between fixed and variable rate interest amounts calculated by reference to an agreed upon notional principal amount. These swaps are designated to hedge underlying debt obligations. At 31 December 2022, after taking into account the effect of interest rate swaps, approximately 98% of the Group's borrowings are at a fixed rate of interest (2021: 95%).

Interest rate sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of loans and borrowings and deposits, after the impact of hedge accounting. With all other variables held constant, the Group's profit before tax and equity is affected as follows:

	<i>Effect on profit before tax AED million</i>	<i>Effect on equity AED million</i>
2022		
+15 increase in basis point	(5)	29
-15 decrease in basis point	5	(29)
2021		
+15 increase in basis point	(5)	41
-15 decrease in basis point	5	(41)

LIBOR reforms and the expected cessation of LIBOR will impact the Group's current interest rate risk management and accounting for certain financial instruments. The Group is in the process of discussing with the relevant counterparties and understanding the arrangements regarding the new benchmark for the relevant contracts. The Group expects to finalise their plan as early as practicable to ensure a smooth transition from LIBOR to the new benchmark.

(ii) Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group's exposure to risk of changes in foreign exchange rates relates primarily to the operating activities (when revenue or expense are denominated in a different currency from the functional currencies of the subsidiaries), carrying values of assets and liabilities in Canadian Dollars, Euros, Moroccan Dirhams and Indian rupees and the Group's net investment in foreign subsidiaries.

The Group hedges part of its net exposure to fluctuations on the translation into AED of its foreign operations by holding certain borrowings in foreign currencies, primarily in Euros.

The following table demonstrates the sensitivity to a reasonably possible change in the Euro, GBP, CAD, and Moroccan Dirham exchange rates, with all other variables held constant, of the Group's profit before tax (due to changes in the fair value of monetary assets and liabilities) and the Group's equity (due to changes in foreign currency translation reserve). The Group's exposure to foreign currency changes for all other currencies is not material.

	<i>Increase/ decrease in Euro, GBP, Moroccan Dirham, Indian rupees, and CAD rates</i>	<i>Effect on profit before tax AED million</i>	<i>Effect on equity AED million</i>
2022			
	+5%	(135)	(117)
	-5%	135	117
2021			
	+5%	(115)	(84)
	-5%	115	84

The movement in equity arises from changes in Euro borrowings in the hedge of net investments in the Netherlands. These movements will partly offset the translation of the Netherlands's operations net assets into AED.

33 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES continued

(iii) Commodity price risk

TAQA GEN X LLC, a subsidiary of TAQA was affected by the volatility of certain commodities. Its operating activities required the ongoing purchase of gas and sale of electricity. Due to volatility in the prices of these commodities, the subsidiary's management had developed and enacted a risk management strategy regarding commodity price risk and its mitigation. The Group had mitigated the commodity price risks using forward commodity contracts. The Tolling Agreement expired on 31 August 2022 and all forward commodity contracts have been settled.

The following table shows the effect of price changes on the fair value of the forward commodity contracts on the profit before tax:

	<i>Change in year end price</i>	<i>Effect on profit before tax AED million</i>
2022	-	-
2021	+10%	5
	-10%	(5)

The Group also enters into physical commodity contracts in the normal course of business. These contracts are not derivatives and are treated as executory contracts, which are recognised and measured at cost when the transactions occur.

(iv) Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily for trade receivables) and from its financing activities, including deposits with banks and other financial instruments.

Trade and other receivables

Customer credit risk is managed by each business unit subject to the Group's established policy, procedures and control relating to customer credit risk management. Credit limits are established for all customers based on internal rating criteria. Credit quality of the customer is assessed based on an extensive credit rating scorecard.

Outstanding customer receivables are regularly monitored and any shipments to major customers are generally covered by letters of credit or other form of credit insurance. The Group's largest 2 customers account for approximately 42% of outstanding trade receivables and amounts due from related parties at 31 December 2022 (2021: 36%). The requirement for impairment is analysed at each reporting date on an individual basis for major customers. Additionally, a large number of minor receivables are grouped into homogenous groups and assessed for impairment collectively. All impairment considerations for trade and other receivables are performed using the expected credit loss model. The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets disclosed in note 18. The Group does not hold collateral as security.

Operating financial assets

The operating financial assets relating to the Group's international generation subsidiaries sell their products to one party, which is typically a governmental entity. These subsidiaries seek to limit their credit risk with respect to a single customer by monitoring outstanding receivables. The Group's maximum exposure to credit risk for the components of the consolidated statement of financial position at 31 December 2022 and 2021 is the carrying amounts as illustrated in note 13.

Other financial instruments and cash deposits

Credit risk from balances with banks and financial institutions is managed by the Group's treasury in accordance with the Group's policy. Investments of surplus funds are made only with reputable banks and financial institutions. The Group's maximum exposure to credit risk for the components of the consolidated statement of financial position at 31 December 2022 and 2021 is the carrying amounts as illustrated in note 19 except for derivative financial instruments. The Group's maximum exposure for derivative instruments is disclosed in note 31 and in the liquidity table below, respectively.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

33 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES continued

(v) Liquidity risk

The Group monitors its risk to a shortage of funds using a recurring liquidity planning tool.

The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdrafts, bank loans and other borrowings. As at 31 December 2022, 18% of the Group's debt will mature in less than one year (2021: 5%) based on the carrying value of borrowings reflected in the consolidated financial statements.

The table below summarises the maturity profile of the Group's financial liabilities at 31 December 2022 and 2021 based on contractual undiscounted payments:

	< 1 year AED million	1-5 years AED million	> 5 years AED million	Total AED million
<i>At 31 December 2022</i>				
Trade and other payables	12,636	311	-	12,947
Bank overdrafts	37	-	-	37
Interest bearing loans, borrowings and Islamic loans	12,060	17,278	32,025	61,363
Advances and loans from related parties	-	-	26	26
Amounts due to ADPC and other related parties	4,129	-	-	4,129
Derivative financial instruments	541	1,730	485	2,756
	<u>29,403</u>	<u>19,319</u>	<u>32,536</u>	<u>81,258</u>
<i>At 31 December 2021</i>				
Trade and other payables	8,692	323	3	9,018
Bank overdrafts	31	-	-	31
Interest bearing loans, borrowings and Islamic loans	3,404	25,380	36,040	64,824
Advances and loans from related parties	-	-	25	25
Amounts due to ADPC and other related parties	2,208	-	-	2,208
Derivative financial instruments	869	2,829	1,144	4,842
	<u>15,204</u>	<u>28,532</u>	<u>37,212</u>	<u>80,948</u>

The disclosed financial derivative instruments in the above table are the gross undiscounted cash flows. However, those amounts may be settled gross or net. The following table shows the corresponding reconciliation of those amounts to their carrying amounts.

	< 1 year AED million	1 – 5 years AED million	> 5 years AED million	Total AED million
<i>At 31 December 2022</i>				
Inflows	575	1,701	448	2,724
Outflows	(541)	(1,730)	(485)	(2,756)
	<u>34</u>	<u>(29)</u>	<u>(37)</u>	<u>(32)</u>
Net				
Discounted at the applicable interbank rates	<u>(11)</u>	<u>(259)</u>	<u>24</u>	<u>(246)</u>
<i>At 31 December 2021</i>				
Inflows	267	862	281	1,410
Outflows	(869)	(2,829)	(1,144)	(4,842)
	<u>(602)</u>	<u>(1,967)</u>	<u>(863)</u>	<u>(3,432)</u>
Net				
Discounted at the applicable interbank rates	<u>(579)</u>	<u>(1,686)</u>	<u>(661)</u>	<u>(2,926)</u>

33 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES continued

(vi) Capital management

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximise shareholder value.

The Group manages its capital structure and makes adjustments to it, in light of changes in economic conditions. There are no regulatory imposed requirements on the level of share capital which the Group has not met. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders or issue new shares. On 13 December 2020 TAQA Group's shareholders approved a new dividend policy for 2020-2022. The policy includes a quarterly dividend payment and a commitment to grow this by 10% per year over the next two years.

The Group monitors capital using a gearing ratio, which is net debt divided by total capital plus net debt. Within net debt, the Group includes interest bearing loans and borrowings, Islamic loans, less cash and cash equivalents. Equity includes total equity including non-controlling interests.

	31 December	
	2022	2021
	AED million	AED million
Interest bearing loans and borrowings	61,613	64,212
Islamic loans	92	753
Less cash and cash equivalents	(10,123)	(8,422)
	<u>51,582</u>	<u>56,543</u>
Net debt		
	<u>51,582</u>	<u>56,543</u>
Equity	77,741	73,202
	<u>77,741</u>	<u>73,202</u>
Equity and net debt	129,323	129,745
	<u>129,323</u>	<u>129,745</u>
Gearing ratio	40%	44%
	<u>40%</u>	<u>44%</u>

34 DISCONTINUED OPERATIONS

On 1 July 2022, the Board of Directors agreed to proceed with the sale of the upstream assets within TAQA Energy B.V.'s portfolio. Subsequent to the Board of Directors decision, TAQA has entered into definitive agreements with Waldorf Energy Netherlands BV to sell 100% of its ownership in the upstream oil and gas business in the Netherlands. The sale is expected to be completed in early 2023, and is subject to obtaining approvals from applicable regulatory and other third parties. As at 31 December 2022 the upstream assets in the Netherlands contained within the Oil & Gas operating segment were classified as a disposal group held for sale and as a discontinued operation.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)

31 December 2022

34 DISCONTINUED OPERATIONS continued

The upstream assets contribution to the Group's results are presented below:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Revenues	964	396
Costs	(150)	(113)
Gross profit	814	283
General and administrative expenses	(2)	(3)
Finance costs	(18)	(24)
Net foreign exchange gain	4	4
Profit before tax from discontinued operations	798	260
Tax expense	(556)	(14)
Profit for the period from discontinued operations	242	246
Basic and diluted earnings per share attributable to equity holders of the parent (AED) from discontinued operations	0.00	0.00

The comparative consolidated statement of profit and loss has been restated due to discontinued operations.

The major classes of assets and liabilities of the upstream assets held for sale are as follows:

	<i>31 December</i>
	<i>2022</i>
	<i>AED million</i>
<i>Assets</i>	
Property, plant and equipment	69
Deferred tax asset	37
Inventories	24
Accounts receivable and prepayments	104
Assets classified as held for sale	234
<i>Liabilities</i>	
Asset retirement obligations	675
Income tax payable	85
Accounts payable, accruals and other liabilities	58
Liabilities directly associated with assets classified as held for sale	818
Net liabilities directly associated with the disposal group	584

Included in equity and the consolidated statement of financial position as at 31 December 2022 is an accumulated foreign currency translation reserve loss of AED 12 million directly associated with the assets held for sale.

34 DISCONTINUED OPERATIONS continued

The net cash flows incurred by the upstream assets are as follows:

	<i>31 December</i>	
	<i>2022</i>	<i>2021</i>
	<i>AED million</i>	<i>AED million</i>
Net cash generated from operations	314	98
Net cash used in investing activities	(26)	(18)
Net cash used in financing activities	(2)	(2)
Net increase in cash and cash equivalents	286	78

35 DIVIDENDS

2022

At the General Assembly meeting in March 2022, the shareholder's approved a dividend of AED 1,237 million, being AED 0.01 per share for the year ended 31 December 2021. A special dividend was also approved by the shareholders of AED 2,249 million, being AED 0.02 per share. Both dividends were paid in the three month period ended 31 March 2022.

On 11 May 2022, the Board of Directors approved an interim dividend of AED 675 million, being AED 0.006 per share for the quarter ended 31 March 2022. The interim dividend was paid on 18 May 2022.

On 9 August 2022, the Board of Directors approved an interim dividend of AED 675 million, being AED 0.006 per share for the quarter ended 30 June 2022. The interim dividend was paid on 16 August 2022.

On 11 November 2022, the Board of Directors approved an interim dividend of AED 675 million, being AED 0.006 per share for the quarter ended 30 September 2022. The interim dividend was paid on 18 November 2022.

2021

At the General Assembly meeting in March 2021, the shareholder's approved a dividend of AED 1,124 million, being AED 0.01 per share for the year ended 31 December 2020. This dividend was paid on 25 March 2021.

On 4 May 2021, the Board of Directors approved an interim dividend of AED 618 million, being AED 0.0055 per share for the quarter ended 31 March 2021. The interim dividend was paid on 10 May 2021.

On 10 August 2021, the Board of Directors approved an interim dividend of AED 618 million, being AED 0.0055 per share for the quarter ended 30 June 2021. The interim dividend was paid on 18 August 2021.

On 9 November 2021, the Board of Directors approved an interim dividend of AED 618 million, being AED 0.0055 per share for the quarter ended 30 September 2021. The interim dividend was paid on 7 December 2021.

36 EVENTS AFTER REPORTING DATE

Dividends

On 13 February 2023, the Board of Directors proposed a final dividend of AED 1,350 million, being AED 0.012 per share for the year ended 31 December 2022. A special dividend was also proposed by the Board of Directors of AED 2,363 million, being AED 0.021 per share. The dividends will be subject to shareholder approval at the General Assembly meeting in March 2023.

TAPCO aquisition

On 20 January 2023, the Group acquired an additional 10% ownership stake in Taweelah Asia Power Company and acquired a 25% ownership stake in Asia Gulf Power Service Company Limited, the operations and maintenance contractors to the plant.



06

APPENDICES

Appendix 1 – ADX ESG Disclosure

184

APPENDIX 1 – ADX ESG DISCLOSURE

TAQA's ESG Performance

Environmental

Data	Metric	Unit	Scope	2020	2021	2022	Remarks
E1. Greenhouse Gas (GHG) Emissions	E1.1: Total amount in CO2 equivalents, for Scope 1	million tCO2e	Group	62.63	62.27	57.00	Prior to third party limited assurance.
	E1.2: Total amount, in CO2 equivalents, for Scope 2	million tCO2e	Group	0.13	0.18	0.19	
	E1.3: Total amount, in CO2 equivalents, for Scope 3	million tCO2e	Group	NA	NA	NA	
E2. Emissions Intensity	E2.1: Total GHG emissions per revenue	tCO2e per million US\$	Group	5,641	5,047	4,187	Excludes scope 3 GHG emissions. Generation emission factors per production (tCO2/MWh): Global (incl. water) – 0.614 Global (electricity only) – 0.506 International – 0.762 UAE (incl. water) – 0.567 UAE (electricity only) – 0.426
	E2.2: Total non-GHG emissions per output scaling factor	NA	Group	NA	NA	NA	
E3. Energy Usage	E3.1: Total amount of energy directly consumed	1000 TJ	Group	672	674	599	Excludes the electricity supplied
	E3.2: Total amount of energy indirectly consumed	1000 TJ	Group	NA	1.32	1.84	
E4. Energy Intensity	Total direct energy usage per output scaling factor	TJ per million US\$	Group	16.33	14.88	10.75	
E5. Energy Mix	Energy usage by generation type - Gas	%	Group	77	79	64	Based on gross power capacity.
	Energy usage by generation type - Coal	%	Group	11	9	8	

	Energy usage by generation type - Renewables	%	Group	12	12	28	For Oil & Gas business, production mix in 2022 is: Gas 50%, Oil 41%, and Natural Gas Liquids 9%. For Water Production: Thermal 69%, and Reverse Osmosis 31%.
E6. Water Usage	Total amount of water consumed	billion cubic meters	Group	18.84	18.84	16.39	
	E6.2: Total amount of water discharged	%	Group	99	99	99	Discharged back to water sources
E7. Environmental Operations	E7.1: Does your company follow a formal Environmental Policy?	Yes/ No	Group	Yes	Yes	Yes	TAQA has a Group-wide Health, Safety, Security, and Environment (HSSE) Management System referred to as our "Commitment to Operational Excellence" (COE).
	E7.2: Does your company follow specific waste, water, energy, and/ or recycling policies?	Yes/ No	Group	No	No	No	TAQA is currently in the process of developing various environmental standards including for these topics.
	E7.3: Does your company use a recognized energy management system?	Yes/ No	Group	No	No	No	Certain individual operating companies have an energy management system in place
E8. Environmental Oversight	Does your Management Team oversee and/or manage sustainability issues?	Yes/ No	Group	Yes	Yes	Yes	
E9. Environmental Oversight	Does your Board oversee and/ or manage sustainability issues?	Yes/No	Group	No	No	Yes	
E10. Climate Risk Mitigation	Total amount invested, annually, in climate-related infrastructure, resilience, and product development	AED	Group	NA	NA	NA	

Social

Data	Metric	Unit	Scope	2020	2021	2022	Remarks
S1. CEO Pay Ratio	S1.1: CEO total compensation to median Full Time Equivalent (FTE) total compensation	Ratio	Group	NA	NA	NA	
	S1.2: Does your company report this metric in regulatory filings?	Yes/No	Group	No	No	No	
S2. Gender Pay Ratio	Median male compensation to median female compensation	Ratio	Group	NA	NA	NA	
S3. Employee Turnover	S3.1: Year-over-year change for full-time employees	%	Group	NA	NA	NA	
	S3.2: Year-over-year change for part-time employees	%	Group	NA	NA	NA	
	S3.3: Year-over-year change for contractors/ consultants	%	Group	NA	NA	NA	
S4. Gender Diversity	S4.1: Total enterprise headcount held by women	%	Group	22	20	20	
	S4.2: Entry- and mid-level positions held by women	%	Group	NA	NA	NA	
	S4.3: Senior- and executive level positions held by women	%	Group	21	16	16	
S5. Temporary Worker Ratio	S5.1: Total enterprise headcount held by part-time employees	%	Group	NA	NA	NA	
	S5.2: Total enterprise headcount held by contractors and/or consultants	%	Group	NA	NA	NA	
S6. Non-Discrimination	Does your company follow nondiscrimination policy?	Yes/No	Group	No	Yes	Yes	TAQA maintains a zero-discrimination position when it comes to diversity and highlights this position within the Code of Conduct as part of Ethics & Compliance. Non-discrimination is also covered in TAQA's Speaking Up Policy. However, TAQA does not have a stand-alone policy on non-discrimination.
S7. Injury Rate	Frequency of injury events relative to total workforce time	incident/1 million hrs	Group	0.60	0.55	0.53	Recorded injury rate

S8. Global Health & Safety	Does your company follow an occupational health and/or global health & safety policy?	Yes/No	Group	Yes	Yes	Yes	TAQA has a Group-wide Health, Safety, Security, and Environment (HSSE) Management System referred to as our "Commitment to Operational Excellence" (COE).
S9. Child & Forced Labor	S9.1: Does your company follow a child and/or forced labor policy?	Yes/No	Group	No	Yes	Yes	TAQA's Code of Ethics & Business Conduct and Business Partner Code of Conduct, which are applicable to the whole Group, explicitly state that TAQA is strongly opposed to any form of child labour, human trafficking, and modern slavery. However, TAQA does not have a stand-alone policy on child and/or forced labour yet.
	S9.2: If yes, does your child and/or forced labor policy also cover suppliers and vendors?	Yes/No	Group	NA	Yes	Yes	The Business Partner Code of Conducts extend to suppliers and vendors.
S.10 Human Rights	S10.1: Does your company follow a human rights policy?	Yes/No	Group	No	Yes	Yes	TAQA's Code of Ethics & Business Conduct and Business Partner Code of Conduct, which are applicable to the whole Group, explicitly state that TAQA is strongly opposed to human rights issues such as any form of child labour, human trafficking, and modern slavery. In accordance with these Codes, TAQA screens its business partners and has a zero-tolerance policy towards suppliers who have any record of human rights violations. As a signatory to the United Nations Global Compact, TAQA
							further demonstrates its commitment to implement practices that ensure compliance with human rights.
	S10.2: If yes, does your human rights policy also cover suppliers and vendors?	Yes/ No	Group	NA	NA	N/A	The Business Partner Code of Conduct extends to suppliers and vendors.
S11. Nationalisation	Percentage of national employees	%	UAE	54	51	51	
S12. Community Investment	Amount invested in the community, as a percentage of company revenues	%	Group	NA	0.005	0.01	

Governance

Data	Metric	Unit	Scope	2020	2021	2022	Remarks
G.1 Board Diversity	G1.1: Total board seats occupied by women	%	Group	0	0	0	
	G1.2: Committee chairs occupied by women	%	Group	0	0	0	
G2. Board Independence	G2.1: Does company prohibit CEO from serving as board chair?	Yes/No	Group	Yes	Yes	Yes	
	G2.2: Total board seats occupied by independent board members	%	Group	67	67	67	
G3. Incentivized Pay	Are executives formally incentivized to perform on sustainability?	Yes/No	Group	Yes	Yes	Yes	
G4. Supplier Code of Conduct	G4.1: Are your vendors or suppliers required to follow a Code of Conduct?	Yes/No	Group	No	Yes	Yes	
	G4.2: If yes, what percentage of your suppliers have formally certified their compliance with the code?	%	Group	100	100	100	
G5. Ethics & Prevention of Corruption	G5.1: Does your company follow an Ethics and/or Prevention of Corruption policy?	Yes/No	Group	Yes	Yes	Yes	
	G5.2: If yes, what percentage of your workforce has formally certified its compliance with the policy?	%	Group	100 %	100%	100 %	
G6. Data Privacy	G6.1: Does your company follow a Data Privacy policy?	Yes/No	Group	No	Yes	Yes	
	G6.2: Has your company taken steps to comply with GDPR rules?	Yes/No	Group	Yes	Yes	Yes	
G7. Sustainability Reporting	Does your company publish a sustainability report?	Yes/No	Group	Yes	Yes	Yes	
G8. Disclosure Practices	G8.1: Does your company provide sustainability data to sustainability reporting frameworks?	Yes/No	Group	Yes	Yes	Yes	
	G8.2: Does your company focus on specific UN Sustainable Development Goals (SDGs)?	Yes/No	Group	Yes	Yes	Yes	
	G8.3: Does your company set targets and report progress on the UN SDGs?	Yes/No	Group	N/A	Yes	Yes	

G9. External Assurance	Are your sustainability disclosures assured or verified by a third-party audit firm?	Yes/No	Group	No	No	Yes	Currently undergoing a limited assurance by a third party
------------------------	--	--------	-------	----	----	-----	---

Restatements have been made to certain data points in previous years based on improvements in calculation methodology and quality checks. However, no significant variances noticed from the previously reported data.

Reporting Boundary
Reporting History, Period, and Cycle

The data contained in the report covers the period of January 1, 2022 to December 31, 2022 and incorporates details of initiatives, programs and achievements outside of this timeframe to better demonstrate trends and progress during the period through to the publication date of this report. TAQA's sustainability reporting cycle will continue to be in line with TAQA's financial year, which coincides with the calendar year.

Scope of Reporting

This report represents TAQA Group, including its subsidiaries, joint ventures, and associates; subject to the level of TAQA's ownership and control over these entities. Given the various considerations in collecting and consolidating data from these entities, including the level of maturity in ESG data collection as well as the level of control TAQA has on the different entities, the approach for inclusion of ESG data across the different reporting categories varies. All effort was placed by TAQA to include as much detail on all topics as per the ESG guidelines by ADX.

Financial reporting: Entities that are accounted for as subsidiaries are fully incorporated in TAQA's consolidated statements when TAQA's effective 'control'¹ over these entities is established. Joint ventures² and associates³ are incorporated in the Group's consolidated financial statements using the equity method of accounting.

¹ Control is achieved when the Group: 1) has power over the investee; 2) is exposed, or has rights, to variable returns from its involvement with the investee; and 3) has the ability to use its power to affect its returns. When the Group has less than a majority of the voting rights of an investee, it considers that it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally.

² A joint arrangement whereby the parties have joint control of the arrangement. Joint control exists when decisions about relevant activities require unanimous consent of the parties sharing control.

³ An entity over which the Group has significant influence and that is neither a subsidiary nor an interest in a joint venture.

Environmental topics: GHG emissions are principally reported as per the ‘financial control’ approach outlined in the GHG Protocol. GHG emissions at subsidiaries are fully consolidated (at 100%) while GHG emissions from joint ventures are consolidated using the equity method (in proportion to the beneficial ownership in the jointly controlled entity). This approach is cascaded down the corporate structure using the financial reporting definitions for subsidiaries and joint ventures and does not factor in whether operational control is exercised over the relevant businesses. GHG emissions produced by associates are not consolidated. Other environmental topics are consolidated based on the same approach used for GHG emissions. As an exception to this approach in this report, measurements of environmental impacts within O&G, our smallest business segment, are consolidated as per the GHG Protocol’s ‘operational control’ approach, due to the unavailability of consistent data for the O&G assets that are not operated by TAQA.

Social topics: reported as per the ‘operational control’ approach outlined by the GHG Protocol. Entities ‘operated’⁴ by TAQA are included in the consolidation of health and safety and other social metrics.

Governance topics: reported largely at the TAQA headquarters level with Group-wide policies and management approach referenced. Individual operating companies within the Group may follow specific policies in line with the regulatory requirements and accepted best practices of their jurisdictions. For detailed reporting on our corporate governance framework, structure, audit and internal control environment, see TAQA’s Corporate Governance Report 2022.

⁴ Operational control achieved when there is full authority to introduce and implement operating policies at the operation (typically through an explicit operating license).



Abu Dhabi National Energy Company PJSC (TAQA)
Al Maqam Tower (Tower 3)
Abu Dhabi Global Market Square, Al Maryah Island
P.O. Box 55224 Abu Dhabi
United Arab Emirates

TAQA.COM |     **@TAQAGroup**